# AU-A1 Modern Concept of Risk Management

**Innovative Risk Management Approach**

- Insurance, a contemporary approach to risk management, revolves around the principle of distributing potential losses across a diverse pool of individuals or entities.

The more conventional understanding of insurance entails "the process of managing pure risk by dispersing it over a substantial number of comparable participants."

**Insurance Contract**

An insurance contract involves an agreement between an insurance provider, be it a company or government agency, and an "insured person or group," wherein compensation for specified loss, damage, illness, or death is assured in exchange for the payment of a premium.

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# AU-A2 Understanding the Foundation of Insurance

**The Law of Large Numbers**
The fundamental principle behind insurance is the Law of Large Numbers, which enables relatively accurate predictions of events for large groups of similar individuals over a specific time frame.

Using the Law of Large Numbers allows insurance companies to:

- Calculate probable losses accurately
- Determine appropriate premium rates that cover losses and operational expenses effectively

**Risk Pools**
Combining large groups of similar individuals forms what we refer to as "risk pools." Insurance companies create these pools to assess potential risks collectively.

**Role of Actuaries**
Insurance companies employ specialized professionals known as "actuaries" to make mathematical predictions concerning various occurrences within specific risk pools. These predictions include estimating the number of individuals likely to experience events such as home destruction by a tornado, cancer diagnosis, or death in a given year.

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# AU-A3 Principle of Indemnity in Insurance Contracts

**Principle of Indemnity**
Insurance contracts operate under the guiding principle of indemnity. This principle asserts that when an insured individual experiences a loss, the objective is to restore them to an approximate financial state that existed before the loss occurred – neither better nor worse.

**Violation of Principle: Making Profit from Loss**
Adhering to the principle of indemnity means an insured should not profit from their loss. If an insured ends up making a profit due to the insurance payout surpassing the actual loss incurred, the principle of indemnity is violated.

**Overinsurance**
Overinsurance refers to the situation where an insured acquires coverage that exceeds the value of the potential loss. Additionally, having multiple insurance policies to cover the same loss can also lead to overinsurance, which goes against the Principle of Indemnity.

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# AU-A4 Understanding Insurable Interest in Insurance

**Insurable Interest**
Insurable interest pertains to the financial stake an individual, company, or organization must possess in the property, liability, or person being insured. Insurance coverage becomes necessary when a genuine risk of financial loss is involved.

**Timeframe for Insurable Interest:**
For property and casualty (liability) insurance, insurable interest must be present at the time of the loss. On the other hand, life or health insurance requires insurable interest to be established at the time the policy is purchased.

**Illustrative Examples:**

Property and Casualty Insurance:

- Appropriate Scenario: An individual can acquire a policy to cover their own dwelling against fire because they would suffer a financial loss if the property were to burn.
- Inappropriate Scenario: The same individual cannot purchase a policy to cover their neighbor's dwelling for fire loss, as there is no direct financial loss for them if their neighbor's house burns.

Changes in Insurable Interest:

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# AU-A5 Understanding Risk & Insurability

**Risk Defined**
Risk refers to the potential of a loss occurring, and it is a significant driver for individuals to consider purchasing insurance. Loss can manifest in various forms, such as accidents, sickness, or death, leading to consequences like the loss of life, the grief of losing a loved one, or a decline in income due to accidents or illness.

**Examples of Risks:**
- Life Insurance: Loss of life or the emotional loss experienced by loved ones in the event of death.
- Health Insurance: Loss of income due to accidents or sickness.
- Property and Casualty Insurance: Loss resulting from incidents like hail damage to a roof

**Insurability and Risks**
Not all risks are insurable, and there are factors that determine whether a risk is eligible for insurance coverage.

**Insurable Risks:**
- Risks that have measurable probabilities and can be statistically assessed.
- Risks that are financially feasible for insurers to underwrite and provide coverage.

**Non-Insurable Risks:**
- Risks that are highly unpredictable or involve catastrophic events beyond statistical estimation.
- Risks that would be financially unsustainable for insurers to cover.

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# AU-A6 Characteristics of Insurable Risks

- **Definite and Definable Loss:**
  An insurable risk involves a loss that is specific, clear, and measurable. The extent of the loss should be well-defined to determine the appropriate coverage.
- **Accidental Loss:**
  Insurable risks result from accidental events rather than intentional actions. Events that can be anticipated or deliberately caused may not be insurable.
- **Calculable Probability:**
  For insurance purposes, the likelihood of the loss occurring should be calculable based on historical data, statistical analysis, and actuarial expertise.
- **Application of the Law of Large Numbers:**
  Insurable risks benefit from a large pool of similar risks, allowing the law of large numbers to function effectively in predicting potential losses.
- **Significant Loss:**
  The potential loss must be substantial enough to cause economic hardship to the insured. Insuring minor losses might not be economically feasible.
- **Reasonable Insurance Cost:**
  Insurance coverage should be available at a reasonable cost, commensurate with the level of risk and potential loss.
- **Catastrophic Loss**: While not mandatory, risks that lead to catastrophic losses might be challenging to insure due to their severe impact.

Note: Though not all characteristics are required for every risk, having most of these elements enhances the insurability of a risk whenever possible.

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# AU-A7 Understanding Types of Risks

**Pure Risks**
Pure risks involve situations where there is only the possibility of loss, and no chance of financial gain or profit.

Pure risks are insurable, as they represent situations where individuals or entities seek protection against potential losses.
Examples:

- Natural disasters causing property damage
- Health-related emergencies leading to medical expenses
- Accidents resulting in injury or liability claims

**Speculative Risks**
Speculative risks are characterized by the possibility of financial gain or profit, alongside the potential for loss.

Speculative risks are not insurable, as insurance is designed to cover against losses rather than provide opportunities for financial gain.
Examples:

- Investing in the stock market, where gains or losses can occur
- Starting a business venture, with potential profits or losses

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# AU-A8 Understanding Types of Risks

**Static Risk**
Static risks are historical factors that remain relatively constant and do not frequently fluctuate. These risks arise from a "static" or "unchanging" environment.

Static risk factors are typically associated with long-term risks, and they can be either pure or speculative risks. Depending on the specific circumstances, static risks may or may not be insurable.
Examples:

- Area with rare hurricane events occurring every 200 years
- Dormant disease that may or may not arise

**Dynamic Risk**
Dynamic risks are linked to changes and uncertainties in various aspects of life, such as technology, society, or legal regulations.

Dynamic risks are generally not insurable, as they involve situations where unpredictability and frequent changes make it difficult for insurers to accurately assess and price the risk.
Examples:

- Emergence of a new virus affecting communities
- Technological advancements/shift in laws leading to a business losing market share

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# AU-A9 Understanding Types of Risks

**Fundamental Risk**
Fundamental risks have a broad impact and affect entire groups of people or property within society.
Examples:

- Natural disasters such as floods and hurricanes
- Acts of terrorism
- Economic downturn affecting the overall economy

Fundamental risks may or may not be insurable, depending on their predictability, frequency, and severity.

**Particular Risk**
Particular risks are specific to individual persons or families and do not have a widespread impact on the community or society as a whole. These risks arise from situations that occur in conjunction with other specific events, increasing the chance of a loss.

Particular risks are typically insurable, as they involve individual circumstances that can be evaluated and covered based on individual needs.
Examples:

- Bodily injuries resulting from accidents
- Loss of personal belongings due to natural disaster or theft

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# AU-A10 Understanding Perils & Hazard

**Peril**
A "peril" refers to the actual event or cause that leads to a loss. It is the specific incident or circumstance that results in damage or harm.
Example:

- Commercial Building Fire: In the event of a fire that damages a commercial building, the fire itself is the peril responsible for the loss.

**Hazard**
A "hazard" is a condition or factor that increases the probability or "likelihood" of a loss occurring. Hazards contribute to the vulnerability of a person or property to potential perils.
Example:

- Frayed Electrical Cord: A frayed electrical cord is a hazard that elevates the likelihood of an electrical fire occurring due to the increased risk of sparking or overheating.

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# AU-A11 Differentiating Peril & Hazard

**Peril and Hazard Explained**
Peril: A peril is the actual cause or event that leads to a loss. It represents the specific incident or circumstance responsible for damage or harm.

**Hazard**: A hazard, on the other hand, refers to a condition or factor that increases the likelihood of a loss occurring. Hazards contribute to the vulnerability of a person or property to potential perils.

**Physical Hazards**
Physical hazards pertain to the material, structural, environmental, or operational features of an insured risk that may create or intensify the potential for injury or damage.
Examples:

- Defective building materials increasing the risk of structural failures.
- Exposure to toxic chemicals, posing health risks to individuals.
- A slippery sidewalk, raising the chances of slip and fall accidents.

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# AU-A12 Differentiating Peril & Hazard

**Moral Hazard**
Moral Hazard refers to a condition that elevates the likelihood of a person intentionally causing, creating, or inflating a loss. It typically involves actions driven by intent and may even be premeditated.

**Intent and Calculated Actions**
Moral hazards involve deliberate actions taken with the knowledge of potential consequences, often with the expectation that someone else will bear the financial burden.

**Risk-Taking Incentive**
A moral hazard creates an incentive for one party to take risks, knowing that another party, such as an insurer, will bear the financial consequences of any resulting loss.

**Insurance and Moral Hazard**
Insurance can potentially contribute to moral hazard. When individuals or entities feel insulated from the full financial impact of their actions due to insurance coverage, they may be more inclined to engage in riskier behaviors.

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# AU-A13 Differentiating Peril & Hazard

**Morale Hazard**
Morale Hazard refers to a condition of inattention to or disregard for one's own life, health, or property, leading to engaging in behaviors that increase the frequency or severity of a loss. It involves an "attitudinal" factor and manifests as an "apathetic disregard" for potential consequences.

**Attitude-driven Behavior**
Morale hazard is driven by the insured's attitude, where they display a lack of concern for the potential risks associated with their actions.

**Increased Loss Potential**
Behaviors arising from morale hazard increase the likelihood of losses occurring or amplify the severity of the losses when they do occur.
Examples

- Skydiving without a parachute
- Boating in a hurricane

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# AU-A14 Risk Management Strategies

**Risk Avoidance**
Risk avoidance involves taking actions to eliminate the hazard, thereby eradicating the associated risk. By avoiding exposure to the hazard, the risk is effectively mitigated.
Example: To avoid the risk of an automobile accident or house fire, a person can choose not to purchase a car or house.

**Transfer of Risk**
The most common and popular method of handling risk is transferring it to an insurance company. Individuals or entities can transfer their risk to the insurer in exchange for regular premium payments.
Example: By purchasing insurance coverage, a person transfers the risk of potential losses to the insurance company.

**Sharing a Risk**
Even after transferring risk to an insurer, some level of risk sharing persists. The insured may accept responsibility for a portion of the risk through deductibles and premiums, while the larger portion of the risk is borne by the insurer.
Example: Insureds share the risk by paying deductibles and premiums, and the insurer covers the remaining portion of the losses as specified in the insurance policy.

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# AU-A15 Risk Management Strategies

**Assumption of Risk / Risk Retention / Self-Insurance**
Under this strategy, an individual willingly assumes the risk associated with certain activities or ownership of assets, choosing to bear the uncertainty of potential losses. In the event of a loss, the individual would cover the expenses personally.
Example: When purchasing a home, the individual accepts the responsibility for any potential losses and would replace the house at their own expense if a loss occurs.

**Risk Reduction / Risk Control**
This approach involves implementing measures to reduce the likelihood or severity of potential risks. Loss prevention methods are employed to minimize the probability of adverse events.
Examples:

- Installing a sprinkler in a building to mitigate fire..
- Making lifestyle changes, such as quitting smoking to improve health.

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# AU-A16 Understanding Underwriting & Adverse Selection

**Underwriting**
Underwriting is the process of carefully selecting specific types of risks based on historical data. Insurers aim to accept risks that have a history of producing profits while rejecting those that have resulted in losses. Good underwriting practices lead to a favorable loss ratio, where the premium collected exceeds the sum of claims paid and operating expenses, resulting in a profit for the insurer.

**Adverse Selection**
Adverse selection occurs when insured individuals or entities with a higher-than-average chance of experiencing losses are more inclined to purchase insurance. This presents a challenge for insurers, as they face the possibility of losses due to unforeseen risk factors that were not adequately considered during policy issuance.

To counter adverse selection, insurers employ strategies to spread the risk, thereby ensuring a balanced portfolio:

- Pooling Risks: Insurers combine risks from multiple sources during the same underwriting period.
- Insuring Similar Risks: Insuring a significant number of similar risks to create a diverse portfolio.
- Multiple Locations: Insuring multiple locations to distribute potential losses.
- Dissimilar Risks: Insuring activities with varying risk factors to achieve a balanced risk pool.

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# AU-A17 Underwriting Information Sources

**Exploring Sources of Underwriting Information**

The underwriting process involves gathering and analyzing relevant information to assess risk and determine insurance eligibility. While the primary source of information is the application itself, insurance companies also rely on various other sources based on the type of policy being underwritten. These additional sources include:

- Consumer reports provide valuable data about an individual's credit history, payment patterns, and financial behavior, aiding in risk evaluation.
- Inspection reports provide detailed assessments of property conditions and potential risks, helping underwriters evaluate property insurance applications.
- Credit reports provide insights into an applicant's financial health, creditworthiness, and debt obligations, contributing to the overall risk assessment.
- Insurance maps offer geographical data, including details about the property's location, surrounding hazards, and potential exposure to risks like floods or earthquakes.
- Insurance companies refer to their internal records, such as claims history and past interactions with the applicant, to assess risk.
- Utilizing industry-wide statistics and reports enables insurers to understand broader trends and patterns related to specific risks and coverages.

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# AU-A18 Understanding Reinsurance

**Reinsurance**
Reinsurance is a risk management strategy used by insurance companies to reduce their exposure to potential losses on specific risks. In this process, an insurance company (the ceding company) purchases insurance from another insurance company (the reinsurer).

**Risk Reduction**
Reinsurance allows the ceding company to transfer a portion of the risk to the reinsurer. By doing so, the ceding company mitigates the impact of catastrophic losses.

**Spreading the Risk**
Instead of assuming the entire risk, the ceding company spreads it across multiple reinsurers, ensuring a more diversified risk portfolio.

Key Points:

- Reinsurance enables the ceding company to protect its financial stability by sharing the burden of potential losses.
- It provides greater capacity to underwrite policies and handle higher-value risks.

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# AU-A19 Understanding Ambiguous Language

**Ambiguous Language**

- Vague language that creates doubt is considered "ambiguous".
- Ambiguous language in an insurance contract can lead to misunderstandings about coverage.

**Legal Resolution**

- Courts typically resolve ambiguous language in favor of the insured during lawsuits.

**Application for Insurance**

- The form used by an applicant to provide "representations" (answers to questions).
- Insurers use the application, along with other sources, to assess risk during underwriting.

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# AU-A20 Understanding Arbitration

**Arbitration Clause**

- A clause in the policy outlining the process of resolving contract disputes through arbitration.
- Disputes are brought before an objective third party for resolution.
- Some states mandate arbitration before mediation or litigation.

**Assignment**

- Transfer of legal rights under an insurance policy to another party.
- Generally, written consent from the insurance company is needed for policy assignment.

**Binder**

- A temporary legal agreement providing evidence of insurance coverage until a policy is issued.

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# AU-A21 Cancellation & Nonrenewal in Insurance

**Cancellation**

- Insurance policies can be cancelled during the underwriting period or mid-term, as per policy provisions and state laws.

**Mid-term Cancellation**

- Occurs before the end of the policy period.

**Nonrenewal**

- Nonrenewal happens at the end of the policy period.

**Unearned Premium (UEP)**

- The premium paid for the remaining policy period.

**Refund Basis**

- Policies may specify "short-rate" or "pro-rata" basis for returning the UEP.
- Short-rate Basis: Carries a penalty for mid-term cancellation.
- Pro-rata Basis: Full premium for the unexpired term is returned with no penalty.

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# AU-A22 Coverage Form & Insurance Policy

**Certificate of Insurance**

- A summary of the policy, not the insurance policy itself.
- Often required by law to prove insurance coverage, such as in automobile insurance.

**Coverage Form vs. Insurance Policy**

- Coverage Form: Standardized forms used to build an insurance contract with their own insuring agreement, conditions, exclusions, and definitions.
- Insurance Policy: Comprised of various coverage forms to create the desired coverage for the insured.

**Deductible**

- The amount the insured must pay before the insurance company pays a claim.
- Helps minimize the number of small claims filed.
- Insured can choose deductible amount, which can affect the premium.
- Deductibles may be a fixed amount or a percentage of the loss, based on policy terms.
- In some cases, state law determines the deductible amount, and standardized policies may have a minimum deductible based on risk.

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# AU-A23 Definitions & Endorsements

**Definitions**

- Definitions clarify key terms and phrases used in the policy, with specific meanings related to coverage.
- Definitions can be found in a separate "definitions section," within the conditions section, or dispersed throughout the policy.
- The defined terms can significantly influence the extent of coverage based on their interpretation.

**Endorsements/Riders**

- An endorsement (also known as a rider) is a written addition or amendment to the policy that alters the coverage.
- An endorsement may include its own conditions, exclusions, and definitions sections.
- A list of attached endorsements is detailed in the Declarations section of the policy.

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# AU-A24 Entire Contract Clause

**The Entire Contract Clause**

- This clause restricts the agreement between the insured and the insurer to the terms explicitly stated within the contract. Any terms outside the contract are not considered part of the agreement.
- The entire contract includes the application, definitions, endorsements, additional coverages, and supplementary payments attached to all other forms within the policy.

**Exposure**

- Exposure refers to the state of being at risk of experiencing a loss due to various hazards.
- Understanding exposure helps insurers assess potential risks and determine appropriate coverage.

**Fiduciary**

- A fiduciary is a person or institution entrusted with managing the money, property, or financial affairs of another.
- Agents, adjusters, and insurance companies have a fiduciary duty to their clients when handling premiums, claims payments, and unearned premiums.

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# AU-A25 Policy Insureds and Roles

**Insured**

- An "insured" is a person protected under an insurance contract, and multiple individuals can be covered under one policy.
- The policy specifies different roles for insureds based on their responsibilities under the contract.

**First Named Insured**

- The individual or entity listed first on the policy.
- The first named insured is the primary contact for the insurance company, receives important notices, pays the premium, provides loss notices, and submits proof of loss.

**Named Insured**

- Any person or entity distinguished from other insureds on the policy who remain unnamed.
- Named insureds have specific identities within the policy, and their roles may vary based on the coverage.

**Additional Insured**

- Additional insureds are entities added to the policy at the request of the first named insured.
- They usually have a vested interest in the property or asset being insured, such as a mortgage-holding bank.

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# AU-A26 Law of Agency & Legal Action Against Insurer

**The Law of Agency**

- The Law of Agency governs the relationship between two parties - the "principal" and their "agent". The "agent" is authorized to act on behalf of the "principal".
- Insurance agents, producers, and adjusters are agents who have the authority to bind insurance coverage on behalf of the insurance company.
- The authority of an "agent" is established through a contract or appointment with the "principal".

**Legal Action Against Insurer**

- Provision in Insurance Policies: Most standard insurance policies include this provision, setting limitations on an insured's right to sue their insurer for coverage.
- Duties and Requirements: The insured must fulfill all duties outlined in the policy before being eligible to bring a lawsuit against the insurer.
- Statute of Limitations: A specific time period, defined by state law, is imposed on the insured to bring legal action against the insurer.

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# AU-A27 Liberalization Clause & Limit of Liability

**Liberalization Clause**

- This provision offers policyholders the benefits of broadened features introduced in subsequent policy editions without additional premium charges.
- Ensures existing policyholders receive improved coverage options.

**Limit of Liability (Limit of Insurance / Policy Limit)**

- Represents the maximum amount the insurer will pay for covered losses under the insurance policy.
- Defines the financial protection provided by the policy.

**Loss**

- Refers to the actual injury or damage experienced by the insured, forming the basis for an insurance claim.
- The occurrence that triggers the policy coverage.

**Loss Reserves**

- Sum of money reserved by insurance companies to fulfill future obligations for claim payments and unearned premium refunds in case of mid-term cancellations.
- Helps ensure financial stability and readiness to meet policyholder needs.

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# AU-A28 Understanding the Other Insurance Provision

**Other Insurance Provision**

- This clause outlines how claims will be handled when multiple insurance policies cover the same risk.
- The "other insurance" provision specifies one of the following methods:

**Pro-Rata Share ("apportionment")**

- Payment Method: Each policy pays a share of the loss proportionate to the percentage of coverage it provides. For example, a policy covering 20% of the risk pays 20% of the loss.

**Contribution by Equal Shares**

- Payment Method: Each insurer contributes an equal amount towards the loss until it is covered or the policy limit of any policy is reached.
- Continuation: If a policy limit is reached, the equal shares principle applies to the remaining insurers until all policy limits are reached.

**Primary and Excess Insurance**

- Payment Method: The policy's "other insurance provision" determines if it is "primary" and pays first, or "excess" and pays only after the primary policy's limit is reached.
- Agreement and Resolution: In cases where both policies state "excess insurance," an agreement between insurers is necessary, or the matter may be settled in court.
- When multiple policies cover the same loss, the insured is responsible for paying the required deductible on all policies covering the loss.

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# AU-A29 Claim Payments - Other Insurance Methods

**Pro-rata Method Example**

- A business purchases a commercial building and needs $3,000,000 of coverage.
- Policies Purchased: Company A ($1,800,000), Company B ($900,000), and Company C ($300,000).
- Formula: Amount Company A will pay "pro-rata" on an $2,400,000 loss:
- Policy Limit of Company A / (Policy Limit of all Insurance Companies) x Loss
- Calculation: $1,800,000 / $3,000,000 = 0.60 or 60%
- Amount Company A will pay: $2,400,000 (loss) x 0.60 = $14,400,000 (60% of $2,400,000).

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# AU-A30 Claim Payments - Other Insurance Methods

The "Other Insurance" clause in the policy specifies the method to be used.

**Contribution by Equal Shares**

- Example Scenario: Same building and business as the previous example.
- $75,000 Loss: Companies A, B, & C will each pay $25,000 equally.
- $400,000 Loss
- The policy with the lowest limit pays first, up to its limit.
- Company C pays $50,000, leaving $350,000 remaining.
- Then, Company B pays $150,000, leaving Company A to pay the remaining $200,000.
-

**Primary or Excess**

- Scenario: Worker injury in a state allowing employer health insurance to pay after workers' compensation insurance up to the limit.
- Workers' compensation coverage is "primary" and pays up to its limit.
- Employer health benefits are "excess" and begin after workers' compensation reaches its limit.

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# AU-A31 Key Policy Terminology

**Policy Inception/Expiration**

- Policy Inception: The actual date (and sometimes hour) when the policy starts its coverage.
- Policy Expiration: The date when the policy coverage ends.

**Policy Period**

- The time between policy inception and policy expiration.
- This is the duration of coverage provided by the policy.

**Policy Provisions**

- Clauses in the insurance contract that define coverage application and amounts.
- These provisions outline how the policy works in different situations.

**Policy Territory**

- Also referred to as "coverage territory".
- This provision restricts coverage to specific geographic areas.
- If the loss occurs outside this area, coverage will not apply.

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# AU-A32 Proof of Loss & Loss Notice

**Proof of Loss**
A formal statement submitted to the insurer detailing a loss.
Includes:

- Amount of the claimed loss
- Supporting documents for the loss amount
- Parties involved in the claim
- Date and cause of the loss
- Individuals with an interest in the claim

**Loss Notice**

- Insureds must promptly notify the insurance company or their agent after experiencing a loss.
- The insurance company will provide proof of loss forms or instructions for access online.

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# AU-A33 Subrogation & Third-Party Administrators (TPAs)

**Subrogation Clause**

- A clause assigning the insurance company the right to claim damages from a third party after paying the insured's claim.
- Allows the insurer to recover their losses by stepping into the insured's shoes.
- Also known as: "Transfer of Rights of Recovery Against Others to Us" provision.

**Third-Party Administrators (TPAs)**

- Independent firms handling administrative tasks for insurance companies, including claims handling and risk management consulting.
- Separate entities from insurance companies with evolving regulation.
- Mitigating risk exposure through limits on tasks delegated to TPAs.
- Licensing and continuing education expanded for consumer protection.

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# AU-A34 Insurance Transactions & Policy Status

**Transacting Insurance**

- State insurance codes define "transacting insurance" for insurance license requirements.
- Includes solicitation, inducement, and preliminary negotiations for insurance contracts, as well as subsequent business related to policy terms.

**Voided/Suspended/Cancelled Policy**

- Voided Policy: Becomes unenforceable as if it never existed. Common reason: Material misrepresentation on the application.
- Material Misrepresentation: Information that, if known, would have led to the insurer not issuing the policy.
- Suspended Policy: Temporarily terminated until the insured addresses a significant risk change (e.g., unrepaired roof).
- Cancelled Policy: Can be initiated by either the insured or the insurance company.
- Common Reason for Insurer Cancellation: Non-payment of premium.
- State Law Limits and Requirements: State laws regulate reasons and notifications for policy cancellation, suspension, or voidance.

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# AU-B1 Insurance Regulation in the United States

**Dual Regulatory System**

- Insurance industry regulation is a joint responsibility of both federal and state governments.
- Public Law 15, the McCarren-Ferguson Act, passed in 1945, grants regulatory authority to state governments.

**State Authority**

- McCarren-Ferguson Act ensures that the regulation of insurance companies remains with individual states.
- States hold the primary responsibility for regulating insurance affairs, including ethical conduct of agents, adjusters, and producers.
- State regulators work to safeguard the interests of the insurance-consuming public.
- Ensuring compliance and ethical practices within the insurance industry is a crucial aspect of state oversight.

**Federal Oversight**

- The federal government retains authority in specific areas like fair labor standards and antitrust matters related to insurance.
- All other aspects of insurance regulation fall under state jurisdiction.

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# AU-B2 State Insurance Administrators

**Roles and Titles**

- The administrator of the Department of Insurance in each state holds titles like Commissioner, Director, or Superintendent.
- For simplicity, we will use the universal term "Commissioner" throughout this course.

**Appointment or Election**

- The method of obtaining this administrative office varies by state law.
- It can be achieved through either election or appointment.

**Membership in NAIC**

- Upon assuming the position, the Commissioner becomes a member of the "National Association of Insurance Commissioners" (NAIC).
- NAIC is a regulatory support organization for state insurance departments.

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# AU-B3 Role of Commissioner & Insurance Department

The Commissioner and the Insurance Department play a vital role in enforcing state laws and regulations to protect the general public's interests. Their responsibilities include:

- **Ensuring Financial Solvency:** Monitoring the financial stability of insurance companies to safeguard policyholders.
- **Overseeing Insurance Agents:** Regulating the conduct of individual insurance agents to maintain ethical standards.
- **Conducting Hearings:** Conducting hearings on insurance matters to investigate potential violations.
- Reviewing Rates, Policies, and Forms: Reviewing and approving insurance rates, policies, and forms to ensure compliance with regulations.
- **Issuing Licenses and Certificates:** Issuing licenses and certificates of authority to qualified insurers and agents.
- **Ensuring Insurance Availability:** Assuring the public of the availability of insurance coverage.

Remember, while the Commissioner does not write insurance laws, they play a crucial role in enforcing and upholding these laws for the benefit of the public.

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# AU-B4 Rate Approval & Policy Forms

**Rate Change Request:**

- Insurance companies must submit rate change requests to the state Insurance Department.
- The Commissioner evaluates the requests based on public welfare considerations.
- The Commissioner will either approve or disapprove the proposed rates.

**Rate Setting Clarification:**

- The Insurance Commissioner does not directly set rates for insurance companies.

**Policy Forms Approval:**

- All insurance policies and forms must be submitted to the state Department of Insurance for approval.
- The Commissioner reviews and approves the policies to ensure compliance with regulations.

**Standardized Forms:**

- Many companies prefer to use pre-approved "standardized forms" provided by the Insurance Department.
- This streamlines the process, as these forms are already deemed compliant and do not require separate filing.
- By adhering to these approval procedures, insurance companies ensure that their rates and policy forms align with state regulations, providing greater protection and transparency to the public.

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# AU-B5 Enforcement & Hearings

**Insurance Commissioner's Powers:**

- All states grant the Insurance Commissioner authority to conduct hearings on potential unlawful acts involving agents, adjusters, and companies.

**Cease and Desist Orders:**

- After a hearing, the Insurance Commissioner may issue a cease and desist order.
- The order demands that the offender immediately stops committing the offenses.

**Penalties for Offenses:**

- Depending on the nature and intention of the offense, the Commissioner may take different actions.
- Potential penalties include license suspension, license revocation, or fines.

**Ensuring Compliance:**

- The hearings and enforcement measures are in place to protect the public and ensure adherence to insurance laws and regulations.

By conducting hearings and enforcing cease and desist orders, the Insurance Commissioner maintains the integrity of the insurance industry and safeguards the interests of policyholders and the general public.

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# AU-B6 Standardized Insurance Coverage Forms

**Standardized Coverage Forms:**

- Insurance companies often use "standardized coverage forms" published by ISO or other approved publishing companies.
- These forms have been reviewed and approved by state insurance departments for use in different states.

**Benefits of Standardization:**

- Efficiency: Using standardized forms allows insurance companies to provide consistent coverage across state lines without developing separate forms for each state.
- Uniformity: Standardized forms ensure consistency and clarity in policy language, making it easier for agents and policyholders to understand the coverage.

**Statutory Endorsement Forms:**

- Statutory endorsement forms modify standardized policies to comply with state laws when necessary.

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# AU-B7 Insurance Industry Organizations

**The National Association of Insurance Commissioners (NAIC):**

- Responsible for creating and maintaining model laws that set standards for insurance practices in the United States.
- Note: The NAIC does not possess official legislative powers but plays a significant role in shaping insurance regulations.

**The Interstate Insurance Product Regulation Commission (IIPRC):**

- Develops standardized forms for Life Insurance, Disability Income, and Long-Term Care insurance products.
- Aims to streamline product filings and approval processes across multiple states.

**The National Council on Compensation Insurance (NCCI):**

- Produces standardized Workers Compensation forms.
- Works to provide consistency and uniformity in workers' compensation insurance policies.

**The National Uniform Claim Committee (NUCC):**

- Maintains the universal claim form, CMS-1500, used to submit medical expense claims to various insurers.
- Accepted by private health insurers, government insurers, and workers' compensation insurers.

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# AU-B8 Insurance Industry Standardization

In the insurance industry, various organizations play a crucial role in providing standardized forms to ensure consistency and efficiency. Let's explore some of these organizations:

**The Surety & Fidelity Association of America (SAA):**

- SAA offers a range of standardized bond forms that facilitate surety data standards.
- These forms are essential for ensuring uniformity and reliability in surety transactions.

**The American Association of Insurance Services (AAIS):**

- AAIS provides standardized forms for property and casualty insurance, including specialty coverages. Their forms contribute to the consistent application of policies and endorsements.

**The Insurance Services Office, Inc. (ISO):**

- ISO is a prominent provider of property and casualty standardized forms used extensively across the country.
- Its forms serve as a reliable foundation for many insurance policies.

By relying on standardized forms from these organizations, the insurance industry can operate more efficiently and ensure a higher level of service for policyholders and insurers alike.

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# AU-B9 Licensing in the Insurance Industry

**Licensing Information**

- Licensing in the insurance industry is overseen by the Commissioner, who plays a vital role in regulating agents, adjusters, brokers, consultants, and insurance companies.
- State law governs the licensing process and sets specific requirements for each license candidate and insurance companies operating within the state. However, a common criterion across all states is that a license candidate must be at least 18 years old.

**The Commissioner's responsibilities encompass:**

- Determining who must obtain licenses in various insurance roles.
- Setting the qualifications and prerequisites for license candidates.
- Establishing criteria for insurance companies seeking to conduct business within the state.

Ensuring that individuals and entities hold appropriate licenses is essential to maintain professionalism and ethical standards within the insurance industry.

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# AU-B10 Insurance Company Certification

**Certificate of Authority:**

- A Certificate of Authority is a document issued by the state Department of Insurance to an insurance company, granting them the legal authority to underwrite insurance contracts within that state.
- Before granting this certificate, the Department thoroughly investigates the company's financial stability.

**Admitted/Authorized Companies:**

- Once an insurance company obtains a Certificate of Authority, it is classified as an "admitted" company, authorized to conduct business in the state.
- Admitted companies can be categorized as "domestic" if they are organized within the state, "foreign" if they are organized in another state, or "alien" if they are organized in another country.

**Nonadmitted Unauthorized Companies:**

- Insurance companies operating without a Certificate of Authority are labeled as "nonadmitted" and are unauthorized to conduct business in the state.
- Severe penalties are imposed on companies that engage in business without proper authorization.
- It is essential for insurance companies to hold a valid Certificate of Authority to operate legally and protect consumers' interests.

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# AU-B11 Surplus Lines Insurance

**Surplus Lines Companies:**

- Under certain circumstances, nonadmitted insurance companies without a certificate of authority may be allowed to conduct business in a state.
- When admitted companies do not offer a specific line of insurance, the Commissioner can bring in non-admitted companies to provide that particular coverage.
- Agents in the state will be issued a "surplus lines" license to represent the non-admitted company and sell only the approved line of insurance.

**Surplus Lines Tax:**

- Surplus lines companies are required to include a "premium tax" in their premium rates.
- State law sets the amount of this tax, which is collected by the surplus lines company and then remitted to the state.
- The surplus lines tax serves as a regulatory measure and ensures compliance with state laws and regulations.

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# AU-B12 Guaranty Associations

States have established Guaranty Associations to provide protection in the event of insurer insolvency. The main functions of these associations are as follows:

- **Coverage for Insolvent Insurers:** Guaranty Associations step in to cover the claims of insurance companies that become insolvent, ensuring policyholders' protection.
- **Funded through Assessments:** The associations are funded through assessments collected from admitted insurers writing the covered lines of insurance in the state.These assessments are calculated based on a percentage of net premiums written within the state.
- **Workers Compensation Claims:** There is no maximum limit on Workers Compensation claims under the Guaranty Association.The association pays the total amount of claims under Workers Compensation policies.
- **No Assessments for Surplus Lines Companies:** Surplus Lines companies are not assessed for funding because they are nonadmitted insurers and not members of the Guaranty Association.
- **Exclusion of Insolvent Surplus Lines Companies:** The Guaranty Associations do not cover claims arising from the insolvency of Surplus Lines companies.
- **Prohibition on Advertising Membership:** Insurers are prohibited from advertising that their company is a member of the Guaranty Association.

Guaranty Associations play a vital role in safeguarding policyholders' interests and maintaining the stability of the insurance industry in case of insolvency.

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# AU-B13 Insurance Company Classification

**Classification by Domicile:**

- Insurance companies can be categorized based on their origin, commonly referred to as their domicile.
- Domicile indicates the state or country in which the company is incorporated or licensed to operate. This classification determines the regulatory framework and legal requirements the company must adhere to.

**Classification by Form of Ownership:**

- Insurance companies can also be classified based on their form of ownership. There are two primary categories: stock insurance companies and mutual insurance companies.

  **Stock Insurance Companies:**

  - Stock companies are owned by shareholders who possess shares of the company's stock.
  - The primary objective of stock companies is to generate profits for their shareholders.

  **Mutual Insurance Companies:**

  - Mutual companies are owned by policyholders who also function as shareholders.
  - The primary focus of mutual companies is to provide insurance coverage to policyholders and serve their interests.

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# AU-B14 Insurance Company Classification

**Classification by Mode of Operation:**

- Insurance companies can be further classified based on their mode of operation, distinguishing them as direct writers or reinsurers.

**Direct Writers:**

- Direct writers issue policies directly to the insured.
- They bear the risk of loss and handle claims directly from policyholders.

**Reinsurers:**

- Reinsurers provide insurance coverage to other insurance companies.
- They assume a portion of the risk from primary insurers, helping to spread risk across the insurance industry.

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# AU-B15 Insurance Company Classification

**Classification by Type of Provider:**

- Lastly, insurance companies can be classified based on their type of provider, namely captive insurers, independent insurers, or surplus lines insurers.

**Captive Insurers:**

- Captive insurers are wholly owned subsidiaries of their insureds or parent companies.
- They offer insurance coverage exclusively to their owners.

**Independent Insurers:**

- Independent insurers operate as separate entities and offer insurance products to the general public.

**Surplus Lines Insurers:**

- Surplus lines insurers provide coverage for risks that standard admitted insurers may not cover.
- They are nonadmitted insurers and are subject to different regulations.

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# AU-B16 Insurance Company Classification

**Domestic Insurer:**

- Domestic insurers are insurance companies that are chartered and domiciled under the laws of the state in which they conduct their business.
- For instance, if a company is formed and chartered under the laws of Texas and conducts business in Texas, it is considered a domestic insurer for its Texas operations.

**Foreign Insurer:**

- Foreign insurers are insurance companies chartered and domiciled in any state or territory of the United States.
- These companies are admitted to conduct business in states or territories outside their state of domicile.
- For example, a company chartered under the laws of Texas, but authorized to conduct insurance business in New York, would be classified as a foreign insurer for its operations in New York.

**Alien Insurer:**

- Alien insurers are insurance companies formed and domiciled in a country other than the United States and its territories.
- They are allowed to conduct insurance business in states within the U.S. For instance, an insurance company formed under the laws of a Canadian province may be admitted to conduct insurance business in New York, making it an alien insurer for its New York operations.

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# AU-B17 Stock Companies

A stock company is an insurance company that has surplus and reserve funds, as well as a capital fund that is contributed by its stockholders. Let's take a closer look at the key features of stock companies:

**Ownership:**

- Stock companies are owned by their stockholders, who purchase shares in the company.
- These shareholders have ownership rights and may have voting privileges in company matters.

**Earnings and Dividends:**

- Stock companies distribute a portion of their profits to their stockholders in the form of dividends.
- These dividends are a share of the company's earnings and serve as a return on the shareholders' investments.

**Board of Directors:**

- Stockholders in a stock company have the right to elect the company's Board of Directors.
- The Board of Directors oversees the company's operations and makes important decisions on behalf of the shareholders.

**Policyholder Dividends:**

- Unlike mutual insurance companies, stock companies do not pay dividends to their policyholders.
- Policyholders do not share in the company's profits, and as a result, stock companies are often referred to as non participating companies.

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# AU-B18 Mutual & Self-Insurance

**Mutual Companies:**

- Mutual companies are distinctive in their ownership structure as they are owned by their policyholders.
- Key features of mutual companies include:
  - All owners are insureds: Each policyholder becomes an owner of the company, which means they have a vested interest in its success.
  - All insureds are owners: Every individual covered by the policies issued by the company also becomes a partial owner.

**Self-Insurance:**

- Some companies and individuals opt for self-insurance, taking on part or all of the risk of loss without traditional insurance coverage.
- Reasons for choosing self-insurance may include:
  - Strong Financial Resources: Large companies with ample financial resources may choose self-insurance to manage their risks internally.
  - Cost-Effective Solution: Organizations with favorable claims experience may find that self-insurance is more cost-effective than traditional insurance coverage.

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# AU-B19 Insurance Exchanges

**Lloyd's of London:**

- Lloyd's of London is a renowned insurance marketplace, not an insurance company itself.
- Underwriters and brokers convene at Lloyd's to negotiate and create insurance agreements.
- "Names" (individual underwriters and insurance companies) participate in this marketplace to offer insurance coverage.

**Reciprocal Exchange:**

- Reciprocal exchanges are private, unincorporated mutual insurers formed by associations that evenly share risks among members.
- These exchanges are managed by a "corporation" known as an "attorney-in-fact."
- Members of the reciprocal, not the attorney-in-fact, bear liability for losses.

**Fraternal Benefit Society:**

- Fraternals are incorporated societies or orders operating on the lodge system.
- They are non-profit organizations, benefiting members and their beneficiaries exclusively.
- Fraternals provide Life or Health insurance that is accessible only to their members.

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# AU-B20 Risk Retention & Purchasing Groups

The Liability Risk Retention Act of 1981 opened up new insurance options for product manufacturers seeking coverage against product liability. This act allowed manufacturers to establish specialized insurance programs known as risk retention groups and purchasing groups.

**Risk Retention Groups:**

- Risk retention groups are group self-insurance programs or group captive insurance companies formed by product manufacturers.
- These groups provide protection against product liability exposures faced by manufacturers.
- They offer an alternative to traditional insurance policies for specific risks.

**Purchasing Groups:**

- Purchasing groups enable members, often businesses in the same industry, to purchase liability insurance collectively on a group basis.
- By pooling their insurance needs, these groups can potentially access more favorable rates and coverage options.

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# AU-B21 Risk Retention & Purchasing Groups

**Important Points:**

- Risk retention and purchasing groups are specialized insurance entities specifically tailored to meet the needs of product manufacturers.
- They are not permitted to underwrite workers' compensation and personal lines insurance policies.
- Exemption from participating in state guaranty funds allows these groups to function independently and manage their own liabilities.
- Some of these groups operate as reciprocal exchanges, fostering mutual support and risk-sharing among members.

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# AU-B21 Private & Government Insurers

Insurance companies can fall into two main categories: private insurers and government insurers. The distinction lies in their ownership and operation. Sometimes, the government steps in to provide insurance coverage that is not typically available from private insurers. This is often referred to as "residual market insurance."

**Government Insurance Offerings:**

Federal Government:

- War risk insurance
- Nuclear energy liability insurance
- Federal flood insurance
- Federal crop insurance
- Federal crime insurance
- Terrorism risk insurance

State Government:

- Unemployment insurance
- Workers' compensation benefits (may be provided through state funds)

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# AU-B22 Private & Government Insurers

**Private Insurers:**

- Privately owned insurance companies operate in the market to offer a wide range of insurance products to the public and businesses.
- They provide coverage for various risks and liabilities based on the needs and demands of the insured.

**Key Points:**

- Government insurers intervene to ensure the availability of coverage for specific high-risk areas or circumstances where private insurers may not be able to offer policies.
- "Residual market insurance" is the term used to describe government-backed insurance initiatives.
- Both federal and state governments play a role in providing essential insurance services to citizens and businesses.

The combination of private and government insurers ensures a diverse and comprehensive insurance landscape, offering protection against a wide range of risks and fostering stability in the insurance market.

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# AU-B23 Methods of Insurance Marketing

Insurance companies use various methods to market their products to the public. Let's explore the different systems used:

**Exclusive Agency System:**

- Agencies are contracted with a single insurance company to represent and sell their insurance products.
- These agencies exclusively sell policies offered by the insurer they are contracted with.
- Agents working within these agencies are considered employees of the agency, not the insurance company itself.

**Direct Writer System:**

- Insurance companies hire agents as employees to sell their insurance products directly to customers.
- Agents in this system are representatives of the insurance company and work exclusively with their products.

Direct Response System:

- In this system, insurance companies sell their insurance products directly to consumers without intermediaries.
- Marketing is conducted through mail, telephone, or internet platforms, bypassing traditional agency or agent involvement.

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# AU-B24 Methods of Insurance Marketing

**Independent Agency System:**

- Independent agencies have the freedom to contract with multiple insurance companies to sell and service their products.
- Agents in this system are not tied to a single insurer, allowing them to offer a diverse range of insurance options to customers.

**Key Points:**

- Each method offers unique advantages and caters to different customer preferences.
- Exclusive and direct writer systems provide a close relationship between the agent and the insurer.
- Direct response system offers convenience and accessibility to customers.
- Independent agency system allows agents to offer a wide selection of insurance products from multiple companies.

By using these diverse marketing methods, insurance companies can effectively reach a broad audience and cater to the varying needs of customers in the insurance marketplace.

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# AU-B25 Insurance Company Financial Strength Ratings

Financial strength ratings play a crucial role in evaluating insurance companies. These ratings are assigned by reputable organizations based on comprehensive analyses of various factors. Let's explore the key elements:

**Factors Considered for Ratings:**

- Claims Experience: An assessment of a company's past claims handling and payment history.
- Investment Performance: Evaluation of how well the company manages its investment portfolio.
- Management: The competency and expertise of the company's leadership and management team.

**Key Rating Organizations:**

- A.M. Best
- Standard & Poor's (S&P)
- Moody's

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# AU-B26 Insurance Company Financial Strength Ratings

**Rating Scale and Meanings:**

- A++, A+ (Superior): Indicates the company is in the strongest financial position.
- A.A- (Excellent): Represents a company with excellent financial stability.
- B++, B+ (Very Good): Signifies a company with very good financial strength.
- C++, C+ (Good): Indicates a company with a good level of financial stability.
- C, C- (Fair): Represents a company with fair financial standing.
- Below Minimum Standards: Suggests that the company's financial condition falls below the minimum acceptable standards.
- Пm (Under State Supervision): Shows that the company is under the supervision of state authorities.
- In Liquidation: Signifies that the company is in the process of being liquidated and winding down its operations.

Remember, financial strength ratings are essential indicators of an insurance company's ability to fulfill its policyholder obligations. Policyholders and investors often rely on these ratings to make informed decisions.
Note: Ratings may vary slightly among rating organizations

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# AU-C1 Understanding Liability Insurance

**Liability (Casualty) Insurance Policies**

- Classified as third-party contracts as they do not provide direct indemnification to the insured.
- Rather, they undertake to "pay on behalf of the insured all sums the insured becomes legally liable to pay as damages..." This means that liability policies are activated when any insured party under the policy is legally obligated to pay.

There are two primary forms of legal liability: "civil liability" and "criminal liability".

- Criminal liability is never insurable. However, if an insured commits a "tort" (a wrongful act), it falls under civil liability, and in such cases, it is insurable under the liability insurance policy.

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# AU-C2 Understanding Tort Law

- A "tort" is a civil wrong that does not arise from a contract.
- When a person commits a tort, they violate "civil law." The purpose of tort law is to provide the victim with a "civil remedy" to seek compensation in the courts.
- The Parties in a Civil Lawsuit
- In tort law, the person who commits the tort is known as the "tortfeasor."
- The tortfeasor is required to pay damages to the injured party.
- If two or more people commit a tort in a single accident or occurrence, causing a loss to another person, they are referred to as "joint tortfeasors."
- In a civil lawsuit, the tortfeasor is called the "defendant," while the injured party bringing the suit is referred to as the "plaintiff."

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# AU-C3 Understanding Torts in Insurance

- Torts addressed by insurance policies fall into three categories: "intentional," "unintentional," and "liability without fault."
- Intentional Torts: These are premeditated acts committed with intent, but the consequences were not necessarily intended. Insurance may still cover such acts.
- The seven intentional torts include:
  - Assault
  - Battery
  - false imprisonment
  - intentional infliction of emotional distress
  - conversion (stealing)
  - trespass to land
  - trespass to chattels (movable property).

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# AU-C4 Understanding Negligence

- "Negligence" is a crucial concept in liability insurance. It carries the same meaning across different states.
- In essence, "negligence" refers to failing to exercise the required degree of care to protect others from unreasonable harm. It implies not acting as a reasonably prudent person would under similar circumstances.
- In simple terms, negligence involves either failing to do something that should have been done or doing something that should not have been done, leading to a loss.

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# AU-C5 Understanding Vicarious & Strict Liability

**Vicarious or Imputed Negligence:**

- An unintentional tort where the insured is not directly responsible for the negligent act but is held liable due to the actions of another person who is under the insured's responsibility.
- Commonly seen in employer-employee relationships.

**Strict (Absolute) Liability:**

- Imposed by statutory law without the need to prove negligence or a tortious event.
- Applies to activities involving inherent danger, such as handling dangerous materials, hazardous operations, or owning dangerous animals.

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# AU-C6 Understanding Negligence & Damages

**Negligence in Lawsuits:**

- Most lawsuits for bodily injury (BI) or property damage (PD) involve unintentional torts of negligence.
- "Bodily Injury" includes bodily harm, sickness, disease, or death.
- "Property Damage" includes direct physical damage to tangible property and the loss of use of damaged or undamaged property.

**Settlement Without Lawsuits:**

- Many liability cases are settled by mutual agreement without going to court.
- Damages in settlement cases are determined based on previous court awards in similar cases.

Remember: Liability claims often involve negotiation and settlement rather than going to court.

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# AU-C7 Elements of Negligence in a Lawsuit

To establish negligence and win in a lawsuit, the plaintiff must prove the following:

**Legal Duty of Care:**

- The defendant must owe a legal duty of care to the plaintiff.
- This duty arises from a recognized relationship between the parties, imposing an obligation to act in a specific manner towards the other.

**Breach of Legal Duty:**

- The defendant must have breached the legal duty of care.
- Reasonable care was not exercised in fulfilling the obligation, resulting in the breach.

**Factual and Legal (Proximate) Cause of the Loss:**

- The defendant's breach must be the actual cause (factual and legal) of the plaintiff's loss.
- The breach should be the legal basis for awarding damages.

**Actual Injury and Damages:**

- The plaintiff must have suffered actual injury or harm.
- The damages suffered must be capable of being remedied by monetary compensation.

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# AU-C8 Establishing Proximate Cause in Negligence

**Proximate Cause**

- To prove negligence in court, it is essential to demonstrate that the actions of the negligent party not only directly caused the injury or damage but were also the "proximate cause" of the loss.
- The "foreseeability test" is used to determine proximate cause:
- The test questions whether the negligent party should have reasonably foreseen the general consequences resulting from their actions.
- If the type of harm caused by the negligent act was not reasonably foreseeable, the negligent party may not be held liable for the loss.

Remember: Proving proximate cause involves showing that the harm was foreseeable as a result of the negligent actions.

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# AU-C9 Understanding Common Law & Statute Law

**Common Law:**

- "Common law" principles are derived from long-standing behaviors and customs that have not been formally written into the law (codified).
- Court judgments reinforce and recognize the principles established by common law.

**Statute Law:**

- Statute law refers to the written laws enacted by state legislatures and the federal government.
- Both common law and statute law play significant roles in settling insurance claims.
- In case of conflict between common law and statutory law, statutory law typically takes precedence.

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# AU-C10 Legal Process in a Liability Insurance Claim:

**Complaint:**

- The "complaint" is the formal document filed by the claimant (plaintiff) to initiate a lawsuit in a liability insurance claim.
- It includes the "statement of the claim" or "proof of loss" as part of the complaint.

Answer:

- The "answer" is the response provided by the insured (defendant) to the plaintiff's complaint.
- In the answer, the defendant may either deny the allegations made in the complaint or admit to their truth.
- Additionally, the defendant may include counter-allegations in the answer that could impact the plaintiff's ability to recover damages.

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# AU-C11 Types of Damages in a Liability Insurance Claim

**Compensatory Damages:**

- Compensatory damages reimburse the injured party for actual losses sustained.
- They are divided into two categories:
  - a. Special Damages: These cover actual economic losses like medical expenses, lost wages, and property damage caused by the defendant. They are quantifiable.
  - b. General Damages: These compensate for intangible losses such as pain, suffering, mental anguish, or disfigurement. They are not easily quantifiable.

**Limited Tort vs. Full Tort Coverage:**

- When purchasing liability insurance, the insured can choose between "limited tort" and "full tort" coverage.
- "Limited tort" coverage offers lower premiums but provides compensation only for special damages.
- "Full tort" coverage has higher premiums but covers both special and general damages, allowing for larger potential awards in court.

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# AU-C12 Understanding Punitive Damages

**Punitive Damages**

- These are additional damages that can be awarded to the plaintiff along with compensatory damages. They serve a specific purpose.
- The main goal of punitive damages is to punish the defendant for exceptionally egregious acts and to deter others from engaging in similar behavior.
- Punitive damages are awarded when the defendant's actions are not only grossly negligent but also go against established social norms (anti-social).
- Punitive damages go beyond compensating the plaintiff for their losses and are meant to hold the defendant accountable for their misconduct.

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# AU-C13 Defending Against Claims - Comparative & Contributory Negligence

When faced with a plaintiff's claim for damages, the insured and their insurance company can use specific arguments in their defense. Two common defenses are:

**Contributory Negligence:**

- This defense, based on common law, asserts that if the plaintiff contributed to their own loss in any way, the defendant cannot be held liable.
- To prove the defendant's liability, the plaintiff must demonstrate the defendant's negligence while showing their own lack of contribution to the loss through negligence.
- However, many states find this rule too harsh and have adopted the "comparative negligence" rule instead.

**Comparative Negligence:**

- Under this rule, a plaintiff's damage award is reduced by the percentage of negligence they contributed to the loss.
- For instance, if the plaintiff would receive $50,000 in damages but is found to be 10% negligent in causing the loss, their award would be reduced to $45,000. This approach is deemed fairer in many states compared to the contributory negligence rule.

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# AU-C14 Comparative Negligence: Pure vs. Modified

When applying the comparative negligence rule, there are two methods to calculate damage awards:

**Pure Comparative Negligence:**

- Damages are reduced based on the percentage of the injured party's (plaintiff's) negligence.
- For instance, if the plaintiff is 25% responsible for their injuries, the damages awarded will be reduced by 25%.

**Modified Comparative Negligence:**

- Under this approach, the plaintiff cannot recover damages if they are equally or more responsible for the loss compared to the defendant.
- For example, if the plaintiff is 50% or more at fault for the loss, they are not eligible to receive an award for damages.
- The exact percentage applied to different types of policies is determined by state statute.

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# AU-C15 Key Legal Defenses in Liability Claims

**Assumption of Risk:**

- This defense applies when individuals knowingly put themselves in harm's way or engage in risky activities.
- By doing so, they may be prevented from seeking damages from a negligent party.

**Intervening Cause:**

- Under the common law, this defense asserts that an independent action interrupts the chain of causation, leading to a new series of events.
- The intervening cause then becomes the proximate cause of the loss, absolving the defendant of liability.

**Statute of Limitations:**

- A statutory defense that sets a time limit for plaintiffs to file a lawsuit.
- Different types of negligence cases may have varying statutes of limitations.

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# AU-C16 Understanding Liability Policy Limits

**Single Limit:**

- The highest amount the policy will pay for any single accident or occurrence.
- Combines coverage for bodily injury and property damage under one specified amount.

Split Limits:

- Commonly used in automobile policies, expressed as three figures (e.g., $30,000/$60,000/$25,000 or 30/60/25).
- The first limit is the maximum amount paid per person for bodily injury, per occurrence.
- The second limit is the maximum amount paid for all people injured, per occurrence.
- The third limit is the maximum amount paid for property damage, per occurrence.

**Aggregate Limit:**

- The maximum amount the policy will pay for all occurrences during the policy period.
- When the aggregate limit is reached, the insured is no longer covered.
- Often presented with two figures, such as $500,000/$2,000,000.
- $500,000 is the limit per occurrence, and $2,000,000 is the total aggregate limit for all occurrences during the policy period.

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# AU-C17 Distinguishing Accident & Occurrence

**Accident/Occurrence**

- Accident and Occurrence Defined: Both terms refer to a sudden and unforeseen event resulting in a loss.
- Expanded Occurrence Definition: "Occurrence" can also encompass continuous or repeated exposure leading to a financial loss.

**Claims-Made vs. Occurrence Forms**

- Occurrence Forms: Coverage applies if the occurrence took place during the policy period, regardless of when the claim is filed.
- Claims-Made Forms: Coverage requires both the occurrence and claim filing to occur within the policy period.
- Post-Expiration Claims: Claims filed after policy expiration are not covered, even if the occurrence happened during the policy period.

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# AU-C18 Understanding Policy Provisions

**Duty to Defend**

- When a claim is made against the insured for an alleged wrongful act, the insurer must defend the insured, even if the claim is groundless or false.
- The insurer manages the defense process and covers all legal expenses based on the policy type.

**Malfeasance**

- A legal term used in both civil and criminal law.
- It refers to an intentional act that is illegal or morally wrong and results in harm to another person.

**No-Fault Coverage**

- This type of insurance provides indemnification for losses, regardless of fault in the incident.
- Commonly found in automobile and Workers Compensation policies.

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# AU-C19 Understanding Non Concurrency & Supplementary Payments

**Nonconcurrency:**

- Nonconcurrency arises when the inception and expiration dates of the underlying liability policy and excess liability policy differ.
- This situation can result in claim denial because the excess policy can only pay after exhausting the limits of the underlying policy.
- If the underlying policy has already expired, the excess policy may be unable to pay for the claim.

**Supplementary Payments:**

- Supplementary Payments encompass various expenses incurred by the insured during claim defense, including first-aid expenses, premiums for bonds, pre- and post-judgment interest, and travel expenses.
- The insurer may request these payments from the insured.
- Depending on the policy type, supplementary payments can either reduce the policy limits or be provided "in addition to" the policy limits.

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# AU-C20 Post-Loss Duties in Liability Insurance

After experiencing a covered loss, the insured is obligated to fulfill certain duties as outlined in the liability insurance policy. These duties typically include:

**Prompt Notification:**
The insured must immediately inform the insurance company about the loss or the possibility of litigation.

**Forwarding Legal Papers:**
Any summonses, notices, or legal documents received by the insured should be promptly forwarded to the insurer.

**Providing Assistance:**
The insured should cooperate with the insurer in the claims process or any legal proceedings. This may involve sharing information about claimants or witnesses and even testifying in court, if necessary.

**Caution with Liability:**
It is crucial for the insured not to assume any liability voluntarily by making payments or restitution to the claimant without the insurer's knowledge or consent.

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# AU-C21 Exclusions in Liability Insurance

Just like any insurance policy, liability insurance policies come with certain exclusions to the coverage.

Typical liability exclusions include:

- Property Damage to the Insured's Own Property: Liability coverage does not extend to damage incurred by the insured's own property.
- Property Damage to Property in the Insured's Care, Custody, or Control: Any property damage to items under the insured's care, custody, or control is typically excluded.
- Bodily Injury to an Insured: Liability policies generally do not cover bodily injury suffered by the insured.
- Losses Covered by Workers' Compensation Laws: Claims that are compensable under workers' compensation laws are typically excluded from liability coverage.
- Losses Covered by a Nuclear Energy Liability Policy: Liability arising from nuclear energy-related incidents may be excluded.
- Intentional Acts Causing Bodily Injury or Property Damage: Liability policies typically do not cover damages resulting from intentional acts by the insured causing harm to others.

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# AU-D1 Types of Property Insurance

**Real Property:**

- Refers to buildings and structures (excluding land) that are eligible for coverage.
- Houses, commercial buildings, warehouses, etc.

**Personal Property:**

- Included in Both Personal and Commercial Property Policies.
- Personal Property in Use: Items like furniture, household goods, fixtures, machinery, equipment, etc., that are actively in use.
- Personal Property Held for Sale: Refers to products or merchandise held in inventory by manufacturers or merchants for sale.

**Property with Right of Possession or Use:**

- Covers buildings, structures, equipment, vehicles, machinery, etc., that are rented or leased and need insurance protection.
- Rental properties, leased equipment, vehicles under lease agreements, etc.

Remember, property insurance reimburses the policyholder for covered property losses resulting from specified risks mentioned in the policy. The coverage extends to various types of property based on the policy's terms and conditions.

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# AU-D2 Who Is Insured?

In a property insurance policy, the "insured" refers to anyone with an insurable interest in the covered property, who would suffer financial loss if the property were damaged or destroyed by a covered peril. Additionally, the following parties may also be covered by a property insurance policy:

**Family Members of the Named Insured:**

- Includes family members living in the same household as the named insured.
- Coverage extends to their personal property against covered losses.

**Employees of the Insured Business:**

- Employees working for the insured business are covered for loss to their personal property.
- This coverage provides protection for their belongings within the business premises.

**Lien Holders:**

- Refers to entities or individuals who have a financial interest in the insured property.
- They are covered for damage to the property they hold a lien on, which was purchased on credit by the insured.
- Examples include banks financing new equipment for the insured business or mortgage holders (mortgagees) on a house purchased by the named insured.

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# AU-D3 Property Insurance Coverage: Specific vs. Blanket

**Specific (Scheduled) Coverage:**

- Property policies often have separate limits for different types of property.
- Specific (scheduled) insurance applies individual limits per item covered.
- For example, a policy may have one limit for the building and another for the personal property within it.
- Each item's coverage is subject to its specific limit, offering tailored protection.

**Blanket Coverage:**

- Blanket coverage applies a single limit of coverage to multiple similar items.
- A single limit covers all items, providing flexibility and potential advantages.
- Avoids underinsurance on specific items covered under the policy.
- For instance, if Willie's Widgets has two buildings, he can insure both for a total blanket limit of $1,200,000.
- If one building sustains a loss of $440,000, the full amount of the loss (up to the policy limit) will be covered.
- Using a blanket policy prevents the need to pay out-of-pocket due to specific coverage limits.

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# AU-D4 Reporting Form Coverage

**Reporting Form Coverage**

- With "reporting form coverage," insured individuals report property values to the insurance company periodically (usually monthly).
- This type of coverage is common for insuring inventory, where values frequently fluctuate.
- The insured pays a premium based on the reported inventory value at the time of the report.
- This approach allows the insured to secure coverage for the highest necessary amount while only paying premiums for the actual exposed inventory.
- The initial premium is considered "provisional" and is adjusted after the report to reflect the actual inventory value.
- Insureds must provide accurate and timely reports; penalties apply for late or inaccurate submissions.
- By utilizing reporting form coverage, businesses can adapt their insurance coverage to changing inventory levels, ensuring appropriate protection while optimizing premium costs.

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# AU-D5 Deductibles: Straight & Franchise

**Straight Deductible**:

- A fixed amount deducted from the loss payment, regardless of the loss amount.
- Example: If the policy has a $250 straight deductible, $250 will be subtracted from the loss payment, regardless of the loss being $2,000, $3,000, or any other amount.

**Franchise Deductible**:

- No loss payment made unless the total loss exceeds the franchise deductible amount specified in the policy.
- If the loss exceeds the franchise deductible, the insurer pays the entire loss amount.
- Example: Riley's Rivispins, Inc. with a $50,000 franchise deductible. For a $30,000 loss, Riley's pays the full amount. For a $60,000 loss, the INSURER covers the full loss.
- Commonly used in commercial property policies.

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# AU-D6 Property Insurance Deductibles: Percentage & Windstorm Deductibles

**Percentage Deductibles:**

- Found typically in Homeowners policies.
- Deducts a percentage of:
  - The property value, or the policy limits.
- Often calculated as a percentage of the total coverage (policy limit) for the property.
- Example: A home insured for $300,000 with a 2% deductible would require the insured to pay $6,000 as the deductible amount.

**Windstorm Deductibles:**

- Required in states prone to significant wind-related losses (e.g., hurricanes).
- Applied to policies covering dwellings and commercial buildings in high-risk geographic areas.
- Windstorm deductibles range from 1% to 10% of the insured value of the structure.
- Usually in addition to any other deductible specified in the policy Declarations, as determined by state law.
- Currently used in 19 states and the District of Columbia.

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# AU-D7 Named vs. Open Peril Coverage

Property coverage forms offer protection against losses or damages caused by "insured perils," which are the actual causes of loss. These coverage forms can be categorized as either "named peril" or "open peril" forms, based on the attached "cause of loss" form.

**Open Peril**

- Open peril forms provide coverage for all direct physical losses, except those specifically excluded.
- This type of coverage may also be known as "all risk," "special," or "comprehensive coverage."
- When a claim is made under an "open peril" form, the insurance company bears the burden of proving that the loss falls under an exclusion.

**Named Peril**

- Named Peril forms list the specific perils or "causes of loss" covered by the policy.
- Any peril not listed in the policy is not covered.
- The list of insured perils is added to the coverage form through a "cause of loss form" attached to the policy. "Named peril" policies may also be referred to as "specified peril".
- When a claim is submitted under a "named peril" form, the insured must demonstrate that the loss resulted from a covered peril.

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# AU-D8 The Basic Form

The coverage provided by the different property insurance coverage forms is determined by the type of "cause of loss" form attached to them. Specifically, whether it's the basic, broad, or special cause of loss form will dictate the perils covered.

The "basic cause of loss" form offers the most economical coverage option for policyholders. It operates as a named peril form, historically covering only the following perils:

- Fire (hostile fire that expands beyond its intended boundaries; damage from friendly fire or intentional loss not covered)
- Lightning (natural electricity, not man-made)
- Internal Explosion (any explosion occurring within the covered location)

**Extended Coverage Endorsement (EC Perils)**

- Due to the limited scope of the basic cause of loss form, the Extended Coverage Endorsement (EC Perils) was often added to it.
- Over time, many states enacted laws prohibiting insurers from issuing policies that solely cover the basic form perils.
- These statutes now mandate the inclusion of Extended Coverage (EC) perils on any property policy that covers the peril of "fire" within their jurisdiction. The EC perils may be required on residential property policies only or both residential and commercial property policies, depending on state regulations.

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# AU-D9 The Basic Form with Extended Coverage (EC) Perils

The basic form with the EC perils offers a comprehensive coverage package, including protection against fire, lightning, internal explosion, and additional perils below:

- Wind: Covers exterior damage, and interior damage if it's a result of prior exterior damage (e.g., wind causing roof damage leading to interior leaks).
- Civil commotion: Provides coverage for damage caused by large groups of people, such as protestors.
- Smoke: Covers smoke damage, excluding friendly fire sources like fireplaces.
- Hail: Protection against solid ice balls or lumps.
- Aircraft: Insures damage caused by physical contact with any part of an aircraft.
- Vehicles: Covers damage resulting from a vehicle's contact with the insured property.
- Volcanic eruption: Protection against damage from lava, ash, debris, and air shockwaves.
- Explosion: Insures against damage caused by an explosion away from the covered location.
- Riot: Covers damage caused by an assembly of individuals, typically a smaller group than in a civil commotion, such as striking employees.

Vandalism & Malicious Mischief is another optional coverage available, providing protection against willful and malicious actions, often involving criminal activities. To purchase V&MM coverage, the insured must also opt for the EC perils.

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# AU-D10 The Broad Perils Cause of Loss Form

Similar to the basic form, the broad perils cause of loss form is a named peril form, but it offers additional coverage, making it somewhat more expensive.

The broad form includes all perils from the basic form, the EC perils, and the V&MM additional coverage. In addition, it introduces the BIG AFFECT coverages:

- B - Burglary damage: Covers damage caused by a burglar while breaking into the property.
- I - Ice, sleet, and snow: Insures losses caused by the weight of these frozen elements.
- G - Glass breakage: Protection against damage to glass items within the property.
- A - Accidental discharge of water or steam: (Exclusions apply within specific forms.)
- F - Freezing objects: (Exclusions apply within specific forms.)
- F - Falling objects: (Exclusions apply within specific forms.)
- E - Electrical current: Covers sudden, artificially generated electrical current.
- C - Collapse: Insures losses due to the collapse of the property or its components.
- T - Tearing asunder: (Exclusions apply within specific forms.)

The broad form expands coverage, providing additional protection against various perils and potential losses.

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# AU-D11 The Special Cause of Loss Form

The special cause of loss form offers open peril coverage, making it the most comprehensive and expensive of all cause of loss forms. It provides coverage for all risks of direct physical loss, unless specifically excluded. We will discuss specific exclusions in detail when we review individual property insurance policies. However, it's essential to remember certain perils that are typically excluded unless they are covered through additions, extensions, or an endorsement.

These exclusions are significant:

- Flood
- Earthquake
- Mold
- Intentional damage caused by the insured
- Losses incurred due to updated building codes
- Property parts in disrepair (e.g., worn-out electrical wiring, plumbing, HVAC units, and roofs)
- Damage caused by a power outage originating off the insured premises
- Government seizure of property

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# AU-D12 Special Provisions

**Special Provisions**

- In reviewing property insurance policies, it's crucial to recognize that certain perils may initially appear listed in the exclusions section. However, they might later be covered under additions or extensions of coverage within the policy.
- When a cause of loss is reinstated through additions or extensions, it usually comes with a special limit that is lower than the limit of insurance applicable if the peril had been covered under the original insuring agreement.
- For example, we mentioned that losses due to updated building codes are typically excluded. However, a limited coverage for "ordinance or law" is often added back as an additional coverage to address increased repair costs due to updated codes. This highlights the importance of carefully examining policy provisions to understand the scope of coverage.
- Moreover, while some perils might be covered in the policy, the coverage amount might be inadequate for the insured's needs or not meet state-mandated limits. To address this, individual states have formulated "Special Provisions" endorsement forms to modify standard cause of loss forms and comply with state requirements.
- For instance, certain states may require a statutory special provisions endorsement that elevates the limit of additional coverage for "credit card, electronic fund transfer card or access device, forgery, and counterfeit money" from $500 to $1,000.

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# AU-D13 Distinguishing Perils: Burglary, Robbery, and Theft

In the realm of insurance coverage, terms like "burglary," "robbery," and "theft" may seem similar, but there are subtle distinctions in their meanings.

**Burglary/Robbery**

- "Burglary" refers to an intruder entering a residential or commercial structure with the intent to steal, regardless of whether property is actually taken.
- The damage caused during the break-in is considered a broad form peril, while stolen items may be covered under the personal property insuring agreement.
- On the other hand, "robbery" involves forcibly taking something from another person or using the threat of force.

**Theft**

- "Theft," or "larceny," is simply the unlawful taking of property.
- It encompasses acts like burglary or robbery but also includes secretly taking property without the owner's or anyone else's knowledge.
- For instance, employee embezzlement or customer shoplifting falls under theft.

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# AU-D14 Direct & Indirect Loss

Property insurance policies explicitly specify whether they cover "direct loss," "indirect loss," or both. Distinguishing between these types of losses is crucial in determining coverage when a property suffers damage.

**Direct Loss:**

- Direct loss occurs as a direct consequence of a peril. For instance, if a covered house catches fire and sustains damage, the damage to the house results directly from the peril of fire. This is known as a "direct physical loss."

**Indirect Loss (Consequential Loss):**

- Indirect loss, also called consequential loss, occurs as a consequence of the direct loss. Referring to the example of the fire-damaged house, an "indirect loss" caused by the fire could be the insured's loss of use of the home. During the repair period, the insured may incur living expenses for alternative accommodation.

Importantly, a policy cannot cover an indirect loss if it does not provide coverage for the direct loss. For instance, if a policy excludes the peril of "flood," any direct loss caused by a flood, such as severe damage to a house, would not be covered. Consequently, the indirect loss of additional living expenses incurred while the home is being repaired would also not be covered.

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# AU-D15 Direct Physical Loss

In property insurance policies, coverage is contingent upon the occurrence of a "direct physical loss."

- A direct physical loss arises when an accident or event alters the property in a way that renders it unusable for its intended purpose.
- This may involve damage to the property that necessitates repairs before it can be functional again.
- In situations where coverage is questioned, the insured typically needs to provide evidence that the property underwent a physical transformation that meets the criteria for coverage.

**Requirement**

- In essence, for property insurance to apply, there must be tangible evidence of a direct physical change or damage to the insured property.
- This threshold requirement is essential in determining whether the policy covers the loss or event in question.

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# AU-D16 Understanding Efficient Proximate Cause vs. Concurrent Cause in Property Loss Claims

In first-party property loss claims where there is no direct physical loss, but multiple perils are involved, determining the legal cause (proximate cause) of the loss can be complex. Two competing doctrines, the "Efficient Proximate Cause" and "Concurrent Cause" doctrines, are applied to ascertain coverage when excluded perils are combined with covered perils to cause the loss.

**Efficient Proximate Cause Doctrine:**

- This doctrine is applicable when multiple perils are "dependent" on one another.
- Covered perils initiate or trigger the excluded perils that ultimately lead to the loss.
- The covered peril is considered the efficient or dominant cause of the loss, and coverage may be granted based on this cause.

**Concurrent Cause Doctrine:**

- This doctrine applies when multiple perils are "independent" of each other.
- The perils are not related, and no single peril alone could have caused the loss.
- When these independent perils combine to bring about the loss, coverage may be considered for the damage caused.

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# AU-D17 Total vs. Partial Losses

Before settling a loss under a property insurance policy, it is crucial to determine whether the damaged property constitutes a "total loss" or a "partial loss." Understanding these terms is vital as they influence how different policies handle such losses. State statutes may also come into play when assessing total or partial losses in residential property or automobile policies.

**Total Loss:**

- Actual Total Loss: Occurs when the covered property is completely destroyed beyond repair, leaving no salvageable value. For instance, when a residential or commercial building is completely consumed by fire and cannot be used or salvaged.
- Constructive Total Loss: Arises when the cost of repairing the damaged property exceeds the policy limit or the post-repair value of the property. For instance, a covered automobile sustains significant damage in a crash, and the repair cost exceeds the cost of replacing the vehicle with the same make and model.

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# AU-D18 Total vs. Partial Losses

In property insurance, there are two types of partial losses to consider:

**Partial Average Loss:**

- A partial average loss refers to a situation where the insured property sustains damage but is not completely destroyed or rendered useless.
- The loss also does not fully deplete the policy's coverage limits.
- For instance, if a policyholder accidentally collides with a dumpster while backing out of a parking space, resulting in damage to the front right fender and headlamp of the vehicle. In this scenario, the insurer will cover the repair costs as long as they do not exceed the policy limits.

**General Average Loss:**

- A general average loss occurs when the insured voluntarily incurs a loss to prevent further damage to the property.
- For example, a homeowner may intentionally cause water damage to her living room by using a garden hose to extinguish a fire that started on her sofa. This action prevents the fire from spreading and causing more extensive damage.
- The concept of general average loss is also commonly applied in marine insurance, where a ship's crew may jettison some cargo overboard to prevent the ship from sinking, thereby avoiding a more catastrophic loss.

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# AU-D19 Coverage Extensions & Additions

**Coverage "Extension":**

- A coverage extension refers to the expansion of an existing coverage within the policy.
- For instance, Commercial Property policies may automatically include extensions of coverage if the insured agrees to cover the property for at least 80% of its value. By agreeing to this condition, the "personal property of others" coverage will be extended, providing a higher limit than what is initially provided in the insuring agreement.
- Another example of a coverage extension is the inclusion of coverage for "newly acquired" property of the same type already covered by the policy, such as in auto insurance. However, it is crucial for the insured to report the newly acquired vehicle within a specific time-frame specified in the policy.

**Coverage "Addition":**

- On the other hand, a coverage addition is an extra coverage listed in the "Additional Coverages" section of the policy. It might offer a higher limit for a specific coverage or extend coverage for a peril that is initially excluded under the insuring agreements in the policy.
- For instance, the policy may include an additional coverage for debris removal, listed separately in the "Additional Coverages" section. This additional coverage will have its own limit and specific conditions for when it comes into effect.

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# AU-D20 Notable Additions & Extensions

As we delve into the specifics of property insurance policies, it's crucial to be aware of certain additions and extensions that can be particularly troublesome if not carefully considered.

State statutory forms often amend these aspects to ensure adequate coverage:

- "Debris Removal": While covered under the policy, the standard amount of coverage may prove insufficient for property owners in many loss scenarios.
- "Pollution Clean-Up and Removal": Although covered, this aspect might have numerous exclusions, potentially leaving insured individuals with no coverage at all.
- "Increased Cost of Construction, Ordinance or Law, or Building and Ordinance": Typically excluded in property policies' insuring agreements, this coverage can be added as an additional coverage.
- "Newly Acquired or Constructed Property and Property Off-Premises": Offers coverage for personal property when an insured constructs a new building, but the coverage period is limited.

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# AU-D21 Determining Compensation

When a property insurance claim is lodged, the insurance company is legally obligated to provide appropriate compensation.

The process of calculating the loss's value and settling it is outlined in the policy's "valuation" or "loss settlement" condition.

Depending on the policy type and specific loss settlement conditions, the insured can receive the least of the following amounts on the claim:

- Policy Limits (particularly relevant for total loss or under valued policy law)
- Actual Cash Value (ACV)
- Cost to Repair (with similar kind and quality)
- Replacement Cost Value (RV)
- Insurable Interest (pertaining to lessees or mortgagees)

Once the value is determined, any relevant deductible will be deducted from the payment issued by the insurance company.

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# AU-D22 Actual Cash Value (ACV)

**Actual Cash Value**

- Traditional ACV Definition: "Cost of replacement minus depreciation."
- Evolving ACV Definition: "Replacement cost less a deduction for depreciation, age, condition, and obsolescence."

**Legal Interpretations**

- Some courts consider ACV as the "fair market value" – the price someone would pay for the property today.
- Impact of "Obsolescence": Insurers may adjust the claim payment based on reduced market value due to property obsolescence.

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# AU-D23 Actual Cash Value (ACV) Calculation Methods

**Broad Evidence Rule**

- Court's' ruling on calculating ACV.
- Utilizes "replacement cost minus depreciation" and other value standards determined by a judge.

**ACV Determination**

- Traditional Definition: "Cost of replacement minus depreciation."
- Expanded Definition: "Replacement cost less a deduction for depreciation, age, condition, and obsolescence."

**Value Assessment**

Broad evidence rule considers any evidence to establish the value of damaged or destroyed property for ACV determination.

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# AU-D24 Replacement Cost Value (RCV)

**RCV Definition**
"The current cost to purchase new, the item that was lost or damaged, with no deduction for depreciation."

**RCV Full Coverage**
Policy covers the entire value of the property, enabling the insured to purchase "substantially identical" property of like kind and quality to replace the lost, damaged, or destroyed property.

Considerations:

- Sometimes, it may be impossible to find a substantially identical property (e.g., when it no longer exists) or unnecessary.
- In such cases, "functional replacement cost" is used to determine the value, covering the cost to replace the property with one that serves the same function.

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# AU-D25 Agreed Value, Stated Value, & Valued Policy Laws

**Agreed Value**

- Used when actual cash value is challenging to determine.
- In case of total loss, insurer pays the agreed-upon value scheduled in the policy at the time of purchase.

**Stated Value**

- Pays either the value stated in the policy or the actual cash value (ACV) in the event of a total loss, whichever is lower.
- Lower premium compared to Agreed Value policies.

**Valued Policy Laws (VPL)**

- Implemented in 20 states, requiring insurers to pay the full policy limit in the event of a total loss.
- Payment equals the "face value" or "full policy limit."

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# AU-D26 Coinsurance Clause

**Overview of Coinsurance Clause**

- Commonly found in property insurance policies for dwellings and commercial buildings.
- Also known as the "loss settlement clause."

**Coverage Requirement: "Insurance to Value" (ITV)**

- Policy coverage must approximate the value of the structure being insured.
- Typically expressed as a percentage of the replacement cost value (e.g., 75%).

Calculating Coverage Limit
Example: Building valued at $1,000,000 requires at least 75% coverage, so the policy limit should be $750,000 (75% of $1,000,000).

**Partial Loss Payments**

- If insured meets the required coinsurance percentage at the time of loss, partial losses to the covered building are paid in full up to the policy limit.
- If insured carries less coverage than the required percentage (e.g., 60%), partial losses may not be fully covered by the insurer.

**Total Loss Exception**
Coinsurance clause does not apply in the case of a total loss.

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# AU-D27 Coinsurance & Partial Loss Calculation

**Understanding Coinsurance**

- Coinsurance requirement only applies to partial losses, the most common type under property insurance policies.
- Total loss coverage pays the policy limit, minus the deductible.
- Coinsurance Formula:
- "Amount Carried" ÷ "Should Have Carried" × "Amount of Loss" = "Insurer Will Pay"

**Example Calculation:**

- Office building valued at $1,000,000 with a $25,000 loss.
- Insured carried 75% insurance to value, which is $750,000 (75% of $1,000,000).
- Insured should have carried 85% insurance to value, which is $850,000 (85% of $1,000,000).
- Applying the formula: $750,000 ÷ $850,000 × $25,000 = $22,058.
- The insurer will pay $22,058, minus any applicable deductible.

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# AU-D28 Appraisal & Arbitration

**Appraisal Clause**

- Used when there is a disagreement between the insurance company and the insured regarding the claim payment amount.
- Either party can demand an appraisal, and each party covers the cost of their appraiser.
- Appraisers select an umpire, and when any two of the three parties agree on the amount, the decision becomes binding.

Example: Insured values a damaged sink at $100, while the insurer values it at $200. The first appraiser agrees with the insured, but the second appraiser and the umpire agree with the insurer. The claim payment for the door will be $100.

**Arbitration Clause**

- Used when disagreements involve coverage rather than claim value.
- Objective third party (disinterested) listens to both sides and provides a solution.
- Arbitration is pursued as an alternative to litigation (lawsuit in a court of law) when disputes arise.

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# AU-D29 Duties of the Insured After a Property Loss

Duties of the Insured:

- Provide prompt notice of loss to the insurer.
- Cooperate with the insurer throughout the claims process.
- Preserve the insurer's rights in the event of a loss.
- Create an inventory of the damaged property.
- Take reasonable measures to prevent further loss.
- Display the damaged property upon insurer's request.
- Submit to questions under oath if required.
- Report thefts to the police.
- Disclose any other existing insurance coverage that may cover the loss.
- Submit a "proof of loss" within the time period specified by state statute. (Proof of loss forms provided by the insurance company.)
- Complying with State Statutes
- Completion of duties within prescribed time-frames mandated by law.

Note: Failure to fulfill duties may jeopardize coverage for the loss.

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# AU-D30 Abandonment Clause & Salvage

**Abandonment Clause in Property Insurance**

- Prohibits the insured from abandoning damaged property to the insurance company for repair or disposal.
- The insured is expected to have the property repaired or disposed of, unless the insurer elects to take possession of the salvage.

**Understanding Salvage**

- Salvage refers to the usable material left over after property has been partially damaged by an insured peril.
- Salvage can exist even if the property is declared a total loss.

**Insurance Company's Rights to Salvage**

- The insurance company has the right to claim any salvage on claims they have fully paid on a total loss.
- The insurer may sell salvage to recoup a portion of the claim they paid.

Example: An auto insurer declares a covered vehicle as a total loss and pays the claim in full.
The insurer may then sell undamaged parts of the vehicle, such as sheet metal, as salvage to recover some of the claim amount.

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# AU-D31 Handling Losses Involving Sets or Pairs

**Provision in Homeowners and Commercial Property Policies**
If losses involve items that are part of a set or one of a pair.

Two Options for the Insurer:

1. Repair or replace any part to restore the pair or set to its value prior to the loss.

2. Pay the difference between the actual cash value (ACV) of the property before and after the loss.

**Ensuring Equitable Compensation**
This provision aims to ensure fair compensation in cases where a loss affects only a portion of a set or a pair of items.

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# AU-D32 Vacancy & Unoccupancy

**Vacancy and Unoccupancy Provision**

- Coverage ceases after a dwelling or building is vacant or unoccupied for a specified number of days.
- "Vacant" implies the building is empty and void of contents.
- "Unoccupied" means without occupants, but personal property may still be present.
- Insurers are more worried about vacancy than unoccupancy due to the increased risks associated with empty buildings.
- When a covered structure is vacant for a certain period, certain coverages are no longer provided.
- State-specific special provisions endorsement determines the number of days and the perils no longer covered.
- 30 days and 60 days are the most frequent time frames used to determine vacancy for coverage purposes.

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# AU-D33 Mortgagee Clause

**Protecting the Bank's Interest**

- The mortgagee clause safeguards the insurable interest of the bank/financial institution holding the property's mortgage.
- Coverage extends against loss by insured perils.

**Bank's Coverage Benefits**

- Even if the insured intentionally caused the loss, the mortgagee retains coverage under this clause.
- The bank can provide proof of loss or pay insurance premiums if the insured is unable or unwilling to do so.
- The mortgagee must be informed if the insurance contract has been canceled or not renewed by the insurer.

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# AU-D34 Special Provisions in Property Insurance

**The Loss Payable Clause**

- Protects the interest of a "loss payee" entity that has extended credit or leased chattel property to the insured.
- Found in policies covering automobiles or boats instead of the standard mortgage clause.

**No Benefit to Bailee Clause**

- The insured's property insurance policy covers the insured, not temporary custodians (bailees) of the insured's property.

Example: If the insured's property is destroyed while at a dry cleaning business, the insurance company indemnifies the insured, not the dry cleaner. The insurance company may subrogate against the bailee if their negligence caused the loss after paying the insured.

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# AU-D35 Building Materials & Property Insurance Premiums

**Importance of Building Materials**
The type of building materials used in a house or building covered by a property insurance policy significantly impacts the premium rates.

**Vulnerability to Perils**
Certain materials are more susceptible to loss caused by covered perils.

**Factors for the Insured and Insurer**

- Building materials influence the type of insurance selected for coverage.
- They play a crucial role in determining the premium rate charged to the insured.

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# AU-D36 Construction Categories & Insurance Rates

**ISO and AAIS Construction Categories**
Used to develop insurance rates for insuring structures.

**Frame Construction**
- Wood frame supporting the structure, covered by brick, stone, wood, or stucco veneer.
- Most susceptible to fire and wind but cost-effective.

**Joisted Masonry Construction**
- Exterior walls made of bricks, cinder blocks, precast cement walls, gypsum block, clay tile, or stone.
- Structural floors and roof constructed of combustible materials.
- Less susceptible to fire and wind but relatively more expensive.

**Non-Combustible Construction**
- Entirely made of light steel or similar non-combustible materials.
- Commonly used for garages or utility buildings.
- Less susceptible to fire than Frame or Joisted Masonry, but wind resistance can vary.

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# AU-D37 Building Construction Categories

**Masonry Non-Combustible Construction**

- Outer walls made of materials similar to joisted masonry.
- Non-combustible materials used for floors and roof.
- Highly fire-resistant and better wind resistance compared to other construction types.

**Modified Fire Resistive Construction**

- Exterior walls, floors, and roof made of masonry fire-resistive materials.
- Fire resistance rating of at least 1 hour.

**Fire Resistive Construction**

- Exterior walls, floors, and roof constructed of masonry fire-resistive materials.
- Fire resistance rating of at least 2 hours.

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# AU-D38 FAIR Plans: Access to Property Insurance

**FAIR Plans and Residual Market**

- State-mandated insurance programs providing access to property insurance for those unable to secure coverage in the standard market.
- Considered part of the "residual market" in each state.

**High-Risk Considerations**

- Insurers in the standard market may deem individuals or properties as "high risk" based on claims history or property characteristics.

**Challenges in Finding Coverage**

- Difficulty finding insurance coverage often arises in areas with high crime, vandalism, or theft rates.
- Properties in disrepair may also face challenges.

**FAIR Plan Coverage and Requirements**

- FAIR plans don't deny coverage due to uncontrollable environmental hazards.
- Repairs may be required before granting coverage.

**State-Specific FAIR Plans**

- Each state has its own version of the FAIR Plan, along with associated laws and regulations.

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# AU-E1 Personal Package Policies

**Personal Package Policies (PPP):**

- Definition: Personal Package Policies offer a single insurance contract with a common expiration date and consistent policy conditions.
- All-in-One Coverage: With a PPP, the insured enjoys comprehensive protection without worrying about coverage gaps, as it bundles various insurance needs into one convenient package.

**Comprehensive Protection:**

- Simplified Coverage: Instead of dealing with multiple contracts from different insurers, PPP provides a seamless solution, combining home, automobile, and other selected coverages into a single policy.
- Peace of Mind: Insureds can trust that their assets are well-protected with an all-encompassing package, tailored to their unique requirements.

**Advantages for Insureds:**

- Cost-Effective: PPP offers lower premium rates since insurers benefit from streamlined administration and billing processes.
- Time-Saving: Simplified policy management saves time for both the insured and the insurer.

**Simplified Administration for Insurers:**

- Efficiency Gains: By managing fewer contracts, insurers experience operational efficiency and reduced administrative burden.
- Enhanced Customer Experience: Streamlined processes lead to better service and customer satisfaction.

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# AU-E2 Homeowners Policy

**Homeowners Policy: A Multi-Line, Personal Package Policy**

- A Homeowners policy is known as a "multi-line policy" as it offers a combination of property and casualty (liability) coverages within a single insurance contract.
- By incorporating both property and casualty coverages, this policy ensures comprehensive protection for various aspects of an insured's home and personal belongings.

**Comprehensive Coverage: Combining Property and Casualty**

- Homeowners can enhance their protection by adding the "multi-line policy" to a "personal package policy," providing an extensive range of personal lines insurance.
- A consolidated policy streamlines insurance management, simplifying the process for both the insured and the insurer.

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# AU-E3 Homeowners Policy

**Sections of the Homeowners Policy:**

- Section I: Property Coverages
  - Property Protection: This section covers the insured's dwelling, other structures, and personal property against perils such as fire, theft, and natural disasters.
  - Dwelling Coverage: Rebuilding or repairing the insured's home in case of damage or destruction due to covered perils.
  - Personal Property Coverage: Protection for personal belongings, both inside and outside the home.
  - Other Structures Coverage: Coverage for structures like sheds, garages, and fences on the insured property.

- Section II: Liability Coverages
  - Personal Liability: Protection in case the insured is legally responsible for bodily injury or property damage to others.
  - Medical Payments to Others: Coverage for medical expenses of third parties injured on the insured's property, regardless of fault.

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# AU-E4 Homeowners Policy Eligibility Requirements

**Requirements**

- The named insured must be the owner-occupant of the dwelling or condominium. (For renters, a special form is available for personal property coverage.)
- The property must be a 1 to 4-family residential dwelling, with a maximum of one additional family or two roomers or boarders per unit.
- The covered dwelling must be used as a residence, with the exception of some "incidental occupancies".

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# AU-E5 Homeowners Policy Eligibility

**Incidental Occupancies:**

- Homeowners forms cover incidental occupancies such as offices, professional or private schools, or studios.

**Condominium Units:**

- Some insurers allow coverage for rented condominium units, provided they are used as a residence by one family or one or two tenants.

**Mobile and Trailer Homes:**

- Mobile and trailer homes are not eligible for coverage unless the "mobile home endorsement" is attached.

**Farm Dwellings and Property:**

- Farm dwellings and property are not eligible for coverage under Homeowners policies and should be insured with a Farm Insurance policy.

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# AU-E6 Homeowners Policy - Insureds

**Named Insured:**

- The policy covers the named insured and residents of their household who are relatives or under age 21 and in the care of the insured or a resident relative.

**Full-Time Students:**

- Full-time students enrolled in school and who were residents of the insured's household before moving out to attend school, are covered if they are under the age of 24.

**Life Estate or Trust:**

- A "life estate" or a "trust" can also be named as an insured on a Homeowners policy. These are types of joint ownership of real estate set up for estate and retirement planning purposes.

**Tenant's Policy:**

- A tenant who does not own the covered dwelling can purchase a Homeowners "tenant's" policy. This policy provides coverage for their personal property inside the rented or leased dwelling or other structure, including houses, apartments, mobile or trailer homes, house trailers, or condominium units.

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# AU-E7 Homeowners Policy Structure

The Homeowners policy is organized into two main sections: "Section I" and "Section II."

Section I - Property: This section includes coverage for the dwelling, attached structures, other structures not attached to the dwelling, and the personal property of the insured.

- Coverage A - Dwelling: Provides coverage for the main dwelling and attached structures.
- Coverage B - Other Structures: Covers structures that are not physically attached to the main dwelling.
- Coverage C - Personal Property: Protects the personal belongings of the insured.
- Coverage D - Loss of Use: Offers coverage for additional living expenses when the dwelling is uninhabitable due to a covered peril.

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# AU-E8 Section II - Liability

The Homeowners policy extends liability coverage through Section II of the policy. This section consists of the following insuring agreements:

**Coverage E - Personal Liability:**

- Protects the insured against bodily injury and property damage claims for which they are legally responsible.
- Coverage applies to accidents involving third parties that occur on or at the insured locations.
- Additionally, this coverage extends to the insured's liability while engaging in personal, non-business activities anywhere worldwide.

**Coverage F - Medical Payments to Others:**

- Provides coverage for medical expenses resulting from accidents that happen on or off the insured premises (in specific situations) involving non-insured individuals.

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# AU-E9 Homeowners Cause of Loss Forms

Homeowners policies provide various cause of loss forms, offering different levels of coverage. These forms are divided into two sections: Section I covers the dwelling and other structures, and Section II provides liability coverage.

**Section I - Liability:**

- Common to all Homeowners forms, covering liability for bodily injury and property damage for which the insured is legally responsible. Coverage applies to accidents occurring on or at insured locations and extends to personal, nonbusiness activities worldwide.

**Perils Insured Against:**

- Section I varies greatly depending on the selected cause of loss form, determining the specific perils covered by the policy.

**HO-1 Form:**

- Discontinued by ISO since the introduction of the 2011 Homeowners forms. It provided basic perils coverage and settled losses on a replacement cost basis.

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# AU-E10 Basic Perils Covered in Homeowners Policies

**Basic Perils**

- **Fire or Lightning:** Provides coverage for damages caused by fire or lightning.
- **Windstorm or Hail:** Covers damages caused by windstorm or hail, including watercraft, outboard motors, and related equipment while inside a fully enclosed building, but excludes losses inside the building unless an opening is created by the direct force of wind or hail.
- **Explosion:** Offers coverage for damages both inside and outside the covered property resulting from an explosion.
- **Riot or Civil Commotion:** Provides coverage for damages caused by riot or civil commotion.
- **Aircraft:** Covers damages caused by aircraft, including self-propelled missiles.
- **Vehicles:** Covers damages caused by vehicles, except for damage to fences, driveways, and walkways caused by a household member's vehicle.
- **Smoke:** Provides coverage for damages caused by smoke, excluding agricultural smudging or industrial operations. It also includes smoke from "puffback" incidents from furnaces, boilers, or similar equipment.
- **Vandalism or Malicious Mischief:** Covers damages caused by vandalism or malicious mischief unless the premises are vacant for more than a specified period.

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# AU-E11 Further Coverage in Homeowners Policies

- **Theft**: The Homeowners policies, including HO-1, HO-2, HO-3, HO-4, and HO-6, provide coverage for theft, which includes attempted theft and loss of property from a known place when theft is likely. The HO-5 offers broader theft coverage, including mysterious disappearance, with special limits of liability for specified personal property.
- **Mysterious Disappearance:** The HO-5 policy extends coverage to include mysterious disappearance, covering instances where an item is stolen, misplaced, or lost.
- **Limitations and Exclusions:** The HO-8 policy specifies a theft limit of $1,000. Certain theft losses are not covered, such as theft committed by the insured, theft in a dwelling under construction, theft of materials and supplies during construction, theft in rented parts of the residence, and theft of watercraft and equipment off the insured premises (except for HO-5 coverage with specified limits).
- **Volcanic Eruption:** Homeowners policies cover damage from volcanic eruptions, but damages resulting from earthquakes, land shock waves, or tremors are excluded.

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# AU-E12 Homeowners Form HO-7

**The HO-7 Form: Protection for Mobile and Manufactured Homes**

- Essentially identical coverage to HO-3 form
- Specifically designed for mobile and manufactured homes

**HO-7 Form Coverage:**

- Coverage for the dwelling and personal property
- Additional living expenses coverage
- Personal liability and medical payments to others coverage

**Advantages of HO-7 Form:**

- Tailored coverage for mobile and manufactured homes
- Comprehensive protection for homeowners of such properties

Note: The HO-7 form offers comparable protection to the traditional HO-3 form, but with a focus on the unique needs of mobile and manufactured homeowners.

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# AU-E13 Homeowners Form HO-8

**Purpose of HO-8 Form:**

- Addresses moral hazard in properties with significant cost-value differences
- Adjusts loss settlement basis and co-insurance requirement

**Repair Cost Settlement:**

- Dwelling and other structures insured based on repair or replacement cost using standard construction materials and methods
- Allows repairs or replacements with functionally equivalent materials without depreciation deduction

**Advantages of HO-8 Form:**

- Tailored coverage for properties with unique cost-value dynamics
- Ideal for older or historic homes with special construction needs

Note: The HO-8 form serves as a valuable option for homeowners whose properties require coverage based on the cost of repairs or replacements rather than their current market value. It offers essential protection for specific circumstances.

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# AU-E14 Homeowners Policy - Minimum Limits of Liability

**Understanding Minimum Limits:**

- Homeowners policy is a "package policy" with specific minimum limits of liability for major property coverages.
- Minimum limit of liability is based on the primary amount of insurance selected by the insured.

**Primary Amount of Insurance:**

- For HO-2, HO-3, HO-5, and HO-8 forms: Coverage A is the primary amount of insurance.
- For HO-4 (personal property form) and HO-6 (unit-owners form): Coverage C is the primary amount of insurance.

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# AU-E15 Homeowners Policy Coverage A - Dwelling & Attached Structures

**Coverage A - Dwelling and Attached Structures:**

- Coverage A encompasses the primary dwelling specified on the Declarations page.
- It also extends coverage to structures attached to the main dwelling.
- Additionally, materials and supplies utilized for the construction, alteration, or repair of the dwelling or other attached structures on the "residence premises" are included.

Note: This coverage does not apply to land, and it is not applicable to the HO-4 form designed for personal property.

**Full Replacement Cost Coverage (RCV):**

- Coverage A offers full replacement cost coverage, subject to meeting the coinsurance clause requirements.
- The insured must maintain insurance equal to at least 80% of the dwelling's replacement cost value.
- The minimum required coverage amount is determined based on the specific underwriting rules of the insurance company.

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# AU-E16 Coverage A - HO-6 Condominium Unit-Owners Form

**Coverage A of the HO-6 Form:**

- Coverage A under the HO-6 Condominium Unit-Owners form provides protection for alterations, appliances, fixtures, and improvements within the building located on the residence premises.
- It also extends coverage to property that falls under the insured's responsibility as per a corporation or association of property owner's agreement.
- Additionally, structures owned solely by the insured, other than the residence premises, at the location of the residence premises are included.

**Coverage A Limit of the HO-6 Form:**

- The standard limit of liability for Coverage A on the HO-6 form is $1,000.
- However, it is common for insureds to opt for higher coverage limits to meet their specific needs and safeguard their investment effectively.

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# AU-E17 Coverage B - Other Structures

**Coverage B - Other Structures:**

- Coverage B provides protection for structures located on the insured premises that are separate from the main dwelling. These structures may be physically disconnected from the dwelling by a clear space or connected only by a fence, utility line, or similar connection.
- Examples of "other structures" covered under Coverage B include detached garages, storage sheds, and guest houses.
- However, certain uses of these structures, such as for business purposes or rental to non-tenants of the covered dwelling, may result in coverage denial, except for rental solely for private garage purposes.

**Coverage B Limit:**

- The amount of coverage provided under Coverage B is a percentage of Coverage A.
- For one or two-family dwellings, Coverage B is 10% of the Coverage A limit.
- For three or four-family dwellings, Coverage B is 5% of the Coverage A limit.
- Coverage B is additional insurance that ensures adequate protection for other structures on the insured premises.

**HO-6 Coverage:**

- Under HO-6, owned garages or storage buildings can be covered for a specified amount, if additional coverage is required.

**HO-8 Limitation:**

- However, under HO-8 form, Coverage B cannot be increased through endorsement, and the standard percentage applies.

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# AU-E18 Coverage C - Personal Property

**Coverage C - Personal Property:**

- Coverage C offers comprehensive protection for personal property owned or used by the insured, regardless of its location worldwide.
- The insured has the flexibility to include coverage for property owned by others while at any residence occupied by the insured.
- Under the HO-8 form, non-scheduled personal property is covered up to the full limit, but only on the residence premises. Away from the premises, the coverage extends to 10% of Coverage C or $1,000, whichever is greater.

**Percentage of Coverage A for Coverage C:**

- Additional insurance is provided for Coverage C in the HO-2, HO-3, and HO-5 forms, based on a percentage of Coverage A and the number of family units.
- For one or two-family dwellings, Coverage C receives 50% of Coverage A.
- For a three-family dwelling, Coverage C receives 30% of Coverage A.
- For a four-family dwelling, Coverage C receives 25% of Coverage A.

**HO-4 and HO-6 Coverage:**

- In the HO-4 and HO-6 forms, the insured determines the coverage amount based on the actual value of their contents.
- The percentage of Coverage A for Coverage C may vary depending on state laws. The percentages mentioned here are specific to the ISO standardized Homeowners forms.

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# AU-E19 Coverage C - Personal Property

**Coverage C - Personal Property:**

- Coverage C includes protection for the insured's personal property, and upon request, it can extend to cover additional items as follows:
  - Personal property of others while located at the insured's premises.
  - Personal property of a guest or an employee of the insured's residence.
- For personal property kept at a location other than the insured premises listed on the declarations page, the coverage amount will be the greater of $1,000 or 10% of Coverage C.

**Moving to a New Residence:**

- When the insured moves to a newly purchased primary residence, personal property coverage is provided on a pro-rata basis between the old and new locations for 30 days in case of a loss.

**Personal Property at Self-Storage Facilities:**

- Coverage for personal property stored in self-storage facilities is limited to 10% of Coverage C or $1,000, whichever amount is greater.

Note: The insured can request additional coverage for specific personal property items, allowing for tailored protection based on individual needs.

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# AU-E20 Coverage C - Special Limits of Liability

Under the standardized ISO Homeowners forms, Coverage C provides "special limits of liability" for certain property items. Please note that state-specific (statutory) forms may amend these special limits.

**Special Limits and Property Covered:**

- $200 - Money, bank notes, bullion, gold, and silver.
- $250 - Tapes, records, disks, media, wires, and antennas in or on a motor vehicle, used with audio, data, or visual signal equipment.
- $1,500 - Portable electronic equipment while in, on, or away from a motor vehicle, powered from the vehicle's electrical system or other sources.
- $1,500 - Securities, accounts, deeds, evidence of debt, letters of credit (including research, replacement, or restoration costs for lost or damaged property).
- $1,500 - Watercraft of all types, including trailers, furnishings, and equipment.
- $1,500 - Trailers and semitrailers not used with watercraft.
- $1,500 - Property used for business purposes off the residence premises, including electronic apparatus used primarily for business purposes outside a motor vehicle.
- $2,500 - Property used for business purposes on the residence premises.

Note: These special limits ensure coverage for specific items but may have limitations based on the Homeowners form used and state regulations.

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# AU-E21 Coverage C - Special Limits of Liability

The following limits apply specifically to "theft of" the property. Please note that these items would already be covered if they are damaged or destroyed by a covered peril, other than theft.

**Special Limits and Property Covered:**

- $1,500 - Theft of jewelry, watches, furs, precious, and semi-precious stones.
- $2,500 - Theft of firearms.
- $2,500 - Theft of pewterware, goldware, and silverware.

Remember: These special limits are designed to provide additional protection for specific valuable items in case of theft incidents, ensuring adequate coverage for your prized possessions.

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# AU-E22 Coverage C - Item Exclusions

Certain items are excluded from Coverage C. These exclusions are important to be aware of, as they are not covered under the Homeowners policy:

- Any property that is separately described and specifically insured elsewhere.
- Animals, birds, and fish owned by the insured.
- Motor vehicles, except those used for premises service or by the handicapped (e.g., wheelchair).
- Aircraft, except hobby or model aircraft not designed for carrying people or cargo.
- Hovercraft and related vehicles, including flarecraft and air cushioned vehicles.
- Property of roomers, boarders, and non-related tenants.

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# AU-E23 Coverage C - Personal Property Exclusions

Certain personal property is excluded from Coverage C. These exclusions are important to understand, as they are not covered under the Homeowners policy:

- Property in an apartment regularly rented or held for rental to others by an insured, except as covered under the additional coverage known as "landlord's furnishings."
- Property rented or held for rental to others, but only while off the "residence premises."
- Business data, including data stored in books of account, drawings, or other paper records, and computers and related equipment.
- Credit cards or fund transfer cards, except as provided for in the "additional coverages."
- Water or steam damage.

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# AU-E24 Coverage D - Loss of Use

When a covered loss renders all or part of the residence premises uninhabitable, Coverage D, also known as "loss of use," provides essential support in the following ways:

**Additional Living Expenses:**

- Covers necessary increases in living expenses incurred by the named insured to maintain their normal standard of living.
- Expenses covered may include lodging, food, laundry, and other essential costs.
  Fair Rental Value:
- Provides coverage for lost rental value of the part of the residence that was rented or held for rental at the time of the loss.
- Certain expenses that cease during the loss, such as disconnected utilities, are not covered.

**Duration of Coverage:**

- Coverage for additional living expenses and fair rental value will apply for the shortest time required to repair or replace the damage.
- If the insured permanently relocates, coverage will continue for the shortest time needed to allow the household to settle in a new location.

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# AU-E25 Civil Authority Prohibits Use

**Civil Authority Prohibits Use:**
In specific scenarios where the residence premises itself remains undamaged, but access is restricted by a civil authority, "Civil Authority Prohibits Use" coverage comes into effect.

**Trigger for Coverage:**

- This coverage is activated when a civil authority bars the insured from using the residence premises due to direct damage to a neighboring property caused by an insured peril.

**Coverage Benefits:**

- "Civil Authority Prohibits Use" provides assistance in the form of additional living expenses and fair rental value.
- These benefits are available for a limited duration, lasting no more than two weeks.

**Protection When You Need It:**

- In cases where access to your home is restricted by civil authorities, this coverage ensures financial support to maintain your standard of living during the enforced displacement.

Note: "Civil Authority Prohibits Use" coverage acts as an essential safety net in times of civil restrictions, helping you navigate through unforeseen disruptions without undue financial strain.

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# AU-E26 Coverage D - Loss of Use

Coverage D provides essential protection for additional living expenses when the residence premises becomes uninhabitable due to a covered loss. The amount of coverage varies based on the specific Homeowners form used for coverage.

**Coverage Limits:**

HO-2, HO-3, and HO-5 Forms:

- Coverage D provides 30% of Coverage A as additional living expense coverage.

HO-4 Form (Renters):

- Coverage D offers 30% of Coverage C as additional living expense coverage.

HO-6 Form (Condo Unit-Owners):

- Coverage D includes 50% of Coverage C for additional living expense coverage.

HO-8 Form (Modified Coverage for Older Homes):

- Coverage D provides 10% of Coverage A for additional living expense coverage.

**Coverage Enhancement:**

- These coverage limits can be increased through endorsement, except for the HO-8 form.

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# AU-E27 Coverage Limits in Homeowners Forms

**Coverage A:**

- Coverage A is the primary limit used to calculate other coverage limits in these forms.
- It provides protection for the dwelling, the main structure described in the policy.

**Coverage B:**

- For One or Two-Family Dwellings: Coverage B is 10% of the Coverage A limit.
- For Three or Four-Family Dwellings: Coverage B is 5% of the Coverage A limit.
- Coverage B covers structures separated from the dwelling by a clear space or connected by fences, utility lines, etc.

**Coverage C:**

- For One or Two-Family Dwellings: Coverage C is 50% of the Coverage A limit.
- For Three-Family Dwellings: Coverage C is 30% of the Coverage A limit.
- For Four-Family Dwellings: Coverage C is 25% of the Coverage A limit.
- Coverage C protects personal property owned or used by the insured anywhere in the world.

**Coverage D:**

- Under HO-2, HO-3, and HO-5: Coverage D is 30% of the Coverage A limit.
- Under the HO-8 form: Coverage D is 10% of the Coverage A limit.
- Coverage D provides for additional living expenses when the residence premises is uninhabitable.

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# AU-E28 Limits of Liability in HO-4 & HO-6 Forms

**Coverage A:**

- HO-4: Not applicable.
- HO-6: Provides $1,000 of the Coverage A limit.

**Coverage B:**

- Not applicable for both HO-4 and HO-6.

**Coverage C:**

- This is the primary limit for both HO-4 and HO-6 forms.
- HO-6: Coverage C is equal to the Coverage A limit.
- HO-4: Coverage C is the primary limit for personal property.

**Coverage D:**

- HO-6: Coverage D is 50% of the Coverage C limit.
- HO-4: Coverage D is 30% of the Coverage C limit.

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# AU-E29 Limits & Deductibles

**Limits of Coverages B, C, and D:**

- Coverages B, C, and D are separate amounts of insurance, provided in addition to the Coverage A limit.
- Coverage B: Applicable for certain structures on the premises.
- Coverage C: Primary limit for personal property.
- Coverage D: For loss of use expenses when the residence is unfit for habitation.

**Deductible Information:**

- Deductibles apply to all Section I - Property coverages.
- Standard deductible: $500 (as listed under ISO forms).
- Deductible can be adjusted for an additional premium or a premium reduction.
- Alternative deductible options: $1,000, $2,500, or other amounts offered by the insurer.
- Deductibles apply "per occurrence," meaning they are applied for each individual claim.

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# AU-E30 Additional Coverages in Homeowners Insurance

**In Addition to Core Coverages:**

- Section I of Homeowners forms includes Coverages A through D, providing essential protection.
- Additional Coverages: Extra provisions that supplement the core coverage.
- Note: State-specific statutory forms may amend the additional coverages.

**Debris Removal Coverage:**

- Debris Removal: Covers the cost of removing debris after a covered loss, like fire or wind damage.
- Expense Included: Debris removal cost is part of the limit of liability for the damaged property.
- Fallen Trees: Provides additional coverage for the removal of fallen trees, beyond the standard limit.

**Additional Amount for Debris Removal:**

- Extra Protection: In specific scenarios, an additional 5% of the limit of liability is available for debris removal.
- Eligibility: Applied when the total amount for property damage and debris removal exceeds the limit of liability for the damaged property.

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# AU-E31 Debris Removal Additional Coverage

**Debris Removal Coverage:**

- Additional Protection: "Debris removal" coverage goes beyond standard protection.
- Addressing Fallen Trees: Covers the removal of fallen trees due to windstorm, hail, or weight of ice, snow, or sleet.
- Coverage Scenarios:
  - When a covered structure is damaged by perils.
  - When the tree blocks the driveway on the residence premises, hindering entry or exit.
  - When the tree blocks a ramp or fixture designed for handicapped access to the dwelling.

**Coverage Limits:**

- Maximum Payment: Up to $1,000 regardless of the number of fallen trees.
- Single Tree Coverage: No more than $500 will be paid for the removal of any one tree.
- Coverage for Neighbor's Tree: Provides removal coverage for a neighbor's tree that falls and damages the insured structure, caused by an insured peril.

**Additional Coverage Considerations:**

- Payment for fallen trees is additional insurance, paid on top of policy limits.
- For other debris removal cases, payment reduces the limit of liability for the primary amount of insurance.

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# AU-E32 Additional Coverages: Reasonable Repairs & Trees, Shrubs, and Other Plants

**Reasonable Repairs Coverage:**

- Protecting Your Property: Coverage for temporary repairs after an insured peril damages the structure.
- Within Policy Limits: Paid within the existing policy limits, ensuring timely protection.
- Not Additional Insurance: This coverage does not increase the policy's limits.

Trees, Shrubs, and Other Plants Coverage:

- Limited Specified Perils: Covered perils include fire, lightning, explosion, riot, aircraft, non-resident-operated vehicles, vandalism, malicious mischief, or theft.
- Coverage Amount: 5% of Coverage A limit, with a maximum of $500 for each tree, shrub, or plant.
- HO-4 and HO-6 Forms: Provided at 10% of Coverage C limit, or up to $500 for each tree, shrub, or plant.
- Additional Insurance: This coverage is "in addition to" the policy's limits.

Note: Perils like wind, hail, and the weight of ice or snow, or any other unnamed peril, are not covered by this additional coverage. Consider the importance of protecting your landscaping against specific perils with this coverage.

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# AU-E33 Additional Coverages: Fire Department Service Charge & Property Removal

**Fire Department Service Charge:**

- Coverage Limit: Up to $500 provided for fire department service charges.
- Additional Insurance: This coverage is extra protection and does not require deductible application.
- City Fire Department Coverage: Not applicable within city limits that provide fire department services through taxation.
- State-Specific Amendments: This coverage may vary based on state statute requirements.

Property Removal (Removal Clause):

- Protection during Property Removal: Coverage for direct loss from any cause when insured removes property due to an insured peril.
- Coverage Duration: Effective for up to 30 days from the time of property removal.
- Not Additional Insurance: This coverage does not increase the policy's limits.

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# AU-E34 Additional Coverage: Credit Card & Forgery Protection

**Credit Card, Electronic Fund Transfer Card, Forgery, and Counterfeit Money Coverage:**

- Coverage Limit: Up to $500 provided for the insured's legal obligation resulting from specific situations.
- Covered Situations:
  - Theft or Unauthorized Use: Protects against theft or unauthorized use of credit cards and fund transfer cards.
  - Forgery or Alteration: Covers losses due to the forgery or alteration of the insured's checks.
  - Acceptance of Counterfeit Money: Provides coverage when the insured unknowingly accepts counterfeit money.
- Exclusions: This coverage does not apply to the business use of these items or the insured's dishonest acts.
- Additional Insurance: This coverage is supplemental insurance and does not require a deductible.

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# AU-E35 Additional Coverages: Loss Assessment & Glass Replacement

**Loss Assessment Coverage:**

- Coverage Limit: Up to $1,000 provided when the insured is assessed by a corporation or property owner's association for collective property damage.
- Covered Situations: Covers damage caused by a peril insured against under Coverage A of the insured's policy.
- Additional Insurance: This coverage is supplemental insurance and is in addition to the policy limits.
- Deductible: The deductible applies only once, regardless of the number of assessments in a single occurrence.

**Glass or Safety Glazing Material Coverage:**

- Coverage Limit: 10% of the Coverage A limit is available for glass replacement, reducing the total limit for the dwelling.
- Covered Situations: Provides coverage for the loss of glass in the dwelling and replacement with safety glazing material, if necessary.
- Vacancy Clause: Excluded if the dwelling has been vacant for 60 or more consecutive days under standard HO-2 through HO-8 forms (except for earth movement).
- HO-1 Form: Excluded if the dwelling has been vacant for 30 or more consecutive days under the old HO-1 form (except for earth movement).
- Coverage Limit: This coverage is not additional insurance and does not increase the policy limits.

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# AU-E36 Collapse Coverage: Protection Against Building Collapse

**Collapse Coverage:**

- Collapse coverage provides protection for direct physical loss to covered property due to abrupt falling down or caving in of a building or any part of it resulting from named perils.
- Not Additional Insurance: This coverage is not additional insurance and does not increase the policy limits.
- Covered Perils: Collapse covers the perils insured against in the policy under Coverage C.
- Hidden Decay and Vermin: Hidden decay or damage caused by hidden vermin or insects is covered unless known to the insured.
- Weight and Rain: Coverage includes damage from the weight of contents, equipment, animals, or people, as well as rain collected on a roof.
- Construction and Remodeling: Collapse resulting from the use of defective materials or methods during construction or remodeling is covered.
- Exclusions: Earthquake and sinkhole collapse are not covered under this additional coverage.

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# AU-E37 What "Collapse" Does Not Include

**"Collapse" Does Not Include:**

- Settling
- Cracking
- Sagging
- Bending
- Leaning
- Shrinking
- Bulging
- Expansion of a building

**Exclusions Under "Collapse" Additional Coverage:**

- Awnings and fences
- Patios, swimming pools, and deck pavement
- Underground pipes, flues, drains, cesspools, and septic tanks
- Foundations, retaining walls, bulkheads, piers, wharves, or docks

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# AU-E38 Additional Coverages in Homeowners Policy

**Landlord's Furnishings**

- Extends Coverage C to include up to $2,500 for landlord's furnishings (appliances, carpeting, household furnishings).
- Coverage applies for damage caused by named perils listed under Coverage C, excluding theft of these items.
- Not additional insurance; does not increase policy limits.
  Building Additions and Alterations
- Applicable in HO-4 form (Renters Insurance).
- Provides coverage up to 10% of the Coverage C limit for fixtures, installations, and improvements made or acquired by the tenant.
- In HO-6 form (Condominium Unit Owners Insurance), this coverage is included as part of Coverage A.

**Gravemarkers**

- Covers gravemarkers, including mausoleums, on or away from the residence premises.
- Pays up to $5,000 for damage caused by insured perils under Coverage C.

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# AU-E39 General Exclusions in Homeowners Forms

**Ordinance or Law Exclusion:**

- Usually excluded in standardized forms.
- This exclusion doesn't apply to the Ordinance or Law "additional coverage" previously discussed.
  Earth Movement Exclusion:
- Earthquake and subsidence are excluded.
- Direct loss from fire, explosion, or theft resulting from earth movement is covered for that specific damage.

**Water Exclusion:**

- Excludes water-related perils like flood and sump pump overflow.
- Direct loss from fire, explosion, or theft resulting from a flood is covered for that specific damage.
- For coverage against floodwater itself, a separate flood insurance policy is necessary.

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# AU-E40 General Exclusions in Homeowners Forms

**Power Failure:**

- Coverage does not extend to power failures occurring off the residence premises.

**Neglect:**

- "Neglect" refers to the insured's failure to protect property from loss or preserve it after a loss.
  War:
- Losses resulting from war-related events are excluded from coverage.
  Nuclear Hazard:
- Coverage does not extend to losses caused by nuclear hazards.
  Intentional Loss:
- Excludes any loss caused intentionally by the insured or someone acting on their behalf.
  Government Action:
- Coverage does not apply to property destruction, confiscation, or seizure by the government, except in relation to a fire or preventing fire spread.

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# AU-E41 Homeowners Policy Conditions

**Proof of Loss & "Our Option" Condition:**

- The insured must submit a completed proof of loss to the insurer within 60 days of the loss.
- The insurer, upon receiving the proof of loss, will inform the insured of their intention to repair or replace the damaged property with like kind and quality ("Our Option" condition).
- The insurer must take action on repairing or replacing any part of the damaged property within 30 days of receiving the proof of loss.
- If the insurer does not proceed with repairs or replacements within 30 days, full payment of the claim must be made within 60 days.

**Other Insurance Clause:**

- In cases where multiple Homeowners policies cover the same loss, each insurer will pay its proportionate share of the loss (pro-rata share).
- If the property is also covered by a home warranty or service agreement, the Homeowners policy is considered excess coverage over any amount payable by the agreement.

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# AU-E42 Homeowners Loss Settlement

**Coverage C Losses:**

- Coverage C losses, which pertain to personal property, are settled at actual cash value (ACV).
- The settlement amount will not exceed the cost to repair or replace the following items:
  - Personal property
  - Awnings, carpeting, appliances, outdoor antennas, and outdoor equipment
  - Structures that are not considered "buildings"

**Losses to the Dwelling & Other Structures (Coverages A & B):**

- These losses are settled on a replacement cost basis if, at the time of the loss, the amount of insurance carried is 80% or more of the replacement cost ("coinsurance to value" requirement) of the building immediately before the loss.
- Under the HO-8 form, losses are settled on a "repair cost basis," and the coinsurance provision is amended to cover the dwelling and other structures with the amount it would cost to repair or replace using functionally equivalent materials.

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# AU-E43 Dwelling & Other Structures Loss Settlement

**The insurer will not pay more than:**

- The limit of liability specified for the damaged building.
- The replacement cost of the damaged part with materials of similar kind and quality.
- The actual amount spent on necessary repairs or replacements.

If the building is reconstructed at a new location, the insurer will cover the cost that would have been incurred if it were rebuilt at the original location.

**Coinsurance Requirement:**

- If the insured carries less than 80% of the replacement cost value of the covered dwelling or other structures (not meeting the coinsurance requirement):
  - The insurer will either pay the actual cash value (ACV) for the entire damaged building.
  - Or, pay a proportion of the repair or replacement cost of the damaged part based on the insured's actual carried insurance amount.

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# AU-E44 Coinsurance Requirement & Replacement Cost Claims

**Coinsurance Requirement:**

- When the insured meets the coinsurance requirement, the insurance company will pay the full replacement cost on a dwelling loss.
- The insured must complete the repair or replacement before receiving the full amount to prevent misuse of claim funds.

**Claim Process:**

- The insured can initially submit a claim for the actual cash value and later claim the additional amount available under replacement cost coverage.
- The insured must inform the insurance company of their intent to submit a replacement cost claim within 180 days after the loss.

**Completion of Repairs:**

- The insured cannot receive any amount above the actual cash value of the damaged part until the repair or replacement is completed.

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# AU-E45 Personal Property Replacement Cost Endorsement

**Personal Property Replacement Cost Endorsement:**
This endorsement enhances the Homeowners policy by reimbursing the insured for personal property losses on a replacement cost basis, rather than actual cash value.

- Eligible Property for Replacement Cost Coverage:
  - Items listed under Coverage C - Personal Property in the Homeowners policy.
  - Awnings, outdoor equipment (including antennas), carpeting, and household appliances, regardless of whether these items are attached to buildings.

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# AU-E46 Personal Property Replacement Cost Endorsement - Additional Coverage

**Personal Property Covered for Replacement Cost:**

Under the Personal Property Replacement Cost endorsement, the following items are separately described and specifically insured, qualifying for replacement cost settlement:

- Jewelry
- Furs and fur-trimmed garments
- Cameras, projection machines, films, and related equipment
- Silverware, silver-plated ware, goldware, gold-plated ware, platinum and platinum-plated ware, and pewterware (except pens, pencils, flasks, smoking implements, or jewelry)
- Musical equipment and related items
- Golf clubs, golf clothing, and golf equipment

IMPORTANT: Please note that these items will not be eligible for replacement cost coverage if the insured selects agreed value coverage instead.

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# AU-E47 Personal Property Replacement Cost Endorsement - Coverage Limits

Recovery under the Personal Property Replacement Cost endorsement is subject to the following limitations:

- Full Replacement Cost: The maximum amount payable for each item is its full replacement cost at the time of the loss.
- Full Repair Cost: The coverage will also extend to cover the full cost of repair for damaged items, if repair is the more cost-effective option.
- Coverage C Limit: The endorsement will not exceed the Coverage C limit, if applicable, for all personal property coverage.
- Special Limits: The recovery amount is subject to any applicable special limits specified in the policy for certain types of personal property.
- Separately Described Items: For items separately described and specifically insured in the policy, the recovery will be limited to the amount specified for each item.

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# AU-E48 Exclusions from Replacement Cost Coverage

Not all types of property are eligible for replacement cost coverage. The following four categories of property are excluded from this coverage:

- Antiques, Fine Arts, and Similar Property: Items that fall into this category are often unique and their accurate replacement cost value is difficult to determine.
- Memorabilia, Souvenirs, Collector's Items, and the Like: Collectible items may have sentimental value, but their replacement cost is challenging to assess accurately.
- Property Not Kept in Good or Workable Condition: Items that are not well-maintained or in usable condition are excluded from replacement cost coverage.
- Articles That Have Reached Obsolescence While Not in Use: Property that has become obsolete or outdated while being stored or not in active use is not eligible for replacement cost recovery.

Categories 1 and 2 pose challenges in accurately determining replacement costs, while categories 3 and 4 are excluded to adhere to the principle of indemnity, where the insurance aims to compensate for the actual loss experienced by the insured.

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# AU-E49 Conditions of Personal Property Replacement Cost Endorsement

When considering the Personal Property Replacement Cost endorsement, it's essential to be aware of the following conditions:

- Repairs or Replacements for Higher-Value Items: For losses involving items with a replacement cost value exceeding $500, the actual repair or replacement must be completed before the replacement cost provisions take effect. This requirement ensures that the insured does not receive full replacement cost coverage without fulfilling the necessary repairs or replacements.
- Flexibility to Upgrade from Actual Cash Value: If the insured initially files an actual cash value claim at the time of the loss, they still have an opportunity to amend it to a replacement cost claim within 180 days. This provision allows the insured to first receive compensation based on the depreciated value of the damaged property and then later switch to the replacement cost basis for reimbursement.

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# AU-E50 Enhanced Coverage for Personal Property

In certain cases, the coverage provided for personal property (contents) under the Homeowners forms may be limited. However, you have the option to broaden your coverage for specific items by either obtaining a Personal Inland Marine policy or adding the Scheduled Personal Property Endorsement.

The Scheduled Personal Property Endorsement extends coverage to the following types of property if they are explicitly listed on the endorsement form:

- Jewelry
- Furs
- Cameras
- Musical Instruments
- Silverware
- Golfer's Equipment
- Fine Arts
- Stamps
- Coins
- Other valuable articles.

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# AU-E51 Coverage for Fine Arts

The process for repairing, restoring, or retouching fine arts is not covered under this policy.

Coverage for breakage of art glass windows, glassware, statuary, marble, bric-a-brac, porcelains, and other similar fragile articles is provided for the following named perils:

- Fire or lightning
- Explosion, aircraft, or collision
- Windstorm, earthquake, or flood
- Malicious damage or theft
- Derailment or overturn of a conveyance

  Please be aware that the policy does not insure loss from any cause to property on exhibition at fairgrounds or the premises of national or international expositions, unless those premises are covered by this policy.

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# AU-E52 Coverage for Postage Stamps & Coin Collections

For those who have postage stamps or rare and current coin collections under coverage, it is important to be aware of the following exclusions:

**Excluded Damage:**

- Fading, creasing, denting, scratching, tearing, or thinning of stamps or coins.
- Any damage resulting from transfer of colors, inherent defects, dampness, extremes of temperature, or depreciation.

**Excluded Handling:**

- Damage occurring while stamps or coins are being handled or worked on.

**Excluded Disappearance:**

- The disappearance of individual stamps, coins, or other articles, unless the specific item is:
  - Described and scheduled with a specific amount of insurance.
  - Mounted in a volume and the page containing the item is also lost.

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# AU-E53 Scheduled Personal Property Coverage

**No Deductible:**

- Scheduled personal property is not subject to the policy deductible.

**Customized Coverage:**

- Depending on the type of property scheduled, loss settlement may be based on:
  - Actual cash value
  - Market value
  - Repair or replacement cost
  - Agreed value

**Separate Coverage:**

- When you add a scheduled personal property endorsement or purchase a personal inland marine policy (floater), separate coverage for these items is provided.
- Coverage under the Homeowners policy will not apply to the scheduled items.

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# AU-E54 Scheduled Personal Property Coverage

Example:

- Jeff has a Homeowners policy with a scheduled personal property endorsement to cover his expensive jewelry.
- If his jewelry is stolen, the amount scheduled on the endorsement will be covered.
- The $1,500 special limit for theft of jewelry in the Homeowners policy will not apply to this loss.

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# AU-E55 Limitations for Newly Acquired Property

**Newly Acquired Property Endorsement Limitations:**

- The endorsement covers "newly acquired property" such as jewelry, furs, cameras, musical instruments, and fine arts.

**Coverage Limit for Specific Classes of Property:**

- For newly acquired jewelry, furs, cameras, and musical instruments, the coverage will be limited to either:
  - 25% of the amount of insurance scheduled for that class of property, or
  - $10,000, whichever is less.

**Reporting Requirement:**

- When new property is acquired, the insured must report these articles to the insurer within 30 days.

**Additional Premium:**

- An additional premium is required for coverage of the newly acquired property.

**Limit for Newly Acquired Fine Arts:**

- For newly acquired fine arts, the policy will not pay more than 25% of the amount of insurance scheduled for fine arts.

**Reporting Deadline for Fine Arts:**

- Fine arts must be reported to the insurance company within 90 days of acquisition.

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# AU-E56 Limited Fungi, Wet or Dry Rot, or Bacteria Endorsement

**Overview of the Endorsement:**

- The Limited Fungi, Wet or Dry Rot, or Bacteria endorsement can be used with the HO-3 and HO-5 forms.
- It amends both Section I -- Property and Section I -- Liability coverages of the Homeowners policy.
- Specific coverage limits are scheduled on the endorsement form.

**Definition of "Fungi":**

- "Fungi" includes all types or forms of fungus, including mold or mildew, and any related mycotoxins, spores, scents, or by-products.
- It does not cover fungi on or within consumable goods.

**Additional Coverage for Fungi Loss:**

- Section I additional coverages are amended to include coverage for losses caused by fungi.
- The scheduled amount covers:
  - Cost of removing the fungi or wet rot.
  - Cost to tear out and replace building parts to access the fungi or wet rot.
  - Cost of air testing to confirm the presence of fungi.

**Covered Causes of Loss:**

- The endorsement applies only when fungi or wet rot results from a covered cause of loss.

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# AU-E57 Enhanced Fungi & Bacteria Liability Coverage

**Amended "Limit of Liability" Condition:**

- The Section I - Liability of the Homeowners policy is enhanced to include coverage for bodily injury or property damage caused by fungi, bacteria, wet or dry rot to a third party.
- The coverage amount is specified on the endorsement form.

**Sublimit Within Coverage E:**

- The "limit of liability" for this coverage is a sublimit within the overall Coverage E limit of the underlying Homeowners policy.
- This ensures that the enhanced coverage is clearly defined and separate from other liability coverages.

**Aggregate Basis Coverage:**

- The coverage is provided on an aggregate basis.
- This means that the total amount available for claims related to fungi, bacteria, wet or dry rot occurrences is subject to the specified coverage limit.

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# AU-E58 Watercraft Endorsement: Enhanced Coverage

**Expanded Liability and Medical Coverage:**

- The Watercraft endorsement enhances your Homeowners policy by providing liability and medical payments coverage for watercraft that meet specific criteria.

**Covered Watercraft Requirements:**

- The watercraft must be scheduled and described on the endorsement.
- Eligible watercraft include those powered by outboard engines or motors over 25 horsepower, inboard or inboard/out-drive engines over 50 horsepower, and sailing vessels of 26 feet or more in length, with or without auxiliary power.

**Exclusions:**

- The endorsement excludes liability for job-related bodily injury to an insured's employee involved in watercraft maintenance or use.
- It also excludes coverage for bodily injury to paying passengers or renters of the watercraft.
- Additionally, any liability arising from the watercraft's participation in prearranged races, speed contests, or competitions (except sailing vessel races or predicted log cruises) is not covered.

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# AU-E59 Mobile Home Coverage: Enhanced Protection

**Mobile Home Coverage with ISO Standard Forms:**

- Mobile homes can be covered by endorsing either the HO-2 or HO-3 Homeowners forms, providing essential protection tailored to mobile home owners.

**Mobile Home Endorsement (MH 04 01):**

- The Mobile Home endorsement amends specific sections of the Homeowners policy: "residence premises," Coverage A (Dwelling), and Coverage B (Other Structures).
- All other provisions of the Homeowners policy remain applicable.

**Expanded Definition of "Residence Premises":**

- The most significant change with the Mobile Home endorsement is the definition of "residence premises."
- The policy's "residence premises" is redefined as "the mobile home and other structures on land owned or leased by the insured," as stated on the Declarations page.

**Eligibility Criteria:**

- To qualify for mobile home coverage, the mobile home must be at least 10 feet in width and 40 feet in length.

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# AU-E60 Mobile Home Endorsement: A & B Coverages

**Amended Coverages A & B:**

- The Mobile Home endorsement modifies Coverages A & B of the Homeowners policy to provide comprehensive protection for your mobile home.

**Coverage A - Dwelling:**

- Coverage A includes the mobile home on the residence premises specified in the Declarations.
- This coverage extends to structures and utility tanks attached to the mobile home, as well as permanent installations such as floor coverings, appliances, dressers, and cabinets.
- Materials and supplies used for construction, alteration, or repair of the mobile home or other structures on the "residence premises" are also covered.

**Coverage B - Other Structures:**

- Coverage B offers 10% of Coverage A limit.
- Minimum coverage of $2,000 applies if 10% of Coverage A is less than $2,000.
- This coverage protects other structures on the property, such as detached garages, sheds, or fences.

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# AU-E61 Mobile Home Endorsement

**Enhanced Additional Coverages:**

- The Mobile Home endorsement enhances two "additional coverages" of the Homeowners policy, providing increased protection for your mobile home.
- Property Removed: This coverage is expanded to cover up to $500 for moving the mobile home to protect it from further damage. No deductible is applicable to this coverage. You have the option to raise the limit up to $2,500 with additional premium payments in $250 increments.
- Ordinance or Law: The Mobile Home endorsement removes this coverage from the policy. For specific details about this change, kindly consult your insurance provider.

**Amended Conditions:**

- Replacement Cost Settlement: Similar to the Homeowners policy, the Mobile Home endorsement allows for replacement cost settlement when the 80% insurance-to-value requirement is satisfied.
- Extended Coverage: Differing from the Homeowners policy, the Mobile Home endorsement includes replacement cost coverage for items like carpeting and household appliances, which are typically excluded.

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# AU-E62 Mobile Home Endorsement: Enhanced "Conditions"

**Expanded "Loss to a Pair or Set":**

- The Mobile Home endorsement enhances the "pair or set" condition found in the Homeowners policy to now include "pair, set, or panels."
- In case of a loss, the insured has two options:
  - Option 1: Reasonable cost to match the remaining undamaged panels as closely as possible.
  - Option 2: Reasonable cost to provide an acceptable decorative effect or use.

**Modified "Mortgage Clause":**

- The endorsement updates the mortgage clause in the Homeowners policy to encompass a "lienholder."
- This alteration grants the rights of a mortgagee under the policy to any entity holding a lien against the insured mobile home.

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# AU-E63 Business Pursuits Endorsement: Extended Liability Coverage

**Expanded Liability Coverage:**

- The "business pursuits" endorsement offers liability coverage for the insured's business activities away from their residence premises.
- Coverage applies when the insured is employed by a business they do not own.

**Commonly Purchased by Various Professions:**

- This endorsement is frequently chosen by individuals in sales, clerical, and instructional (teaching) roles.
- Notable exclusions include professional services like architecture, medical services, beauty, and barber shop services.

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# AU-E64 Home Day Care Endorsement: Extending Coverage for Your Business

**Comprehensive Coverage:**

- The Home Day Care endorsement provides both property and liability coverage for businesses operated from the insured's home.
- If the daycare business operates in a separate structure on the residence premises, a specific limit of liability is scheduled on the endorsement.

**Protection for Business Personal Property:**

- Business personal property is protected under the endorsement, with coverage provided up to a scheduled amount within the "Coverage C" limit of the Homeowners policy.

**Liability Coverage and Medical Payments:**

- The endorsement sets a policy year aggregate limit for combined liability and medical payments coverage, matching the Coverage E limit on the Homeowners policy's Declarations page.
- Daycare-related medical payments have a "per person, per accident" sublimit, equal to the Coverage F limit, which applies within the overall liability aggregate limit.

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# AU-E65 Home Day Care Endorsement: Important Exclusions

**Similar Exclusions:**

- The exclusions under Section I - Liability of the Homeowners policy also apply to the Home Day Care Endorsement.

**Additional Exclusions Added by the Endorsement: a. Bodily injury or property damage resulting from:**

- Sexual molestation, corporal punishment, or physical or mental abuse inflicted by or at the direction of an insured or an insured's employee.
- The maintenance, use, loading, or unloading of draft or saddle animals, vehicles for use with such animals, motor vehicles, aircraft, or watercraft. (Intention is to cover typical daycare exposures while excluding high-risk activities not essential to daycare services).

**Exclusion of Coverage for Daycare Employees:**

- The endorsement does not provide coverage for bodily injury to any employee of the home daycare business.

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# AU-F1 Dwelling Policy: Eligibility Requirements

The Dwelling policy serves as insurance for residential dwellings that may not meet the criteria for the more comprehensive Homeowners policy. Typically, it is employed to cover vacation-type dwellings or rental properties and does not mandate that the covered dwelling be owner-occupied, unlike the Homeowners policy.

Eligibility Requirements for Dwelling Policy Coverage:

- Owner or tenant-occupied dwellings
- Limited to 1 to 4 unit residential dwellings only
- Dwellings owned by corporations or other business entities are eligible

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# AU-F2 Dwelling Policy: Additional Eligibility and Limitations

The Dwelling policy extends coverage to the following with some additional limitations:

- Dwellings under construction can be covered with an endorsement.
- Mobile or trailer homes can be covered under the DP-1 form if owner-occupied and permanently installed at the covered location. The policy period for mobile or trailer homes is limited to one year.
- Farm dwellings are NOT eligible, but coverage is available for "other structures" used for storing farm equipment.

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# AU-F3 Dwelling Policy: Cause of Loss Forms

In the Dwelling policy, the cause of loss forms determine the perils covered.

Remember the Property Insurance Concepts chapter to understand the distinctions between the basic, broad, and special cause of loss forms:

- DP-1 Form: Also known as the "Dwelling Fire" form, it covers basic form perils.
- DP-2 Form: This form covers broad form perils.
- DP-3 Form: It provides coverage for special form perils.

While the DP forms generally include the same types of property, exclusions, and conditions, the insured perils vary significantly from form to form. Let's explore these forms in more detail.

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# AU-F4 Advantages of Insuring Under a Dwelling Policy

**Flexibility:**

- Unlike the Homeowners policy, the Dwelling policy is not restricted to "owner-occupied" dwellings. This means it can cover rental properties and vacation homes.

**Lower Limits:**

- Dwelling policies offer lower limits of liability compared to the Homeowners policy, making it suitable for insuring low-valued dwellings.

**Coverage for Increase in Hazards:**

- Dwellings that don't meet the stringent underwriting requirements of a Homeowners policy due to increased hazards can still be covered under a Dwelling policy.

**Personal Liability Supplement:**

- While the Dwelling policy itself does not include liability coverage, the Personal Liability Supplement can be added by endorsement to provide the desired coverage.

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# AU-F5 Dwelling Policy Coverage Overview

The DP-1, DP-2, and DP-3 forms offer essential coverage agreements tailored to different property needs:

- **Coverage A** - Dwelling: This provides protection for the insured's main dwelling against various perils.
- **Coverage B** - Other Structures: Covers separate structures on the property, such as garages or sheds, not directly attached to the main dwelling.
- **Coverage C** - Personal Property: Ensures the insured's personal belongings and possessions are covered in case of damage, theft, or loss.
- **Coverage D** - Fair Rental Value: Offers reimbursement for lost rental income if the insured's dwelling becomes uninhabitable due to a covered loss.

Exclusive to DP-2 and DP-3:

**Coverage E** - Additional Living Expenses: Assists the insured's household by covering living expenses if they need to reside temporarily elsewhere during repairs. Note: Coverage E does not apply when the policy insures the rental property of the insured.

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# AU-F6 Coverage A & B of the Dwelling Policy

**Coverage A: Dwelling**

- Protects against damage to the main dwelling and structures directly attached to it.
- Examples include attached garages, carports, and sheds.
- Coverage extends to materials and supplies used for construction or repairs on the property.
- Outdoor buildings and equipment used for servicing the premises are also covered.

**Coverage B: Other Structures**

- Provides coverage for detached structures not directly connected to the dwelling.
- These structures are separated by clear space or connected only by fences or utility lines.
- Coverage applies if the detached structure is not used for commercial, manufacturing, or farming purposes.

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# AU-F7 Coverage C & D of the Dwelling Policy

**Coverage C: Personal Property**

- Provides coverage for personal belongings (contents) within the insured dwelling owned by the homeowner (not applicable to tenants).
- Upon request, the personal property of the insured-owner's guests or domestic workers can also be covered.
- Important note: Theft of personal property is not covered under any Dwelling form.

**Coverage D: Fair Rental Value**

- Covers the loss of rental income for the insured-owner when the dwelling becomes uninhabitable for the usual tenant due to damage.
- Coverage amount is typically 20% of the Coverage A amount.
- If a civil authority restricts habitation due to damage to a neighboring property caused by a covered peril, coverage is limited to two weeks.

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# AU-F8 Dwelling Policy - Coverage E: Additional Living Expenses

**Coverage E**

- Provides coverage for the insured-owner's living expenses if they are forced to move to another location due to damage to the covered dwelling, making it uninhabitable.
- Included in DP-2 and DP-3 forms, and can be added to DP-1 form through endorsement.
- Reasonable expenses covered include hotel/motel stays, meals, laundry, and transportation.
- The coverage amount is 10% of the Coverage A amount.
- Coverage duration extends during the repair period or until the insured finds a new permanent residence.
- If access to the covered dwelling is restricted by a civil authority, the coverage applies for only two weeks.

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# AU-F9 Dwelling Policy - DP-1 Basic Form: Covered Perils

The DP-1 Basic form offers coverage for direct physical losses resulting from the following perils:

- Fire
- Lightning
- Internal Explosion: Refers to explosions within a covered building or in a building containing covered personal property. Examples include furnace, stove, or hot water heater explosions.

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# AU-F10 Dwelling Policy - DP-1: Basic & Extended Coverage Perils

Extended Coverage (EC) perils can be added with an additional premium if selected in the Declarations page.

EC perils include:

- Windstorm or Hail: Protection against high winds, cyclones, tornadoes, and hurricanes. Interior damage is covered only if wind or hail creates an opening allowing rain or elements inside the structure.
- Exclusions: Certain outdoor property like awnings, signs, radio/television antennas, rowboats, and canoes located outside the dwelling are not covered under windstorm or hail.

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# AU-F11 Dwelling Policy - DP-1: Extended Coverage Perils

- With the EC perils selected, "Explosion" coverage is broader and replaces "Internal Explosion." The explosion can occur outside the insured dwelling or structure and may include neighboring locations.
- "Riot or Civil Commotion" covers damage caused by large-scale uprisings or disturbances of people.
- "Aircraft Damage" covers damage from aircraft contact, including falling objects. Self-propelled missiles and spacecraft are also covered.
- "Vehicles" covers damage caused by vehicles, except those owned or operated by the insured or household members. Damage to fences, driveways, and walks caused by the insured's vehicle is excluded.

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# AU-F12 Dwelling Policy - DP-1: Extended Coverage Perils

**Volcanic Eruption**

- Covers damage caused by volcanic eruptions, including lava flow and airborne particles. Multiple eruptions within 72 hours are considered as one event. Earthquake-related damage is excluded.

**Smoke**

- Covers damage caused by "puffback," the release of soot, smoke, vapor, or fumes from certain equipment like furnaces or boilers. It excludes smoke from fireplaces, agricultural smudging, or industrial operations.

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# AU-F13 DP-2 Broad Form - Named Perils Policy

The DP-2 Broad Form is a named peril policy that covers direct physical loss caused by fire, lightning, and internal explosion. It automatically includes Extended Coverage (EC) Perils and V&MM (Vandalism & Malicious Mischief) coverage. In addition to the basic perils, the DP-2 Broad Form also provides coverage for the following broad form perils:

**Damage by Burglars**

- This peril protects against property damage caused by burglars. However, theft of property is excluded unless added by endorsement. The coverage is also not applicable if the dwelling has been vacant for more than 60 consecutive days immediately before the loss.

**Weight of Ice, Snow, or Sleet**

- This coverage applies to damage to the insured building and/or contents caused by the weight of ice, snow, or sleet. It excludes loss to certain structures like awnings, fences, patios, pavements, swimming pools, foundations, retaining walls, bulkheads, piers, wharves, or docks.

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# AU-F14 Accidental Discharge - Coverage Details

Accidental Discharge coverage provides protection against losses caused by the unintended release of water or steam from plumbing, heating, or air-conditioning systems, fire protective sprinkler systems, or household appliances.

**Coverage Includes:**

- The cost of tearing out and repairing the damage resulting from the accidental discharge (excluding the part that caused the damage).
- Damages caused by sump, sump pump, or related equipment are not covered.
- Roof drains, gutters, downspouts, and similar fixtures or equipment are not considered plumbing systems or household appliances.

**Coverage Exclusions:**

- Loss to a building caused by constant or repeated seepage over time.
- Loss if the dwelling has been vacant for more than 60 consecutive days immediately before the incident.
- Coverage is not provided for the system or appliance from which the water or steam escaped.

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# AU-F15 Falling Objects Coverage

Falling Objects coverage protects against damages caused by objects that fall onto the exterior premises of the insured property. If the falling object first damages the roof or an exterior wall, it may also cover damages to the interior of the building.

**Coverage Includes:**

- Damage caused by falling objects to the exterior premises of the insured property.

**Coverage Excludes:**

- Damages to the interior of the building, except when there is initial damage to the roof or an exterior wall.
- Outdoor radio and television antennas, aerials, lead-in wiring, masts, towers, outdoor equipment, awnings, and fences are not covered.
- The coverage does not apply to damages suffered by the falling object itself.

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# AU-F16 Freezing Coverage

Freezing Coverage provides protection against damages caused by the freezing of plumbing, heating, air conditioning systems, automatic fire protective sprinkler systems, and household appliances.

**Coverage Conditions:**

- If the insured property is vacant or unoccupied, the insured must take reasonable care to:
  - Maintain heat in the building.
  - Shut off the water supply and drain all systems and appliances of water.

**Exception for Automatic Fire Protective Sprinkler Systems:**

- For automatic fire protective sprinkler systems, the insured must continue the water supply and maintain heat for coverage to apply.

**Exclusions:**

- This coverage does not include damages caused by a sump, sump pump, or related equipment.
- Damages to roof drains, gutters, downspouts, or similar fixtures or equipment are not covered by this peril.

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# AU-F17 Electric Current & Physical Manipulation Coverage

**Artificially Generated Electrical Current:**

- This peril provides coverage for damages caused by artificially generated electrical current.
- However, it does not include loss to tubes, transistors, electronic components, or circuitry that are part of appliances, fixtures, computers, home entertainment units, or other electronic apparatus.
- It's important to note that a fire caused by artificially generated electrical current would be covered.

**Sudden and Accidental Tearing Apart, Cracking, Burning, or Bulging:**

- This peril provides coverage for sudden and accidental tearing apart, cracking, burning, or bulging of steam or hot water heating systems, air conditioning systems, automatic fire protective sprinkler systems, or appliances used for heating water.

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# AU-F18 Expanded Perils

**Vehicles Peril:**

- Covers damage to fences, driveways, and walks when the vehicle is driven by someone who is NOT a resident of the insured's household.
- Also provides coverage for damage to other types of property when the vehicle IS driven by an insured or a resident of the insured's household.

**Smoke Peril:**

- Expanded to include loss caused by fireplace smoke.
- This includes damage to the interior of the dwelling and the contents damaged by excess smoke from a fireplace.

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# AU-F19 DP-3 Special Form - Comprehensive Coverage

**Dwelling & Other Structures:**

- Open peril coverage for both Coverage A: Dwelling and Coverage B: Other Structures.
- All risks of loss are covered unless they are specifically excluded.

Personal Property:

- Named broad perils coverage under Coverage C: Personal Property, similar to the DP-2 form.
- Specific perils are covered, as outlined in the policy.

**Remembering Exclusions:**

- In an open peril form like DP-3, exclusions are crucial to understanding coverage.
- Knowing the excluded perils helps determine what is covered under this comprehensive form.

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# AU-F20 Excluded Perils - DP-3 Special Form

The DP-3 Special Form offers comprehensive coverage, but certain perils are excluded. These exclusions include:

**Gradual and Expected Losses:**

- Wear and tear, marring, deterioration, rust, mold, rot, and contamination.
- Inherent vice and latent defect, which refer to property characteristics causing depreciation, spoilage, breakage, or disintegration.
- Smoke from agricultural smudging or industrial operations.
- Smog, the presence of fog and smoke particles in the air.
- Mechanical breakdown, damages resulting from the failure of machinery or equipment.

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# AU-F21 Excluded Perils - DP-3 Special Form

In addition to the previously mentioned exclusions, the DP-3 Special Form also includes the following:

**Constant or Repeated Seepage or Leakage:**

- Damage caused by continuous or repeated water or steam seepage from plumbing, heating, air conditioning, sprinkler systems, or household appliances over an extended period.
  Settling and Structural Issues:
- Loss resulting from settling, cracking, shrinking, bulging, or expansion of pavements, patios, foundations, walls, floors, roofs, or ceilings.
  Damage by Pests and Animals:
- Excludes coverage for losses caused by birds, vermin, rodents, insects, or domestic animals.
  Wind, Hail, Ice, Snow, or Sleet Damage:
- Damage to antennas, lawns, plants, shrubs, and trees caused by wind, hail, ice, snow, or sleet is not covered.

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# AU-F22 Exclusions - DP-3 Special Form

Continuing with the exclusions of the DP-3 Special Form:

**Freezing of Systems and Appliances:**

- Damage caused by freezing of plumbing, heating, air conditioning, automatic fire protective sprinkler systems, or household appliances, as well as any overflow due to freezing. However, coverage would apply if reasonable care was taken to maintain heat in the covered dwelling or to shut off the water supply.

Weight of Ice, Snow, or Water:

- Damage caused by the weight of water, ice, snow, or sleet to awnings, fences, pavements, patios, swimming pools, foundations, retaining walls, bulkheads, piers, wharves, and docks. This exclusion also includes footings and other supporting structures for buildings. Additionally, it applies to retaining walls and bulkheads that do not support any part of a building or other structure.

Theft of Unattached Property:

- Theft of property that is not actually part of the insured dwelling or theft of property from a dwelling under construction is not covered.

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# AU-F23 Exclusions - DP-3 Special Form

**Vacant Dwelling Exclusion:**

- Coverage for vandalism and malicious mischief, burglary damage, and glass breakage is excluded if the dwelling has been vacant for more than 60 consecutive days.

**Collapse Exclusion:**

- Any loss involving collapse, other than as provided under the "other coverages" section of the policy, is not covered.

**Pollutant Exclusion:**

- The policy does not provide coverage for the discharge, dispersal, seepage, migration, release, or escape of pollutants. Pollutants include solid, liquid, gaseous, or thermal irritants or contaminants, such as smoke, vapor, soot, fumes, acids, alkalis, chemicals, and waste.

It's essential to remember that the DP-3 Special Form provides "named peril" coverage for personal property (Coverage C). Consequently, the same exclusions that apply to the DP-2 Broad Form will also apply to Coverage C - Personal Property under the DP-3 form.

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# AU-F24 Exclusions - Applicable to all Dwelling Forms

**Ordinances or Laws:**

- Losses resulting from ordinances or laws that require the insured to address pollutants, conduct monitoring, clean up, or respond to such issues, or require more extensive reconstruction or demolition than the original structure, are excluded. However, the replacement of regular glass with safety glass is covered.

**Earth Movement:**

- Losses caused by earth movement, including mudslides, sinkholes, and subsidence, are generally excluded. However, if a direct loss by fire or explosion is caused by earth movement, it will be covered.

**Water Damage:**

- Water damage resulting from floods is always excluded. This also includes water backing up into a dwelling, water leaking or seeping from underground sources, and water discharged from a sump pump or similar equipment.

**Power Interruption:**

- Losses due to power interruption that occurs away from the insured's location are excluded.

Failure to Preserve Property:

- Losses that occur because the insured fails to save and preserve property after a loss, or neglects to protect property from further damage, are excluded.

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# AU-F25 Exclusions - Applicable to all Dwelling Forms

**War:**

- Losses caused by war-related activities are excluded. Damage resulting from acts of war or military conflicts is not covered under the policy.

**Nuclear Hazard:**

- Damages arising from nuclear hazards, including radiation and contamination, are excluded. Such perils are not covered by the Dwelling forms.

**Governmental Action:**

- This exclusion pertains to the destruction, confiscation, or seizure of property by the government or a public authority. However, it's essential to remember that this exclusion does not apply to such acts ordered by any governmental or public authority if taken at the time of a fire to prevent its spread. In such cases, the loss caused by fire would still be covered under the policy.

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# AU-F26 Exclusions - Coverage C: Personal Property

When it comes to Coverage C - Personal Property, specific exclusions apply under the Dwelling policies. They include:

**Animals, Birds, and Fish:**

- Damage or loss to animals, birds, and fish kept as pets or for any other purpose is not covered by the policy.

**Aircraft**:

- Personal property damage or loss caused by aircraft is excluded from coverage.

Motor Vehicles (Except Maintenance Equipment):

- Damage to personal property resulting from motor vehicles is not covered, with the exception of motorized equipment used for maintaining the premises.

Boats (Except Rowboats and Canoes):

- Personal property damage or loss involving boats, except for rowboats and canoes, is excluded from the policy.

**Hovercraft and Parts:**

- Loss or damage caused by hovercraft, such as air cushion vehicles and flarecraft, and their parts are not covered.

**Accounts, Bills, Currency, Coins, Evidences of Debt, Money, and Securities:**

- Personal property items, such as accounts, bills, currency, coins, evidences of debt, money, and securities, are excluded from coverage.

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# AU-F27 Coverage C Exclusions - Personal Property

**Damage Caused by Water or Steam:**

- Personal property damage resulting from water or steam is excluded from coverage.

**Grave Markers, Including Mausoleums:**

- Personal property loss or damage to grave markers, including mausoleums, is not covered by the policy.
  Electronic Fund Transfer Cards or Access Devices:
- Loss or damage to electronic fund transfer cards or access devices used for financial transactions is excluded.

**Scrip, Stored Value Cards, and Smart Cards:**

- Personal property items like scrip, stored value cards, and smart cards are not covered.
  Data Stored on a Hard Drive or Related Equipment:
- Loss or damage to data stored on a hard drive or any related equipment is excluded from coverage.

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# AU-F28 Additional Coverages in Standardized Dwelling Forms

In the standardized Dwelling forms, there are "other coverages" that come as part of the policy. These coverages are often adjusted to meet state legal requirements.

**Debris Removal:**

- The insurer will cover the insured's reasonable expenses for removing debris from covered property when a covered peril caused the loss.
- Expenses for removing ash, dust, or particles from a volcanic eruption that directly damaged a building or its property are also covered.
- The cost of debris removal is included in the limit of liability for the damaged property; it is not additional insurance.

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# AU-F29 Additional Coverages in Standardized Dwelling Forms

**Property Removed:**

- The policy provides coverage for personal property against direct loss from any cause while being removed from the endangered premises due to an insured peril.
- The coverage allows protection for up to 30 days while the property is removed (Note: DP-1 offers coverage for up to 5 days only).

**Reasonable Repairs:**

- If covered property is damaged by an insured peril, the insurer will pay the reasonable cost incurred by the insured to take necessary measures to prevent further damage.
- If the measures taken involve repairing other damaged property, the insurer will pay for those measures only if the property is covered under the policy and the damage was caused by a covered peril.
- This coverage does not increase the limit of liability for the covered property.
- The insured is still responsible for protecting the property from further damage in the event of a loss and must make reasonable and necessary repairs while keeping a record of repair expenses.

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# AU-F30 Additional Coverages in Standardized Dwelling Forms

**Improvements, Alterations, and Additions:**

- If the insured is a tenant, up to 10% of the Coverage C limit of liability is available for loss caused by an insured peril.
- Coverage can be used for improvements, alterations, or additions made or acquired by the insured at their expense to the part of the described location used solely by the insured.
- In DP-1, this coverage is included within the limit of liability for Coverage C. For DP-2 and DP-3, it is an additional amount added to the available limit for Coverage C.

**Fire Department Service Charge:**

- The policy provides $500 to cover fire department charges incurred when the fire department is called to save or protect covered property from an insured peril.
- This coverage is additional insurance, and no deductible applies.

World-Wide Coverage:

- The insured may use up to 10% of the Coverage C limit of liability for loss caused by an insured peril to property covered under Coverage C (excluding rowboats and canoes) while located off the insured premises, anywhere in the world.
- Utilizing this coverage will reduce the Coverage C limit of liability for the same loss.

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# AU-F31 Additional Coverages in DP-2 and DP-3 Forms

**Trees, Shrubs, and Other Plants:**

- The policy provides coverage for trees, shrubs, plants, or lawns on the covered premises if the loss is caused by specific perils, including fire or lightning, explosion, riot or civil commotion, aircraft, vehicles not owned or operated by the insured or a resident of the covered premises, and vandalism or malicious mischief (including damage during a burglary or attempted burglary, but not theft of property).
- Please note that the peril of "windstorm or hail" is not included in this coverage.
- The limit for this coverage is up to 5% of the Coverage A limit or a maximum of $500 for each tree, shrub, or plant.
- This coverage is considered an additional coverage under the DP-2 and DP-3 forms. The DP-1 form does not include this coverage, but it can be added by endorsement if desired.

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# AU-F32 Collapse Coverage

Coverage for "collapse" is applicable only to instances of "abrupt collapse," which refers to a sudden and complete falling down/caving in of any part of a building, rendering it uninhabitable for its intended purpose.

**Exclusions from Collapse Coverage:**

- Any part of a building at risk of collapsing or caving in, even if it remains standing.
- Any part of a building that stands, even if it shows signs of damage like cracking, bulging, sagging, bending, leaning, settling, shrinkage, or expansion.

**Collapse Coverage Includes:**

- Direct physical loss to covered property resulting from an abrupt collapse caused by perils insured against in the policy.
- Hidden decay, vermin, or insect damage (unless the insured was aware of it before the collapse).
- Weight of contents such as equipment, animals, or people.
- Weight of rain collected on a roof.
- Use of defective materials/methods during construction or remodeling leading to collapse.

**Important Note:**

- Collapse coverage does not increase the limit of liability for the damaged covered property. It is subject to the limit specified in the policy.

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# AU-F33 Additional Coverages

**Glass or Safety Glazing Material**

- Glass coverage is available as an "additional coverage" only under the DP-2 and DP-3 forms. It provides coverage for breakage of glass from any cause, unless specifically excluded.
- Please note that this coverage does not increase the limit of liability for the damaged covered property.

**Vacant Premises and Glass Breakage**

- On standardized forms, the "glass breakage" coverage does not apply if the premises have been vacant for 60 or more consecutive days before a loss.
- Keep in mind that state special provisions forms may amend this coverage frequently.
  Ordinance or Law Coverage
- Coverage up to 10% of the Coverage A limit can be used to cover increased construction costs after a covered loss occurs. This is due to the enforcement of any ordinance or law related to construction, demolition, or remodeling.
- The 10% limit for ordinance or law coverage is considered additional insurance and is available under the DP-2 and DP-3 forms.

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# AU-F34 Understanding Loss Settlement

In the standard Dwelling forms, the method for settling losses can be found in the "Conditions" section of the policy. Let's take a closer look:

**Dwelling & Other Structures (Coverages A & B)**

- DP-2 and DP-3 forms provide loss settlement at replacement cost value (RCV). Depreciation is not deducted as long as the insured meets the coinsurance clause requirements.
- DP-1 form settles losses for Coverages A & B on an actual cash value (ACV) basis.
  Personal Property (Coverage C)
- Loss settlement for personal property (Coverage C) is based on the actual cash value at the time of the loss, and depreciation is deducted.
- However, the settlement amount will not exceed the cost necessary to repair or replace the damaged property.

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# AU-F35 Important Policy Conditions

**Our Option**

- This condition grants the insurer the right to repair or replace damaged property with materials or items of similar kind and quality. The insurer must take action within 30 days of receiving the insured's proof of loss.

**Recovered Property**

- If the insurer or insured recovers any property for which the insurer has already made payment, both parties must inform each other of the recovery. The insured has the choice to either keep or return the recovered property. Additionally, the loss payment will be adjusted based on the amount the insured received from the insurer for the recovered property.

**Duties After Loss**

- The insured is required to promptly notify the insurer of any loss, take necessary steps to protect the property from further damage, and maintain accurate records of reasonable repairs made. Within 60 days, the insured must provide proof of loss to the insurer.
- The insured is also obligated to cooperate with the insurer during the claim investigation. Non-compliance with these duties, if prejudicial to the insurer, may affect the coverage provided under the policy.

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# AU-F36 Important Policy Provisions

**Other Insurance and Service Agreement**

- In the presence of "other insurance" covering the property, the insurer will only pay its share of the loss based on the proportion of its coverage limit to the total amount of insurance. This method is known as the "pro-rata share" approach. Example: Company A covers $40,000 on the dwelling, and Company B covers $60,000 on the same dwelling. If there is a $30,000 covered loss, Company A will pay 40% of the loss (its share of coverage) which amounts to $12,000. If personal property is also covered by a service agreement, the Dwelling policy coverage will be considered excess.

**Loss Payable Clause**

- If a loss payee is listed in the policy's Declarations for insured personal property, that loss payee is treated as an insured regarding the specified property. The loss payee will be notified in writing if the insurer cancels or non-renews the policy.
  Legal Action Against Insurer (Suit Against Us)
- The insured cannot bring an action against the insurer unless they have fully complied with all the policy's terms and conditions. Additionally, any legal action must commence within two years from the date of the loss.

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# AU-F37 Understanding Coverage B & Coverage C

**Coverage B - Other Structures:**

- This coverage provides protection for "Other Structures" on the property and is equivalent to 10% of the Coverage A limit under all three standardized Dwelling forms.
- However, there is a distinction with the DP-1 form, where the 10% coverage is included as part of the dwelling limit. In contrast, for the D-2 and DP-3 forms, it is an additional amount of insurance.
- Note that "appurtenant structures" may be used interchangeably with "other structures" in your state exam.

**Coverage C - Personal Property (Contents):**

- Coverage C offers insurance for personal property (contents) owned by the insured while it is away from the insured premises.
- Please be aware that this coverage does not extend to property belonging to guests or tenants. The limit for this coverage is set at 10% of the Coverage C amount purchased.
- To be eligible for coverage, the loss must have been caused by a peril covered by Coverage C.

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# AU-F38 Understanding Coverage D & Coverage E

**Coverage D - Fair Rental Value:**

- The "Fair Rental Value" coverage pertains to the DP-1 form, where the limit is set at 20% of the Coverage A. It is paid on a monthly basis, equivalent to 1/12th of the total amount, until the rental property is fully restored. It's important to note that this coverage is not additional; it is already included within the Coverage A limit. However, for the DP-2 and DP-3 forms, there is an extra 20% of the Coverage A limit provided as an additional amount of insurance.

**Coverage E - Additional Living Expenses:**

- Coverage E, also known as Additional Living Expenses, is a crucial coverage that needs to be purchased by endorsement to be added to the DP-1 form. In contrast, it comes as standard coverage with the DP-2 and DP-3 forms. Coverage E provides financial support to the insured for up to 20% of the Coverage A limit, covering additional expenses when they are forced to leave their dwelling and reside elsewhere during the repair or rebuilding process. This coverage continues until the insured finds a permanent settlement elsewhere, if necessary.

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# AU-F39 Exploring Common Dwelling Policy Endorsements

Dwelling policy endorsements:

- The Theft Endorsement - Broad & Limited
- Additional Insured
- Automatic Increase in Insurance
- Building Ordinance or Law
- Dwelling Under Construction
- Grave Markers
- Permitted Incidental Occupancies
- Windstorm or Hail

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# AU-F40 Enhancing Theft Coverage with Endorsements

"Theft" endorsement offers two coverage options: "broad" or "limited" theft.

**Eligibility for "Broad Theft":**

- • Owner-occupied dwellings
- • Co-op or Condo units
- • Apartments occupied by a tenant who is the named insured

**Eligibility for "Limited Theft":**

- • Nonowner-occupied dwellings
- • Co-op or Condo units
- • Apartments occupied by a tenant other than the named insured

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# AU-F41 Enhancing Theft Coverage with Endorsements

**Coverage for "Broad Theft" vs. "Limited Theft":**

- "Broad Theft" provides coverage for both "on- and off-premises" theft of personal property.
- "Limited Theft" offers coverage solely for "on-premises" theft of personal property.

**Coverage Limits:**

- Both "broad" and "limited" theft coverage limits are based on specified property types listed in the endorsement form.

**Special Limits of Liability for "Broad" or "Limited" Theft Coverage:**

- $200 for money, related property, coins, and precious metals.
- $1,500 for securities, manuscripts, and other valuable paper property.
- $1,500 for watercraft, including trailers and equipment.
- $1,500 for trailers not used with watercraft.
- $1,500 for jewelry, watches, furs, precious and semi-precious stones.
- $2,500 for firearms and related equipment.
- $2,500 for silverware, goldware, or pewterware.

**Reporting Requirement:**

- To avail theft coverage, the insured must promptly inform the police in case of a theft loss.

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# AU-F42 Enhancing Coverage with the "Automatic Increase in Insurance" Endorsement

**Automatic Increase in Insurance" (aka "Inflation Guard"):**

- Some state exams may refer to this endorsement as the "Inflation Guard."
- This endorsement is designed to automatically increase Coverages A and B annually.

**Annual Percentage Increase Selection:**

- Insureds can choose from three options: 4%, 6%, or 8% increases.
- The selected percentage increase will apply to the coverage amounts at each policy renewal.

**Purpose of the Endorsement:**

- The primary goal of this endorsement is to ensure that the coverage amount for the dwelling and other structures keeps up with inflation.
- As repair and replacement costs rise over time, the endorsement helps maintain adequate coverage.

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# AU-F43 Dwelling Under Construction - Custom Coverage for Ongoing Projects

**Purpose of the Endorsement:**

- The "Dwelling Under Construction" endorsement caters to dwellings that are currently under construction.
- It offers specialized coverage during the construction phase until the project is completed.

**Who Can Purchase the Endorsement:**

- The endorsement is available for the intended occupant of the dwelling, who is also the named insured on the Dwelling policy.
- This ensures that the individual building the dwelling is protected throughout the construction process.

**Unique Coverage Structure:**

- The insured selects a total limit of liability based on the estimated value of the dwelling upon completion.
- At any stage of construction, the coverage available is a percentage of the total limit. For instance, if the project is 10% complete, the coverage available is 10% of the total limit.
- As construction progresses, the policy limit increases accordingly, providing adequate protection throughout the building process.

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# AU-F44 Permitted Incidental Occupancies - Expanded Coverage for Home-Based Businesses

**Purpose of the Endorsement:**

- The "Permitted Incidental Occupancies" endorsement enhances the Dwelling policy to provide coverage for personal property associated with a business conducted within the covered dwelling.
- It applies specifically to businesses owned by the named insured.

**Qualifying Criteria:**

- To be eligible for this endorsement, the business must be owned by the named insured of the Dwelling policy.
- Additionally, the endorsement covers the storage of merchandise associated with the insured's business, with a maximum coverage limit of $10,000.

**Coverage Details:**

- Example: If the named insured establishes a beauty salon in their dwelling, this endorsement extends coverage to protect the salon and its contents.
- Not Covered: If a third party rents the dwelling and operates a beauty salon, this endorsement would not apply.
- Qualifying Businesses: Barber shops, beauty parlors, tailors, dressmakers, shoe repair shops, telephone answering services, offices, music or photography studios, and private schools.
- Limited Occupancy: This endorsement allows a maximum of two people to work in the business simultaneously.

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# AU-F45 Enhanced Coverage Endorsements for Dwelling Policies

**Additional Insureds:**

- "Additional Insureds" refer to persons or organizations that possess an insurable interest in the described dwelling mentioned in the policy.
- This endorsement allows these individuals or entities to be named as "additional insureds" on the policy, providing them with coverage and protection.

**Building Ordinance or Law Coverage:**

- Purpose: The "Building Ordinance or Law" endorsement extends additional coverage for losses resulting from ordinances or laws that regulate property construction, repair, or demolition.
- Coverage Enhancement: It adds the "ordinance or law" coverage to the DP-1 form and can augment the automatic 10% coverage already included in DP-2 or DP-3 forms.
- Coverage Scope: The endorsement applies to various elements, including the covered dwelling, other structures, unit-owner building items, and improvements, alterations, and additions.

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# AU-F46 Specialized Endorsements for Enhanced Coverage

**Grave Markers Endorsement:**

- Purpose: The "Grave Markers" endorsement offers valuable coverage of up to $5,000 for grave markers, including mausoleums, situated on the specified location.
- Comprehensive Protection: This endorsement ensures protection for these valuable memorial structures, providing peace of mind to the insured.

**Windstorm or Hail Endorsement:**

- Coverage Enhancement: The "Windstorm or Hail" endorsement supplements the standard Dwelling policy by covering damages caused by wind or hail, which may not be initially covered.
- State-Specific Deductibles: Depending on the location within the state where the property is situated, state-specific "windstorm" or "hurricane" deductibles may apply to this endorsement.
- Tailored Protection: This endorsement ensures customized protection against windstorm or hail damage, catering to the unique needs of the insured's property and location.

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# AU-G1 New York Standard Fire Policy

- In the late 1800s, the New York Standard Fire Policy (SP) emerged as the first standardized insurance policy to cover property damage caused by fire. Initially, many states adopted this form due to its uniform wording mandated by law. However, the policy's vague language often led to disputes over claim denials, requiring insurers to rely on case law for interpretation.
- Although the SP as a standalone policy is now largely outdated, its legacy persists. Currently, 28 states have passed legislation that mandates property policies issued within the state to offer coverage equivalent to the New York Standard Fire Policy.
- A pivotal moment occurred in 1943 when the New York SFP form underwent revision, giving rise to the 165-line policy that serves as the foundation for modern property insurance policies. Today, we can witness the influence of the 1943 New York Standard Fire Policy in various policies, including Dwelling, Homeowners, and Commercial Property policies.

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# AU-G2 Relevance of the Standard Fire Policy in Modern Property Insurance

- The Standard Fire Policy (SFP) has become largely outdated with the introduction of modern property insurance forms.
- Nevertheless, recognizing its historical significance, the SFP remains a valuable starting point for studying the structure and terminology of contemporary property insurance policies.
- Remarkably, 28 states have enacted laws mandating that all property insurance policies issued within their jurisdictions offer coverage at least equivalent to that provided by the SFP.
- Initially, the SFP was not an all-encompassing policy, requiring additional forms and endorsements to cover various perils. Over time, the coverages from these supplemental forms and endorsements were assimilated into standard property insurance policies, including Homeowners and Commercial Property policies.
- Presently, Section I of modern property insurance policies still incorporates language and coverages reminiscent of the 1943 New York Standard Fire Policy.

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# AU-G3 Sections of the New York Standard Fire Policy

The 1943 New York Standard Fire Policy is a concise document, spanning two printed pages, and comprises four primary sections:

- Declarations
- Insuring Agreement
- Conditions
- Exclusions

The first page encompasses the Declarations and the Insuring Agreement, while the second page is dedicated to the Conditions and Exclusions, encompassing 165 numbered lines of print.

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# AU-G4 Insuring Agreement

- The Policy Insuring Agreement sets forth the precise time and location for the policy term commencement (inception date) and conclusion (expiration date) at 12:01 A.M. standard time at the property's location.
- In some states, policies are designed to initiate and terminate at noon, standard time.
- In either instance, this level of specificity surpasses the term indicated in the Declarations.
- The Insuring Agreement also contains an assignment clause, upholding the notion of a personal contract.
- Should the property be sold, the policy cannot be transferred to the new owner "unless the Insurance Company provides written consent."
- This provision enables the insurer to reassess the risk under the new ownership before allowing any assignment.

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# AU-G5 Coverage

**Coverage Limited to Described Property:**

- The policy's coverage is restricted to the property that is specifically mentioned in the policy.

**Location-Specific Coverage:**

- Normally, the property covered under the Standard Fire Policy is protected only while situated in the locations specified in the policy.
- However, if the described property is temporarily moved from its original location to safeguard it from the insured perils, the policy will automatically extend coverage to the property for a duration of five days at the new location.

**Identifying vs. Defining Property:**

- While the Standard Fire Policy identifies the covered property, it does not provide a comprehensive definition of the property.
- Therefore, to finalize the contract, at least one additional form must be appended, precisely outlining the type of property being insured.

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# AU-G6 Coverage

Named Perils: The Standard Fire Policy offers coverage for direct physical damage caused by three named perils:

- Fire
- Lightning
- Removal

**Fire**

- Specifically defined as combustion accompanied by visible light that generates a flame, glow, or incandescence. It is essential to note that heat or smoke without visible light is not considered fire.
- Types of Fire: Insurance companies consider two types of fire when providing coverage for property:
- Hostile (Unfriendly) Fire: A fire that escapes its intended boundaries or is not intentionally started.
- Friendly Fire: A fire that is intentionally ignited and remains within its intended boundaries.

**Lightning**

- Specifically defined as a natural discharge of electricity originating from the atmosphere.
- Exclusion: It is important to note that the term "lightning" does NOT cover artificially generated electricity, such as electrical power surges.

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# AU-G7 Coverage

**Covered Perils:**

- The SFP provides coverage solely for direct losses caused by the named perils. Only losses resulting directly from these perils are eligible for compensation.

**Defining Direct Loss:**

- In the context of the SFP, direct loss refers to the actual physical damage or complete destruction of the insured property. It encompasses tangible harm to the property itself.

**Removal Coverage Inclusion:**

- Under the removal coverage, direct loss also extends to include instances of theft or disappearance of the property. This means that if covered property is stolen or goes missing during a removal process, it falls within the realm of direct loss.

**Limited Coverage:**

- It's crucial to note that the SFP, without additional coverage forms, does not provide indemnity for losses beyond those directly caused by fire and lightning. Other types of losses or perils would require separate coverage options.

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# AU-G8 Coverage

**Coverage Details:**

- The SFP provides coverage for direct property loss that occurs "by removal from premises endangered by the perils insured against" (fire and lightning).

**Reasonable Efforts:**

- The insured is obligated to make all reasonable efforts to save and preserve the covered property during and after a loss. The removal coverage is exceptionally broad, akin to "all risk" coverage, ensuring that efforts to minimize loss are not penalized.

**Comprehensive Protection:**

- For instance, if covered furniture is removed from a burning building and subsequently stolen or damaged by rain, the SFP will cover the loss under the removal provision, despite theft and rain damage being excluded in the policy.

**Automatic Coverage Period:**

- Whenever the property is threatened by fire or lightning, removal coverage is automatically triggered for five days. Beyond this period, an extension of coverage would require arrangements with the insurer.

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# AU-G9 Special Coverage for Bullion and Manuscripts:

**Specific Identification Required:**

- To ensure coverage for bullion or manuscripts, these items must be explicitly listed by name on the policy in writing.
- The Standard Fire Policy's conditions (SP lines 9-10) do not inherently exclude coverage for such items.
- However, it is essential to identify them separately in writing, as they cannot be automatically covered under general property categories like building contents or personal belongings.

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# AU-G10 Exclusions

Excluded Items: The SFP explicitly excludes coverage for certain items, including:

- Accounts
- Bills
- Currency
- Deeds
- Evidences of debt
- Money
- Securities

**Rationale for Exclusion:**

- These items are not covered under the SFP because they possess specific characteristics that make them unsuitable for inclusion.
- They are easily concealed or removed, and their value can be challenging to determine accurately.
- As a result, other specialized insurance policies are available to provide coverage for these items

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# AU-G11 Exclusions

While the Standard Fire Policy (SFP) covers various perils, certain losses are excluded from coverage due to their unique nature. The policy conditions (lines 11-24) specifically exclude losses resulting directly or indirectly from the following events:

**Acts of War:**

- This includes various war-related incidents such as invasion, insurrection, rebellion, revolution, civil war, usurped power, enemy attack, and defense against enemy attack.

**Orders of Civil Authority:**

- Losses caused by orders issued by civil authorities are excluded, except for actions taken to prevent the spread of fire.

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# AU-G12 Exclusions

The Standard Fire Policy (SFP) outlines certain conditions (lines 11-24) that exclude losses resulting from the following events:

Neglect of the Insured:

- Losses caused by the insured's failure to use reasonable means to save and protect the property during the time of loss, after a loss has occurred, or when the property is at risk due to fire in a neighboring premises.

Theft:

- Coverage is excluded for losses caused by theft, with the exception of unavoidable theft under the removal coverage.
- This means that theft losses during the process of removing the property from endangered premises are still covered.

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# AU-G13 Conditional Exclusions

The Standard Fire Policy (SFP) includes two conditional exclusions (lines 28-35), which temporarily suspend insurance coverage under certain circumstances, "unless otherwise provided in writing." It is essential to understand these exclusions as they affect the coverage for specific situations, and once the conditions cease to exist, the coverage is automatically restored.

**Increased Hazard:**

- Losses occurring while the insured knowingly increases the hazard through actions within their control or knowledge are not covered.
- However, coverage is reinstated when the hazardous condition is rectified.

**Vacancy or Unoccupancy:**

- Losses occurring while a described building, intended for occupancy, remains vacant or unoccupied for more than 60 days are excluded from coverage.
- Once the building becomes occupied again within the policy's timeframe, the coverage is restored.

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# AU-G14 Exclusions

- The Standard Fire Policy (SFP) explicitly excludes losses caused by "explosion or riot."
- However, if an explosion or riot leads to a subsequent fire, any additional fire damage will be covered (lines 36-37).
- The exclusion of explosion or riot as named perils may seem redundant since fire losses are covered under the policy.
- A similar redundancy is present in the insuring agreement's treatment of covered and excluded losses. The policy clearly limits coverage to direct losses, excluding compensation for business interruption and adjustments for increased costs due to construction regulations (ordinance or law coverage).
- Even without this disclaimer, the basic policy would not cover these indirect losses and extra expenses. However, policyholders have the option to purchase endorsements for these additional coverages, which can be attached to the SFP.

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# AU-G15 Limitation of Recovery

The insuring agreement of the Standard Fire Policy outlines four distinct limitations on the maximum amount the insured can collect for a loss.

Each entry represents a separate maximum, and the recovery cannot exceed the smallest of the following amounts:

- The specified amount in the policy.
- The actual cash value of the property at the time of the loss (ACV calculated as replacement cost minus depreciation).
- The cost to repair or replace the property with materials of similar kind and quality, within a reasonable timeframe.
- The amount representing the insured's interest in the property at the time of the loss.

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# AU-G16 Limitation of Recovery - Pro-Rata Liability Clause

The Standard Fire Policy (SFP) includes a pro-rata liability clause (lines 86-89), which restricts the liability of each insurer to their proportionate share of the loss.

- This means that if "Insurer A" covers 30% of the risk, they will only pay 30% of the loss.
- This concept aligns with the principle of indemnity and prevents over-insurance by multiple policies on the same property.
- For instance, consider a $500,000 building insured under four separate SFPs, each with a coverage amount of $5000,000.
- In the event of a loss, each insurer would only pay one-quarter (25%) of the total loss.
- With the pro-rata liability clause in place, the insured cannot attempt to claim $5,000,000 for a $500,000 building loss, as that would be against the principle of indemnity.

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# AU-G17 Limitation of Recovery - Insurable Interest

**Insurable Interest**

- While a policy specifies a certain amount of insurance, the policyholder's insurable interest may restrict the amount of recovery they can claim.
- Insurable interest arises when a party has a financial stake in the property, such as being an owner, mortgagee, vendor, lienholder, stockholder, joint owner, bailee, or leaseholder.
- Fire insurance often covers the interests of both the insured and the mortgagee under the same policy.

**Mortgage**

- If there is a mortgagee involved, the Declarations of the SFP will identify them, and a mortgagee clause will be attached to the policy.
- In such cases, the insurer would prioritize protecting the mortgagee's interest first, limiting the insured's recovery to their actual equity interest at the time of the loss.
- This ensures that each party's financial stake is appropriately accounted for in the event of a claim.

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# AU-G18 Deductibles

**Deductible Clause**

- The Standard Fire Policy itself does not include a deductible clause, although deductible forms may be added as attachments.
- It is common to find coverage forms and endorsements associated with the SP that carry deductibles.

**Deductible Application**

- When a deductible is applied due to an attachment to the SFP, the amount of recovery is decreased by the deductible amount.
- This means that the policyholder is responsible for covering a portion of the loss before the insurance coverage kicks in.
- Deductibles help manage risk and can influence policy premiums, allowing insured individuals or businesses to customize their coverage according to their needs.

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# AU-G19 Appraisal Clause

**Actual Cash Value**

- When determining the actual cash value (ACV) of a loss under the SFP, the insurer typically pays up to the policy limit. However, in cases where the insured and insurer disagree on the ACV or the loss amount, the appraisal clause comes into play (lines 123-140).

**Appraisal Clause**

- According to this clause, either party, the insured or the insurer, can make a written demand to initiate the appraisal process. Within 20 days, each party selects an impartial appraiser. These appraisers then choose an impartial umpire. Separately, the appraisers state their estimates of the property's ACV.
- If there are any differences between the two appraisers' evaluations, only these differences are presented to the umpire. The ACV of the property is then established through written agreement between any two of the three parties (the two appraisers and the umpire), and this decision is binding on both the insured and the insurer.
- It's important to note that the appraisal clause is a standard feature in property policies, including the SFP. However, state statutes may modify the clause in various policy types, affecting factors such as who can demand an appraisal, the timeframe for selecting appraisers, or the enforceability of the appraisers' and umpire's decisions.

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# AU-G20 Options for Claim Settlement

When handling a claim, the insurer has several options available to determine the settlement amount (lines 141-147):

**Option 1:**

- The insurer may choose to pay the Actual Cash Value (ACV) or the appraised value of the loss.
- Additionally, the insurer has the right to take possession of the damaged or destroyed property, pay the appraised value, and then sell the property to salvage.

**Option 2:**

- Alternatively, the insurer can decide to take on the responsibility of repairing, rebuilding, or replacing the damaged property with materials of similar kind and quality within a reasonable timeframe.

Whichever option the insurer intends to exercise, it must provide written notice to the insured within 30 days after receiving proof of the loss. These options grant the insurer flexibility in settling claims, ensuring that appropriate measures are taken to restore or compensate for the damaged property.

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# AU-G21 Abandonment Clause

**Abandonment Clause**

- The abandonment clause (lines 148-149) prevents the insured from relinquishing the damaged property to the insurer in an attempt to claim a total loss.
- While the insurer has the option to acquire damaged property for salvage purposes and may also choose to pay for a total loss, the insured cannot compel the insurer to take possession of any property to receive payment for a total loss.
- The abandonment clause ensures that the insured cannot force the insurer into accepting damaged property, preserving the insurer's right to handle claims according to their own discretion and assessment.

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# AU-G22 Obligations in Case of Covered Loss

In the event of a covered loss, the SFP outlines specific duties for the insured (lines 90-122). The insured is required to fulfill the following responsibilities:

- Promptly notify the insurer in writing about the loss.
- Take measures to prevent further damage to the property.
- Distinguish between damaged and undamaged personal property and organize them accordingly for assessment.

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# AU-G23 Responsibilities in Case of Covered Loss

If a covered loss occurs, the insured has specific duties to fulfill as outlined in the SFP (lines 90-122). The policy requires the insured to:

- Provide a detailed inventory indicating the damaged, destroyed, and undamaged property, along with quantities, costs, ACV, and the claimed loss amount.
- Submit a signed proof of loss within 60 days, which should include information about the time and cause of the loss, all parties' interests in the property, existence of other insurance, item values, and any other required data.

Moreover, the insurer may request that the insured:

- Present relevant books and records.
- Show any remaining damaged property.
- Agree to examinations under oath. The insured is expected to comply with these requests "as often as may be reasonably required".

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# AU-G24 Miscellaneous Provisions

Apart from the core coverage, the Standard Fire Policy includes several additional provisions that define the rights and responsibilities of both parties and outline technical aspects related to policy modifications. These provisions are as follows:

**Concealment and Fraud Clause:**

- The insurer is safeguarded against the insured's dishonesty (lines 1-6). If the insured intentionally conceals or misrepresents a material fact, whether before or after a loss, the insurer has the right to declare the entire policy void.

**Other Insurance Clause:**

- This clause (lines 25-27) grants the insurer the authority to limit or prohibit other insurance by endorsing the policy. This provision may be exercised by the insurer to prevent the occurrence of "overinsurance" that could potentially lead to moral hazards.

**Adding Additional Perils and Provisions:**

- The policy allows for the inclusion of further covered perils and provisions (lines 38-48). However, these additions must be made in writing and attached to the policy as endorsements to be considered valid.

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# AU-G25 Miscellaneous Provisions

**Waiver Provision:**

- The impact of the waiver provision (lines 49-55) is somewhat uncertain. It stipulates that waivers must be in writing and attached to the policy to be considered valid. However, courts have ruled that agents with the proper authority can waive provisions, even bypassing the requirement for written waivers. As a result, oral waivers may also be recognized as valid in certain situations.

**Cancellation Clause:**

- Under this clause (lines 56-67), the insured is entitled to request cancellation of the policy at any time without prior notice. If the insured initiates the cancellation, any unearned premium will be refunded upon request, though a slight financial penalty known as the "short rate" will apply. This penalty is designed to account for administrative costs.

**Insurer's Right to Cancel:**

- The insurer also holds the right to cancel the policy at any time. However, they must provide the insured with a written notice of cancellation at least five days in advance. Some states with modified versions of the SFP may require longer notice periods, such as 10 or 20 days. In the event of insurer-initiated cancellation, the unearned premium will be calculated on a "pro-rata" basis, without imposing any penalties on the insured.

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# AU-G26 Miscellaneous Provisions

**Mortgagee Interests:**

- The policy includes a clause (lines 68-85) specifically addressing the interests of mortgagees. It allows for the payment of a loss directly to a mortgagee and mandates that a mortgagee must receive a written notice of cancellation with a 10-day advance period, regardless of who initiated the cancellation.
- Moreover, this clause grants the mortgagee the right to submit proof of loss if the insured fails to do so, establishes the mortgagee's ability to sue under the policy, and enables the attachment of additional provisions pertaining to the mortgagee.

**Loss Payable Clause:**

- The policy incorporates a loss payable clause (lines 150-156) that outlines the timeline for payment following the submission and agreement on the proof of loss.
- The insurer commits to making the payment for the loss within 60 days, subject to potential variations based on state laws.

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# AU-G27 Lawsuit & Subrogation

**Limitation on Lawsuits:**

- The policy incorporates a clause (lines 157-161) that imposes restrictions on filing lawsuits. An insured may only pursue legal action to recover a loss if all policy requirements have been fulfilled, and the statute of limitations allows for a one-year period from the date of the loss.

**Subrogation:**

- The final lines of the Standard Fire Policy (lines 162-165) address the concept of subrogation. If the insurer makes any payment for a loss under the policy, they may seek an assignment of the insured's right to recovery against a third party.

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# AU-G28 Evolution of the Standard Fire Policy

- In the 1980s, the original 165-line wording of the 1943 New York Standard Fire Policy underwent significant revisions.
- The revised version adopted simplified language, removing the "increase in hazard" provision.
- However, these changes sometimes resulted in policies that were less favorable to the insured compared to the 1943 SFP.
- To ensure consistent coverage standards, 28 states enacted laws mandating that all property policies provide the same level of coverage as the 1943 form.

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# AU-H1 Flood Insurance

**Definition of Flood Insurance:**

- Specific insurance coverage against damages caused by floods.
- Designed to protect property owners from flood-related losses.
- Essential for safeguarding against natural disaster risks.

**Importance of Flood Insurance:**

- Mitigates Financial Losses: Covers repairs and replacements post-flood.
- Provides Security: Ensures peace of mind during flood-prone periods.
- Mandatory for Some: Required for properties in high-risk flood zones.

**Differentiating Flood Insurance from Other Coverages:**

- Unlike Homeowners Insurance: Does not cover flooding, requires separate coverage.
- Unique Risk: Addresses a specific, catastrophic risk.
- Specialized Coverage: Tailored to flood-related damages, including structural and content losses.

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# AU-H2 Types of Flood Insurance Policies

**National Flood Insurance Program (NFIP) Policies:**

- Administered by FEMA (Federal Emergency Management Agency).
- Offers coverage for homes, businesses, and contents.
- Federally backed program with standardized rates and terms.

**Coverage and Limits:**

- Structural Coverage: Covers building and foundation.
- Contents Coverage: Safeguards personal belongings.
- NFIP Maximum Limits: $250,000 for building, $100,000 for contents.

**Eligibility and Enrollment:**

- Available in participating NFIP communities.
- Open to homeowners, renters, and business owners.
- Enrollment through insurance agents or directly via NFIP.

**Private Flood Insurance Policies:**

- Offered by private insurance companies.
- More customizable coverage options.
- Can exceed NFIP coverage limits.

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# AU-H3 Coverage

**Structure Coverage: Protection for Buildings**

- Insures physical structure against flood-related damage.
- Includes foundation, walls, roof, electrical, plumbing, and HVAC systems.
- Ensures repairs and rebuilding after flood incidents.

**Content Coverage: Safeguarding Personal Belongings**

- Covers belongings within the insured property.
- Includes furniture, appliances, clothing, and electronics.
- Protects against losses due to flood-related damages.

**Basement and Crawlspace Coverage**

- Offers protection for these vulnerable areas.
- Covers structural components and essential equipment.
- Ensures comprehensive coverage throughout the property.

**Exclusions and Limitations**

- Certain items or areas might have limited coverage.
- Exclusions: Currency, valuable papers, outdoor property.
- Limitations: Certain types of personal property may have coverage caps.

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# AU-H4 Risk Assessment

**Flood Zone Designations (A, AE, X, etc.):**

- FEMA categorizes areas based on flood risk.
- Different zones reflect varying levels of flood exposure.
- Designations guide insurance requirements and rates.

**FEMA Flood Maps and Resources:**

- FEMA provides flood maps indicating flood-prone areas.
- Online resources help property owners assess their risk.
- Crucial tool for understanding local flood hazards.

**Determining Property's Flood Risk:**

- Using FEMA maps, elevation data, and historical flood patterns.
- Assessing location's vulnerability to flooding.
- Helps property owners make informed insurance decisions.

**Impact of Risk Assessment on Premiums:**

- Higher flood risk often leads to higher premiums.
- Risk assessment influences policy costs significantly.
- Mitigation measures may reduce premiums for high-risk areas.

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# AU-H5 Factors Affecting Premiums

**Factors Influencing Premiums:**

- Elevation of Property, Building's Age and Construction, Location in Flood Zone, Coverage Amount

**Elevation of Property:**

- Higher elevation reduces flood risk, Lower elevation can result in higher premium, Elevation certificates provide accurate data.

**Building's Age and Construction:**

- Newer structures may receive lower premiums, Well-constructed buildings can mitigate damage risks, Older buildings might face higher premiums due to vulnerability.

**Location in Flood Zone:**

- Zone designations (A, AE, X) influence premiums, Higher-risk zones often have higher premiums, Location-based risk assessment impacts rates.

**Coverage Amount:**

- Higher coverage amounts lead to higher premiums, Property value and contents influence coverage needs, Balancing coverage with affordability is essential.

**Understanding Premium Calculation:**

- Premiums based on combination of risk factors, Actuarial calculations determine the cost, Insurance agents can provide premium estimates.

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# AU-H6 FEMA & Flood Insurance

**Federal Emergency Management Agency (FEMA):**

- U.S. government agency managing disaster response and recovery.
- Oversees National Flood Insurance Program (NFIP).
- Provides resources, maps, and flood risk information.

**Relationship Between Flood Insurance and Disaster Assistance:**

- Flood insurance and disaster assistance are separate.
- Flood insurance covers flood-related damages.
- Disaster assistance provides funds after federally declared disasters.

**Coordinating Insurance Claims with FEMA Aid:**

- Flood insurance claims processed by insurers.
- FEMA disaster assistance for uninsured losses.
- Coordinated claims ensure comprehensive recovery.

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# AU-H7 Risk Mitigation

**Implementing Measures to Reduce Flood Risk:**

- Elevating Structures: Raising buildings above flood levels.
- Flood Barriers: Installing barriers to prevent water entry.
- Proper Drainage: Managing water flow to minimize flooding.
- Wetland Restoration: Natural areas absorb excess water.

**How Mitigation Efforts Impact Premiums:**

- Effective mitigation reduces property's flood risk.
- Lower risk leads to potential premium reductions.
- Demonstrates commitment to safety and risk reduction.

**Importance of Community Participation:**

- Collective efforts enhance flood resilience.
- Community-wide mitigation projects minimize overall risk.
- Increased participation may lead to lower premiums for all.

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# AU-H8 Case Studies

**Case Study 1: Residential Property Flooding**

- Situation: Severe flooding damages a residential property.
- Coverage: Residential flood insurance.
- Outcome: Policyholder receives compensation for structural and content damages.
- Lesson: Highlights the importance of residential flood insurance for homeowners.

**Case Study 2: Commercial Property Flood Damage**

- Situation: Commercial property sustains flood-related damages.
- Coverage: Commercial flood insurance.
- Outcome: Property owner receives funds for repair and restoration.
- Lesson: Demonstrates the necessity of commercial flood insurance for businesses.

**Case Study 3: Complex Claims and Adjusting Solutions**

- Situation: Flood-related damages with intricate circumstances.
- Coverage: Comprehensive flood insurance.
- Outcome: Public adjusters handle complexities, negotiate optimal settlement.
- Lesson: Showcases the role of public adjusters in managing complex flood claims.

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# AU-I1 Commercial Package Policy (CPP)

A Commercial Package Policy (CPP) is a valuable insurance solution for businesses, allowing them to combine multiple monoline commercial property and/or liability policies into a single, comprehensive "package policy."

**Simplified Policy:**

- Repetitive information is eliminated, resulting in a clear and easier-to-understand policy for the insured.

**Coverage Gaps Eliminated:**

- By bundling multiple coverages into one policy, potential coverage gaps are avoided, ensuring comprehensive protection.

**Efficient Service:**

- Insurers save time and resources by servicing a single package policy instead of multiple separate policies, leading to cost savings.

**Premium Discounts:**

- As insurers experience savings in administrative costs, they can pass on these benefits to the insured in the form of premium discounts.

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# AU-I2 Coverage Parts

A Commercial Package Policy (CPP) is a flexible insurance solution that allows businesses to tailor their coverage by combining various types of monoline commercial policies into a single, comprehensive policy. CPPs are designed for larger or specialized businesses that require a unique mix of coverages. Commercial Package Policies may also be referred to as Commercial Multi Peril Policies (CMP) or Special Multi Peril Policies (SMP).

**Coverage Parts Defined:**

- A CPP combines different monoline policies to create a customized insurance package, known as "coverage parts."
- Each coverage part includes all the coverage forms and endorsements from the monoline policy, providing the specific coverage needed by the insured.

**Example Scenario:**

- Ernest Exec, a business, needs coverage for its office buildings, machinery, and product liability.
- Ernest Exec's Commercial Package Policy may include three coverage parts:
  - "Building & Personal Property" coverage part for the office buildings.
  - "Equipment Breakdown" coverage part for the machinery.
  - "Commercial General Liability" coverage part for product liability.

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# AU-I3 Coverage Parts

A Commercial Package Policy (CPP) is a comprehensive insurance solution that consists of various "coverage parts." These parts offer tailored coverage for specific aspects of a business's insurance needs.

**Common Policy Declarations and Conditions:**

- The CPP contains "Common Policy Declarations" and "Common Policy Conditions" that apply to the entire package.
- These sections provide general information and conditions that are consistent across all coverage parts. Coverage Parts:
- Each line of insurance or "coverage part" in the CPP has its own unique set of Declarations, Conditions, and Endorsements (if applicable).
- In Ernest Exec's Commercial Package Policy, we have three coverage parts: a. Building & Personal Property coverage part b. Equipment Breakdown coverage part c. Commercial General Liability coverage part

**Specific Components for Each Coverage Part:**

- For each coverage part, the following components are included: a. Coverage form, outlining the specific coverage provided. b. Declarations page, containing details relevant to that particular coverage part. c. Conditions section, outlining the terms and conditions specific to the coverage part. d. Endorsements (if applicable), which modify or add to the coverage as needed.

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# AU-I4 Eligible & Non-Eligible Coverage Parts

The following "coverage parts" are PERMITTED for inclusion in a CPP:

- Commercial Property (Business & Personal Property form most often used)
- Commercial Auto (Business Auto form most often used)
- Business Income
- Commercial Crime
- Commercial Inland Marine
- Farm
- Employment Practices Liability (EPL)
- Liquor Liability
- Pollution Liability
- Equipment Breakdown
- Commercial General Liability

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# AU-I5 Eligible & Non-Eligible Coverage Parts

**Non-Eligible Coverage Parts for CPP:**

The following "coverage parts" are EXCLUDED from inclusion in a CPP:

- Workers' Compensation
- Directors & Officers (D&O)
- Life Insurance
- Disability Insurance
- Aviation Insurance
- Ocean Marine Coverages
- Risks eligible for a Homeowners policy
- Coverages excluded by state statute

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# AU-I6 Understanding the Commercial Package Policy

**The Package Policy Term:**
The CPP offers flexibility in its policy term. It can be written for a specific term, which should not exceed three years, or on a continuous basis, ensuring continuous coverage for your business.

**Classifications of Risks:**
Risks covered under a Commercial Package Policy are classified into specific groups to cater to their unique needs. The following risk classifications are considered:

- Apartment House risks
- Contractors risks
- Industrial and Processing risks
- Institutional risks
- Mercantile risks
- Motel/Hotel risks
- Office risks
- Service risks

**Package Modification:**
The CPP does not mandate the inclusion of both property and liability coverages. However, to qualify for a package modification factor (a premium discount), both property and liability coverages must be included in the policy. State regulations determine the specific modification factors applied to each coverage part.

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# AU-I7 Common Declarations & Conditions

**The Declarations Page:**
Similar to other insurance policies, the Declarations page of a CPP contains vital information known as the "who, what, when, and where." It provides the following details:

- The name and mailing address of the first named insured
- The policy period, indicating the coverage's inception and expiration dates
- A comprehensive description of the covered business
- Specific coverage parts purchased and their corresponding premiums
- An itemized list of the included forms and endorsements in the package policy

**The Common Conditions Section:**
The "Common Conditions" section outlines the general rules and requirements that apply to all coverage parts within the CPP. These conditions govern various aspects of the policy, such as cancellation, changes to the policy, and how to handle disputes.

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# AU-I8 Common Policy Conditions

**Identifying the "First Named Insured":**
The "first named insured" refers to the primary individual or entity listed first in the Declarations. In a CPP, it is crucial to specify the first named insured, especially when the policy is issued to multiple named insured parties, such as business partners.

**Key Aspects of Common Policy Conditions:**
The "Common Policy Conditions" encompass essential provisions that guide the policy's implementation and administration. They include:

- Proper procedures for policy cancellation
- The insurer's rights to properly rate the policy by examining the insured's books and records, conducting inspections, and surveys
- Guidelines for premium payment methods
- Terms related to changes and modifications to the policy
- Approved transfer of rights and duties under the policy

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# AU-I9 Policy Conditions

**Cancellation:**

- The first named insured holds the right to cancel the policy at any time, but the request must be submitted in writing.
- Any unearned premium refund (UP) will be sent to the first named insured, subject to a deduction for a minimum retained premium. This premium compensates the insurer for rating and issuing the policy and is the smallest premium written for any coverage part in the package.
- If the insurer cancels the policy, they must provide written notice to the first named insured. Any unearned premium will be returned on a pro-rata basis, adhering to standard policies. State-specific amendments might apply.

**Premiums:**

- The first named insured bears the responsibility for paying all policy premiums.
- In case of an unearned premium return, it will be refunded to the first named insured.

**Changes:**

- All modifications to the policy's terms require the consent of the insurance company and must be initiated by the first named insured.

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# AU-I10 Policy Conditions

**Examination of Books and Records:**

- The insurance company is granted the right to examine and audit the insured company's books and records related to the insurance policy.
- This examination can be conducted at any time during the policy period and up to three years following its expiration.

**Inspections and Surveys:**

- The insurance company retains the right to conduct inspections and surveys of the insured business solely for purposes of determining insurability and applicable premiums.
- Findings and recommended changes resulting from these inspections and surveys will be communicated to the company.
- Importantly, these inspections and surveys DO NOT pertain to health and safety or compliance with laws, regulations, codes, or standards.

**Transfer of Rights and Duties (Assignment):**

- The insured cannot transfer rights and duties to another party without obtaining written consent from the insurance company, except in cases of the death of an individual named insured.
- In the event of an individual named insured's death, the rights and duties are transferred to the legal representative of the deceased.

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# AU-I11 Commercial Property Coverage

**Coverage for Real and Personal Property:** Businesses need coverage for both their real property, such as office buildings, retail stores, factories, and warehouses, as well as their business personal property, including building fixtures, office furniture, machinery, and inventory.

**Integration with Commercial Package Policy (CPP):**

- Commercial Property forms are often added as a critical coverage part to a Commercial Package Policy (CPP).
- These forms are integrated with the Common Declarations and Conditions forms of the package policy.

**Components of Commercial Property Coverage:**

- Commercial Property coverage in a CPP consists of the following components:
  - Commercial Property Declarations Form
  - Commercial Property Conditions Form
  - One or more Commercial Property Forms (multiple options available)
  - Cause of Loss Form
  - Endorsement Forms

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# AU-I12 Commercial Property Coverage

**Coverage Scope:**

- A Commercial Property Policy provides coverage for:
  - Buildings
  - Business Personal Property
  - Personal Property of Others

**Policy Options:**

- Businesses have the flexibility to obtain Commercial Property coverage in two ways:
  - As a standalone (mono-line) policy
  - As part of a Commercial Package Policy (CPP)

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# AU-I13 Overview of Commercial Property Coverage Forms

**Commercial Property Coverage Forms:**

- Commercial Property coverage forms offer tailored coverage for businesses, specifying what property is covered, excluded, deductibles, and liability limits.

**Covered Commercial Property Forms:**

- The Building & Personal Property form
- Builders' Risk
- Condominium Association form
- Condominium Commercial Unit Owners
- Business Income with Extra Expense
- Business Income without Extra Expense
- Extra Expense
- Legal Liability

**Cause of Loss Form:**

- Each coverage form is supplemented by a Basic, Broad, or Special Cause of Loss form.
- The Cause of Loss form lists the perils insured against, determining when coverage is applicable.

Endorsements:

- Mandatory or optional endorsements may be attached to enhance or modify coverage as needed.

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# AU-I14 Limitations

**Coverage Limitations:**

- Coverage under the policy is limited to loss or damage that occurs while the insured property is at the designated location.
- To trigger coverage, the loss or damage must be caused by a peril that is insured against. The specific perils covered are detailed in the attached "Cause of Loss Form."

**Exclusions**:

- It is essential to note that a Commercial Property Policy does not provide coverage for commercial liability. Businesses seeking liability coverage can purchase a Commercial General Liability Policy, which can be bundled with the Commercial Property coverage as a comprehensive package.

**Additional Coverages:**

- Beyond property coverage, the policy may offer additional protection, such as:
  - Loss of Business Income: Reimbursement for income lost due to covered property damage or loss.
  - Extra Expense Coverage: Reimbursement for extra expenses incurred to maintain business operations after a covered loss.

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# AU-I15 Declarations

**Commercial Property Declarations Form:**

- The Commercial Property Declarations form serves a distinct purpose, unlike the CPP declarations that encompass all coverage parts.
- This form specifically focuses on the property covered by the Commercial Property coverage part.

**Information Covered:**

- The Commercial Property Declarations form provides detailed information about the insured premises.
- It lists the specific forms that will apply to provide comprehensive coverage for the property.

**Mortgage Holders:**

- Additionally, this form includes a listing of mortgage holders who have an interest in the insured property.

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# AU-I16 Commercial Property Form - Conditions

**Control of Property:**

- This condition ensures that any negligence by individuals beyond the insured's direction or control won't affect the insurance coverage.
- If the insured violates a policy condition concerning a particular location, it won't impact the insurance applicable to other locations.

**Legal Action Against Us:**

- This condition sets a time limit for the insured to bring a lawsuit, which is within 2 years of the direct physical loss.
- The insured must fulfill all their duties and obligations as required by the policy conditions before pursuing legal action.

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# AU-I17 Commercial Property Form - Special Conditions

**Other Insurance:**

- According to the Commercial Property conditions, if there is other insurance covering the same risk and on the same basis (plan, term, conditions, and provisions), each policy will contribute its "pro-rata share" in the event of a loss.
- This ensures that in the presence of multiple policies, the insured will be indemnified proportionately by each insurer.

**Liberalization Clause:**

- The Commercial Property coverage part includes a valuable provision known as the Liberalization Clause.
- Under this clause, the insured receives the benefit of any broadened coverage if, within 45 days of policy inception, the insurer adopts a form revision that provides broader coverage without increasing the premium.
- This ensures that policyholders benefit from improved coverage terms without additional cost.

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# AU-I18 Commercial Property Form - Special Conditions

**Transfer of Rights of Recovery Against Others to Us:**

- This condition stipulates that when the insurer has settled a claim and there exists a right to seek damages from a third party, that right is transferred to the insurer. However, this transfer is limited to the amount the insurance company has already paid on the claim.
- In essence, the insurer steps into the insured's shoes to pursue recovery from responsible third parties, but only to the extent of the claim amount already paid.

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# AU-I19 Key Conditions in the Commercial Property Form

**Policy Period & Coverage Territory:**

- Coverage is applicable only for losses occurring during the policy period specified in the Declarations.
- Coverage extends to losses that transpire within the defined policy territory, including the United States, its territories and possessions, Puerto Rico, and Canada.

**Concealment, Misrepresentation, or Fraud:**

- The policy becomes void if the insured deliberately conceals or misrepresents any material fact pertaining to the Commercial Property coverage part, the insured property itself, the insured's interest in the property, or a claim.
- Honest and transparent disclosure is essential to maintain the integrity of the policy and ensure accurate risk assessment.

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# AU-I20 Key Conditions in the Commercial Property Form

**No Benefit to Bailee:**

- As seen in most property insurance policies, this condition ensures that a bailee (a person or entity temporarily holding the insured's property) cannot claim reimbursement from the insured's Commercial Property policy if the property gets damaged or destroyed while in the bailee's custody.
- It safeguards the insured's interest and ensures that claims for property loss or damage are appropriately addressed.

**Insurance Under Two or More Coverages:**

- Although named similarly to the "other insurance" clause, this is a distinct condition designed to prevent over indemnification.
- If multiple policies cover the same loss, this condition restricts the insurer from paying more than the actual amount of the loss or damage. It avoids excessive compensation for the same claim.

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# AU-I21 Key Conditions in the Commercial Property Form

**Cancellation & Nonrenewal:**

- As we've emphasized before, the standardized policy outlines the time frame for notifying the insured regarding policy cancellation or nonrenewal. However, this condition is often subject to state statute variations. Understanding both versions is essential.
- For policies cancelled due to non-payment of premium, the standardized form requires a 10-day advance notice to the insured. However, if the policy is cancelled or nonrenewed for any other reason, a 30-day advance written notice must be provided to the insured and any mortgagee.

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# AU-I22 Commercial Property Coverage Forms

**The Building & Personal Property Form:**

- Provides coverage for buildings and business personal property, such as machinery, inventory, and fixtures.

**Builders' Risk Form:**

- Designed for projects under construction, providing coverage for buildings and materials during the construction phase.

**Business Income Form:**

- Covers loss of income and extra expenses incurred during business interruption due to a covered loss.

**Business Income with Extra Expense Form:**

- Combines coverage for loss of income and additional expenses incurred to continue business operations after a covered loss.

**Extra Expense Form:**

- Covers additional expenses incurred to resume business operations quickly after a covered loss.

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# AU-I23 Commercial Property Coverage Forms

**Legal Liability Form:**

- Provides coverage for legal liabilities arising from damage to others' property.

**Condominium Association Form:**

- Tailored for condominium associations, covering common areas and shared property.

**Condominium Commercial Unit Owners Form:**

- Designed for individual commercial unit owners within a condominium complex.

**Leasehold Interest Form:**

- Covers the insured's financial interest in a leased property.

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# AU-I24 Building & Personal Property Coverage Form

The Building & Personal Property Coverage form is a widely chosen Commercial Property form due to its comprehensive coverage. The three main coverages provided by this form are:

**Coverage A - Building:**

- Coverage for the insured's buildings and structures, including permanently installed fixtures and machinery.

**Coverage B - Business Personal Property:**

- Covers the insured's business personal property, such as inventory, furniture, equipment, and other contents.

**Coverage C - Personal Property of Others:**

- Provides coverage for personal property belonging to others that is in the insured's care, custody, or control.

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# AU-I25 Building & Personal Property Coverage Form

**Property Not Covered:**
The Building & Personal Property form also includes a section that outlines the "Property Not Covered." While certain items may not be covered under this specific form, they may be eligible for coverage under other Commercial Property forms.

**Additional Features:**
Apart from the main coverages, this form includes:

- Additional coverages: Offering specific protection for various property-related scenarios.
- Coverage extensions: Expanding coverage to certain types of property or situations.
- Conditions form: Defining specific provisions applicable to this coverage part.
- Optional coverages: Allowing insureds to customize their policy with additional protection.

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# AU-I26 Coverage A - Building

Coverage A - Building provides essential coverage for the structure specified in the declarations and any completed additions to that structure. Additionally, it includes coverage for the following:

**Permanently Installed Fixtures:**

- Examples include window blinds, intercom systems, and outdoor fixtures that are permanently attached to the building.

**Permanently Installed Machinery and Equipment:**

- This coverage extends to machinery and equipment used in the insured's business that is permanently installed within the building.

**Outdoor Fixtures:**

- Coverage encompasses various outdoor fixtures, such as light and flagpoles, mailboxes, fences, TV antennas, and satellite dishes.

**Personal Property for Premises Maintenance:**

- It includes personal property used for maintaining or servicing the premises, such as fire extinguishers and ladders.

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# AU-I27 Coverage A - Building

**Outdoor Furniture and Appliances:**

- This coverage component includes outdoor furniture, floor coverings, and specific appliances like refrigerators and dishwashers.

**Additions, Alterations, and Repairs in Progress:**

- Provides coverage for ongoing construction or renovation projects, including materials, supplies, and temporary structures within 100 feet of the described premises.

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# AU-I28 Coverage B - Business Personal Property

Coverage B - Business Personal Property offers essential coverage for the insured's business-owned property while situated within the covered building or in an open area or vehicle located within 100 feet of the described premises. This coverage includes:

**Furniture, Fixtures, Machinery, and Equipment:**

- Coverage extends to business-related furniture, fixtures, machinery, and equipment owned by the insured.

**Stock and Owned Personal Property:**

- Business inventory and other owned personal property utilized for the business are covered under this provision.

**Labor, Materials, or Supplies for Others' Property:**

- The value of labor, materials, or supplies used on the personal property of others is included in this coverage.

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# AU-I29 Coverage B - Business Personal Property

**Improvements and Betterments (For Tenants):**

- If the insured is a tenant, the coverage includes improvements and betterments made by the insured and paid for by them.

**Leased Personal Property:**

- This component covers leased personal property that the insured has a contractual obligation to insure.

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# AU-I30 Coverage C - Personal Property of Others

Coverage C - Personal Property of Others is a critical component of the Building & Personal Property Coverage form. When purchased as part of this form, it provides coverage for the personal property of others while under the care, custody, or control of the insured and located at the insured premises.

**Coverage Scope:**

- The coverage extends to the personal property of third parties that is in the possession of the insured and situated on the insured premises.

**Coverage Limit Consideration:**

- When selecting the coverage amount, the insured should carefully assess the value of the property of others present on the premises at any given time.

**The 100-Foot Rule:**

- Similar to Coverage B for business personal property, this coverage also applies within a 100-foot radius of the described premises.

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# AU-I31 Exclusions - Building & Personal Property Coverage

In the Building & Personal Property Coverage form, while the coverage is broad and comprehensive, there are specific exclusions that clarify what types of property are not covered. Understanding these exclusions is crucial to avoid misunderstandings about the scope of coverage. The following are some important exclusions:

**Accounts and Monetary Items:**

- Accounts, bills, currency, food stamps, money, notes, securities, and evidences of debt are not covered. Note that lottery tickets held for sale are not considered securities.

**Animals**:

- Animals are generally not covered unless they are owned by others and boarded by the insured. If owned by the insured, they may be covered only as "stock" while inside a building.

**Automobiles Held for Sale:**

- Vehicles held for sale, such as automobiles, are excluded from coverage.

**Bridges, Roadways, and Paved Surfaces:**

- Bridges, roadways, walks, patios, or any other paved surfaces are not included in the coverage.

**Contraband and Illegal Property:**

- Any property involved in illegal transportation or trade, or classified as contraband, is not covered.

**Excavations and Land Costs:**

- The cost of excavations, grading, backfilling, or filling in land is excluded from coverage.

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# AU-I32 Exclusions - Building & Personal Property Coverage

**Foundations:**

- Foundations of buildings, structures, machinery, or boilers are not covered if their foundations are located below the lowest basement floor or the surface of the ground (in the absence of a basement).

**Land and Outdoor Features:**

- Land, including the land where the insured structure/property is situated, is not covered.
- Water bodies, such as lakes or ponds, are not covered under this policy.
- Growing crops and lawns are also excluded, with the exception of lawns as part of a vegetated roof (which are not excluded).

**Airborne or Waterborne Personal Property:**

- Personal property while airborne (e.g., in aircraft) or waterborne (e.g., on boats or ships) is not covered.

**Bulkheads, Pilings, Piers, Wharves, or Docks:**

- Structures like bulkheads, pilings, piers, wharves, or docks are not included in the coverage.

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# AU-I33 Exclusions - Building & Personal Property Coverage

**Overlapping Coverage:**

- Property already covered under another more specific coverage form, either within this policy or any other policy, is excluded from coverage, except as excess coverage.

**Retaining Walls:**

- Retaining walls that are not part of the building described in the declarations are not covered.

**Underground Infrastructure:**

- Underground pipes, flues, or drains are excluded from the coverage.

**Electronic Data:**

- Electronic data is generally excluded, except when provided for in the additional coverages and coverage extensions. However, electronic data associated with building systems such as heating, ventilation, air conditioning, lighting, elevators, or security systems is covered.

**Valuable Papers and Records:**

- The cost to research, replace, or restore information on valuable papers and records is excluded, except as provided by specific coverage extensions.

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# AU-I34 Exclusions - Building & Personal Property Coverage

**Excluded Vehicles or Self-Propelled Machines:**

- Vehicles or self-propelled machines, including aircraft or watercraft, are not covered if they are licensed for use on public roads, operated principally away from the described premises, or not used in the insured's manufacturing, processing, warehousing, or sales activities. (Exception: Rowboats or canoes located out of the water at the described premises are covered.)

**Outdoor Property Exclusion:**

- The following property is excluded when located outside of buildings:
  a. Grain, hay, straw, or other crops
  b. Fences, radio or television antennas (including satellite dishes) and their lead-in wiring, masts or towers
  c. Trees, shrubs, or plants (excluding those classified as "stock" or part of a vegetated roof) except as provided in the coverage extensions.

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# AU-I35 Additional Coverages - Building & Personal Property

In addition to its standard coverage, the Building & Personal Property Coverage form offers some valuable "additional coverages." However, it's important to note that these additional coverages may be subject to state-specific amendments, so careful attention is required.

**Debris Removal Coverage:**

- The policy includes up to 25% of the direct physical loss or damage amount, including the deductible, to cover debris removal expenses.
- If the policy's coverage limit is exhausted due to claims and/or debris removal expenses, an additional $25,000 is provided for debris removal.
- In cases where the insured hasn't suffered a direct physical loss to their covered property, but debris from another party's loss affects the insured's property, the policy extends coverage of up to $5,000 for removing debris belonging to others.

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# AU-I36 Additional Coverages - Building & Personal Property

**Preservation of Property Coverage:**

- In the event of an insured peril endangering covered property, the insured has the option to remove it from the premises.
- During the removal process and for up to 30 days while temporarily stored elsewhere, the property is covered for any direct loss incurred.

**Fire Department Service Charge Coverage:**

- If the fire department is dispatched to save or protect covered property from an insured peril, the policy provides coverage for associated service charges.
- The policy will pay up to $1,000 for each premises listed in the declarations, regardless of the number of fire departments or units involved.
- This coverage is provided without any deductible, offering immediate financial support when needed most.

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# AU-I37 Additional Coverages - Building & Personal Property

**Pollution Clean-Up and Removal Coverage:**

- This coverage addresses the insured's expenses incurred in extracting "pollutants" from land or water at the covered premises.
- To be eligible for coverage, the release of pollutants must have been caused by a covered cause of loss.
- The insured must report these expenses to the insurance company within 180 days from when the cause of loss resulted in the pollution.
- The policy offers up to $10,000 coverage for each described premises, ensuring financial support in pollution-related incidents.

**Increased Cost of Construction Coverage:**

- This coverage addresses the additional expenses incurred to comply with ordinances or laws while rebuilding or repairing the covered building after a covered cause of loss.
- It applies when the building is insured on a replacement cost basis.
- The maximum payout for this coverage is either $10,000 or 5% of the limit of insurance coverage on the building, whichever is lower.
- To be eligible, the insured must report the expenses to the insurer within two years.

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# AU-I38 Additional Coverages - Building & Personal Property

**Electronic Data Coverage:**

- Provides up to $2,500 to replace or restore electronic data destroyed or corrupted due to a covered cause of loss.
- The aggregate limit can be increased by indicating a higher amount on the declarations page.
- If the loss spans multiple policy periods, only the aggregate limit of the first policy period is available for coverage.
- Exclusions: This coverage does not apply to electronic data integrated into building systems (e.g., elevators or security systems). Such data is part of the "building" coverage.
- Prepackaged software or electronic data held for stock sale is not covered under this additional coverage.

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# AU-I39 Building & Personal Property Coverage Form - Extensions

**Coinsurance Provision:**

- The policy limits must meet the coinsurance provision requirement for the coverage extensions to apply.

**Value Reporting Form:**

- Alternatively, the insurance must have a value reporting form attached, and the corresponding value reporting symbol should be visible on the declarations page.
- The value reporting form accommodates varying coverage amounts based on the presence of "stock" or "personal property of others" at the insured premises at different times.

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# AU-140 Building & Personal Property Coverage Form - Extensions

**Newly Acquired or Constructed Property:**

- If the insured covers their current building under Coverage A, a newly acquired building is automatically covered for $250,000 for a 30-day period.

**Newly Acquired Personal Property:**

- If the insured already covers their business personal property under Coverage B, newly acquired personal property at another location is covered for $100,000 for 30 days.

**Personal Effects and Property of Others:**

- Coverage B extension applies to personal effects owned by the insured, their officers, partners, or employees.
- It also covers personal property of others under the insured's care, custody, or control.
- The limit is up to $2,500 per occurrence at each insured location, and payments for the personal property of others are made to the respective owners.

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# AU-I41 Coverage Extensions - Property Protection

**Valuable Papers & Records (Other Than Electronic Data):**

- This extension provides coverage for the cost of research required to restore lost information on valuable papers and records without existing duplicates.
- Exclusions: It does not cover valuable papers and records in electronic form, and money is not considered "valuable paper" under this extension.
- Coverage Limit: Up to $2,500 per insured location for losses caused by an insured peril.

**Property Off-Premises:**

- This extension offers coverage for damage to the insured's owned property when temporarily located off the insured premises at a non-owned, non-leased, or non-operated location.
- Coverage Amount: Up to $10,000.
- Leased Storage Location: Coverage applies only if the lease was executed after the inception date of the current policy term.
- Exclusions: This extension excludes property within or on a vehicle and property under the care, custody, or control of the insured's salespersons, except during attendance at a fair, trade show, or exhibition.

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# AU-I42 Outdoor Property Coverage

The policy includes coverage for various outdoor property items, ensuring protection for the following:

- Outdoor Fences, Radio and Television Antennas, including Satellite Dishes, Trees, Shrubs, and Plants, including debris removal

**Coverage Limit:**

- The maximum coverage provided for outdoor property is up to $1,000.

**Specific Coverage for Trees, Shrubs, and Plants:**

- For individual trees, shrubs, or plants, the coverage limit is $250 per item.
- Covered causes of loss include:
  - Fire or lightning
  - Explosion
  - Riot or Civil Commotion
  - Aircraft damage

**Exception to Coverage Limit:**

- The coverage limit does not apply to trees, shrubs, or plants that are considered:
  - "Stock" (e.g., inventory) or
  - Part of a vegetated roof, as these are already included under covered property.

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# AU-I43 Non-Owned Detached Trailer Coverage

**Non-Owned Detached Trailer Coverage:**
This extension offers limited coverage for non-owned detached trailers, subject to the insured's contractual responsibility for loss or damage. The coverage applies specifically to non-owned trailers that are not attached to a vehicle and are located on the insured premises.

**Coverage Limit:**

- The extension provides coverage up to a limit of $5,000.

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# AU-I44 Coverage for Business Personal Property in Portable Storage Units

**Business Personal Property in Portable Storage Units**

- This coverage provides protection for business personal property temporarily stored in portable storage units (e.g., "Pods") or detached trailers.
- A limit of $10,000 (higher limits available) is provided for this coverage, regardless of the number of storage units used.
- The storage units must be located within 100 feet of the insured building or described premises, whichever is greater.

**Coverage Duration:**

- This coverage applies for 90 days from the time the property is placed inside the storage unit.

**Exclusions:**

- If the storage unit remains on the insured premises for more than 90 days, this coverage will no longer apply, regardless of when the property was placed inside the unit.
- If the policy's attached cause of loss form contains an exclusion for loss resulting from sand, dust, sleet, snow, ice, or rain to property within a structure, this exclusion will also apply to the property stored in portable storage units.

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# AU-145 Limits of Insurance - Building & Personal Property

**"Limits of Insurance" - Building & Personal Property Coverage:**
The "Limits of Insurance" section in the Building & Personal Property coverage form serves to clarify key coverages discussed previously. It was incorporated to address coverage matters from prior versions of the form. The explanatory statements in this section are as follows:

**Policy Limit of Liability:**

- The maximum amount payable for loss or damage in any single occurrence is the policy limit of liability indicated in the declarations.

**Coverage for Outdoor Signs:**

- Outdoor signs, whether attached to the covered building or not, are covered up to $2,500 for damages caused by perils insured against in the chosen cause of loss form.

**Additional Coverages and Policy Limit:**

- All the additional coverages listed in the Building & Personal Property coverage form provide extra amounts of insurance beyond the limit shown in the declarations.
- Exception: The Preservation of Property additional coverage, instead of increasing the limit of liability, actually reduces the policy's limit of liability.

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# AU-146 Building & Personal Property Coverage Options

**Building & Personal Property Coverage Form:**
This coverage form offers various options for insuring property:

- Scheduled Basis: Specific items or groups of property are individually listed and insured with their respective values.
- Specific Basis: Coverage is provided for a specified property with a predetermined value, but individual items are not listed separately.
- Blanket Basis: Coverage extends to a group of properties under a single limit, without itemized details.
- Reporting Form Basis: Property values are reported periodically, and coverage is adjusted accordingly.

**Deductibles:**
The standard deductible on the form, applicable to all insured perils except earthquake, is $250 per occurrence. However, higher deductible amounts can be selected. Rules also allow different deductible amounts for different insured locations. In case one occurrence causes losses at multiple insured locations, only the largest deductible is applied.

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# AU-147 Commercial Property Conditions

**Commercial Property Conditions:**
All policies under the Commercial Property insurance program must include a "Commercial Property Conditions" form for policy completion. A complete policy comprises the Common Conditions form, one or more Commercial Property coverage forms with their respective "conditions" sections, and a Cause of Loss form.

**Key Elements Covered in the Commercial Property Conditions:**

- Concealment, Misrepresentation, or Fraud
- Control of Property
- Insurance Under Two or More Coverages
- Legal Action Against the Insurer
- Liberalization
- No Benefit to Bailee
- Other Insurance
- The Policy Period & Coverage Territory
- The Subrogation Clause

The Commercial Property conditions are consistent with those discussed in the Property Insurance Concepts chapter for other property policies.

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# AU-148 Building & Personal Property Coverage Conditions

**Building & Personal Property Coverage Conditions:**
The Building & Personal Property coverage form includes its own set of "conditions" that complement the Common Conditions and the Commercial Property Conditions forms. Let's explore some key conditions:

**Coinsurance Condition:**

- The insured is required to maintain at least 80% of the total value of the property in insurance coverage to avoid penalties.

**Abandonment Condition:**

- Damaged property cannot be abandoned to the insurance company in exchange for a total loss settlement.

**Appraisal Condition:**

- In case of a disagreement on the value of the property being claimed, either party may demand an appraisal in writing.
- Each party selects its appraiser, and they will equally divide all other appraisal expenses.

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# AU-149 Insured's Duties in Case of Loss or Damage

**Prompt Notice of Loss:**

- The insured must promptly notify the insurer of any loss or damage.

**Protecting the Property:**

- The insured is responsible for taking necessary measures to protect the property from further damage after a loss.

**Submission of Proof of Loss:**

- Within 60 days of the insurer's request, the insured must provide a signed, sworn proof of loss statement.

**Examination Under Oath:**

- The insurer has the right to examine the insured under oath, without any other insured present, regarding any matter related to the claim, including the insured's books and records.
- In case of an "examination under oath," the insured must sign all the answers provided.

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# AU-I50 Loss Payment

This condition details the four options the insurer has for settling claims:

- Pay the Value of Lost or Damaged Property:
  - The value is determined based on the "valuation condition" of the form.
- Pay the Cost to Repair or Replace Damaged Property:
- Take the Property and Pay an Agreed or Appraised Price:
- Repair, Rebuild, or Replace with Like Kind and Quality:

Claim Settlement Timeline:

- The insurer must inform the insured of their intended claim settlement within 30 days of receiving the sworn proof of loss statement.
- Once the claim amount is agreed upon, the insurer must pay the claim within 30 days.

Personal Property of Others:

- If the claim involves personal property of others under the insured's care, custody, or control, payment will be made directly to the owner of the property, not to the insured.

Claims for Damage to "Party Walls":

- A party wall divides two adjoining properties, and both parties share rights to it.
- Expense Sharing: Both parties will share the expense, unless one party chooses not to repair or replace, in which case, the insured's policy will cover the full value for repair or replacement of the party wall.

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# AU-I51 Additional Coverage Considerations

**Recovered Property:**

- If property is recovered after a claim has been paid, the recovering party must promptly notify the other party of the recovery.
- The insured has the option to:
  - Return the claim payment and retain the recovered property, or
  - Allow the insurance company to keep the recovered property in exchange for the claim payment.
- The insurer is responsible for expenses related to property recovery and repair, subject to policy limits.

**Vacancy Condition:**

- The insured building is considered vacant unless:
  - 31% of its total square footage is occupied by the owner for customary operations, or
  - Occupied by a lessee or sub-lessee for customary business operations.
- If the building remains vacant for more than 60 consecutive days before the loss due to specified reasons (vandalism, water damage, theft, attempted theft, building glass breakage, or sprinkler leakage), coverage will not apply.
- If a covered loss occurs despite the vacancy, the claim payment will be reduced by 15% if the building was vacant for 60 days or more.

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# AU-I52 Valuation of Covered Property

In the event of loss or damage, the insurance company determines the value of covered property as follows:

**Actual Cash Value (ACV)**

- Most often, losses or damages are settled at actual cash value.

**Building Property Repair or Replacement**

- If the building's insurance limit satisfies the coinsurance condition and the cost to repair or replace the damaged building is $2,500 or less, the policy will pay for the repair or replacement cost.

**Valuation of Stock Already Sold**

- Stock that has already been sold is valued at its net selling price.

**Valuation of Glass**

- Glass is valued at the cost of replacement with safety glazing material if required by law.

**Tenants Improvements and Betterments**

- If the insured-tenant promptly makes repairs, tenants' improvements and betterments are paid at actual cash value.
- If repairs are not made promptly, payment is a proportion of the original cost of the improvements.

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# AU-I53 Optional Coverages in Building & Personal Property

**Replacement Cost Valuation:**

- With this optional coverage, the valuation condition changes from Actual Cash Value (ACV) to Replacement Cost Value (RCV).
- Replacement cost coverage is subject to the same coinsurance condition as ACV valuation.

**Agreed Valuation:**

- By selecting this optional coverage, the coinsurance requirement is suspended, and the policy covers the property for the value stated in the declarations.

**Inflation Guard:**

- The insured may opt for one of several available percentages to increase policy limits on an annual pro-rata basis.
- This ensures coverage keeps pace with inflation and changing property values.

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# AU-I54 Business Income Coverage - Protecting Your Business

**Business Income Coverage - "Time Element" Protection**

**Understanding Indirect Losses:**

- Perils causing direct physical damage covered under the Commercial Property form may result in indirect losses to a business.
- These indirect losses, such as loss of income and extra expenses during a business interruption, are not covered without specific provisions.

**Business Income Coverage:**

- Also known as "time element" coverage, it can be added to the Commercial Property policy to safeguard against indirect losses.
- "Time element" refers to the loss directly linked to the time it takes to repair, rebuild, or restore the damaged property.

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# AU-I55 Business Income Coverage - Protecting Your Business

**Extra Expense Form:**

- If the policy has the "Extra Expense" form attached, it covers necessary expenses to expedite business reopening after direct physical loss.

**Criteria for Business Income Coverage:**

- For "business income" coverage to apply, three criteria must be met:
  - Direct physical damage to property on the insured premises.
  - Loss caused by a covered peril.
  - The damage must lead to business operations' suspension or cessation.

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# AU-I56 Period of Restoration - Business Income Coverage

After a business experiences a covered cause of loss, the recovery period is referred to as the "period of restoration" within the Business Income form. This period begins:

- For Business Income Coverage: 72 hours after the time of the direct physical loss or damage.
- For Extra Expense Coverage: Immediately after the time of direct physical loss or damage.
- The loss must have been caused by or resulted from any covered cause of loss at the described premises.

**End of Period of Restoration:**
The period of restoration concludes on the earlier of:

- The date when the property at the described premises should be repaired, rebuilt, or replaced with reasonable speed and similar quality.
- The date when business is resumed at a new permanent location.

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# AU-I57 Period of Restoration - Important Considerations

**Policy Expiration Date:**

- The period of restoration is not affected by the policy expiration date.
- For instance, if the policy expires two months after the loss, but restoration takes seven months, the policy will cover the remaining seven months, up to the policy limit.

**Ordinance or Law Compliance:**

- The period of restoration does not include any extended period necessitated by the enforcement of ordinances or laws related to construction, use, repair, or demolition of property.
- It also excludes any requirements to test for pollutants, monitor, clean up, remove, contain, treat, detoxify, neutralize, respond to, or assess the effects of pollutants.

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# AU-I58 Additional Business Income Coverages

**Extended Business Income Coverage**

- Provides continued loss of business income even after operations resume, until the business is fully restored.
- This coverage extends for a maximum of 60 days from the date business operations resume.

**Order of Civil Authority Coverage**

- Covers business income and extra expense losses when a civil authority restricts access to the described premises due to damage to nearby property caused by a covered peril.
- The damaged property must be within one mile of the insured property.
- Both business income and extra expense losses are covered for up to four consecutive weeks.
- Payment for business income losses starts 72 hours after the civil authority's action.

**Alterations and New Buildings Coverage**

- This coverage pays for business income and extra expense losses resulting from a covered cause of loss damaging a new building, or an alteration or addition to a new building.
- It also covers damage to machinery, equipment, supplies, or building materials located on or within 100 feet of the described premises, provided they are used in construction, alterations, additions, or are incidental to the occupancy of new buildings.
- If the loss delays the start of the insured's operations, the period of restoration under this coverage begins on the date operations would have begun without the loss.

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# AU-I59 Optional Business Income Coverage Methods

**Maximum Period of Indemnity**

- This option allows the insured to select the maximum period for which business income losses will be indemnified.
- The chosen period will cap the duration of coverage for business income losses.

**Monthly Limit of Indemnity**

- With this option, the insured can set a monthly limit for the amount of indemnity payable during the coverage period.
- The monthly limit will determine the maximum amount reimbursed per month for business income losses.

**Agreed Value**

- By selecting this option, the insured and the insurer agree upon a specific value for business income coverage.
- This agreed value will be the basis for calculating indemnity in the event of a covered loss.

**Extended Period of Indemnity**

- This option can be used in conjunction with the other three methods.
- It extends the period of indemnity beyond the coverage period to account for the time it takes to resume normal business operations fully.

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# AU-I60 Optional Business Income Coverage Methods

**Monthly Limit of Indemnity**

- This option also eliminates the coinsurance provision and introduces a monthly limit of insurance expressed as a fraction, as chosen by the insured.
- The insured may select from 1/3, 1/4, or 1/6 of the total limit of insurance stated on the declarations page, and this selected fraction will be scheduled accordingly.
- If the monthly loss exceeds the fraction chosen by the insured, the insurer will not pay more than the specified amount.
- Unlike the "Maximum Period of Indemnity," this coverage applies to the entire period it takes to resume operations, without being limited to 120 days.
- Please note that this optional coverage exclusively applies to the loss of business income and does not affect the extra expense coverage, which remains unaffected by a "fractional limit."

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# AU-I61 Optional Business Income Coverage Methods

**Agreed Value**

- This optional coverage method requires the insured to provide a comprehensive business income report or worksheet, detailing the business income data for the previous 12-month period along with projected values for the upcoming 12 months.
- The information provided in the report is crucial in determining the scheduled agreed amount of coverage to be stated on the declarations page.
- By consistently submitting the business income report or worksheet each year, the insured can eliminate the coinsurance requirement entirely.
- However, it's essential to note that the agreed amount scheduled on the declarations page will serve as the appropriate coinsurance percentage in the event of a claim.

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# AU-I62 Enhanced Business Income Protection - Extended Period of Indemnity

**Extended Period of Indemnity**

- This optional coverage is designed to further extend the coverage period provided by the "extended business income" additional coverage.
- By choosing this option, the insured can extend the initial 60-day coverage period to a length of time tailored to their specific needs.
- The insured has the flexibility to select additional coverage in 30-day increments, with a maximum extension of up to 180 days.
- For more extended coverage, 90-day increments are available, allowing for a total coverage period of up to 360 days.
- The number of additional days selected is clearly scheduled on the declarations page, providing transparent and customized coverage details.

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# AU-I63 Extra Expense Coverage - Ensuring Business Continuity

In addition to the Business Income form, businesses have the option to protect themselves against extra expenses through a separate "extra expense" coverage form. While business income coverage focuses on compensating for lost income, this unique coverage is designed to safeguard businesses that cannot afford any disruptions and need to maintain operations at any cost.

**When is Extra Expense Coverage Essential?**

- Businesses that simply cannot afford to shut down for any length of time find extra expense coverage indispensable.
- Examples of such businesses include utility companies or dairies responsible for delivering vital products like milk to hospitals.
- Disruptions to these businesses could lead to a permanent loss of customers, causing significant financial strain.

**Understanding "Time Element" Coverage**

- Extra expense coverage falls under the category of "time element" coverage, prioritizing the costs necessary to keep the business running, even if it involves relocating to another location.

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# AU-I64 Extra Expense Coverage - Ensuring Business Continuity

**Period of Restoration and Limits**

- Limits for recovery are directly related to the period of restoration, which indicates the time it takes to restore the business to normal operations.
- Depending on the restoration period, the limits for recovery may be stated as 40%, 80%, or 100% in the declarations.
- For instance:
  - A restoration period of 30 days or less would entitle the insured to receive 40% of the full amount of insurance.
  - A restoration period between 31 to 60 days would provide 80% of the full amount of insurance.
  - A restoration period exceeding 60 days would entitle the insured to receive 100% of the full amount of insurance.

**Tailoring Coverage for Your Business**

- The flexibility of extra expense coverage allows businesses to tailor their policy to meet their unique requirements.
- By choosing the right coverage and limits, businesses can ensure they are well-protected during unforeseen disruptions, enabling smooth operations and customer satisfaction.

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# AU-I65 Business Income from Dependent Properties

The "Business Income from Dependent Properties - Broad Form" is a valuable variation of the standard business income form, providing additional coverage for businesses that rely on specific suppliers or customers for their operations.

This form extends coverage to protect insureds from income loss when their business operations are impacted by a direct physical loss at dependent properties. It specifically covers two scenarios:

**Dependence on Suppliers:**

- When a business depends on a particular supplier for essential goods or materials.
- If the supplier experiences a direct physical loss to their facilities, which hinders their ability to ship the required goods to the insured's business.
- The insured is protected from income loss caused by the supplier's inability to deliver goods due to the physical loss.

**Dependence on Buyers:**

- Businesses that heavily rely on a specific business as their primary buyer for their products.
- In the event of a direct physical loss at the buyer's location, resulting in income loss for the insured.
- The coverage safeguards the insured from the financial impact of losing income due to the buyer's property loss.

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# AU-I66 Business Income from Dependent Properties

**Dependence on Manufacturing Location:**

- When an insured business relies on a specific manufacturing location to supply essential components under contract, vital for their product production.
- In case of a direct physical loss that hinders the manufacturing location from fulfilling the contract, the insured is protected from income loss.
- Coverage safeguards the business from financial setbacks due to the inability to receive necessary components.

**Dependence on Leader Location:**

- Some businesses heavily depend on a particular leader location to attract customers and generate income.
- If a direct physical loss occurs at the leader location, resulting in income loss for the insured, this form provides coverage.
- The insured is shielded from the financial impact of losing income due to the leader location's property loss.

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# AU-I67 Builders' Risk Insurance

Builders' Risk Insurance provides essential coverage for building contractors, subcontractors, and owners involved in new construction or renovations of commercial, residential, or farm buildings.

**Construction Projects Covered:**

- New buildings under construction.
- Existing buildings undergoing additions, alterations, or repairs.

**Property Types Covered:**

- Commercial buildings, Residential properties, Farm buildings.

**Understanding the Risk**

- Buildings under construction pose a unique risk due to the increasing value of the property as the project progresses.
- Initially, the risk is limited to the value of materials and supplies on-site at the start of construction.
- As the structure is built, the risk intensifies with the rising value of the property.

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# AU-I68 Builders' Risk Insurance: Protecting Construction Projects

**Basis for Writing Builders' Risk Insurance**

- Builders' Risk coverage can be written on two different bases, tailored to the specific needs of the construction project:

**Completed Value Basis:**

- Coverage based on the projected total value of the completed project.
- Provides comprehensive protection for the full value of the building upon completion.

Reported Value Basis:

- Coverage based on periodic reporting of the project's current value during construction.
- Enables flexibility in adjusting coverage as the project advances.

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# AU-I69 Builders' Risk Insurance - Completed Value Basis

**Completed Value Basis**

- When Builders' Risk coverage is written on a "completed value basis," the insured is required to cover the risk for the full completed value of the building under construction.

**100% Coinsurance Requirement**

- The "completed value basis" essentially imposes a 100% coinsurance requirement on the insured.

**No Explicit Coinsurance Clause**

- Unlike traditional coinsurance clauses, this form does not contain a specific "coinsurance clause."
- Instead, it incorporates the "Need for Adequate Insurance" provision to ensure adequate coverage.

**Importance of Adequate Insurance**

- The "Need for Adequate Insurance" provision penalizes the insured if they don't have the required amount of insurance at the time of the loss.
- Similar to coinsurance, inadequate coverage can lead to a reduction in the claim payout.

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# AU-I70 Builders' Risk Insurance - Reported Value Basis

**Reported Value Basis**

- When Builders' Risk coverage is written on a "reported value basis," coverage commences based on specific construction milestones.

**Commencement of Coverage**

- Coverage begins on the date construction begins for buildings without basements.
- For buildings with basements, coverage starts on the date construction begins on the lowest floor above the basement.

**Coverage Duration**

- The policy provides coverage for one year from the commencement date.

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# AU-I71 Builders' Risk Insurance - Reported Value Basis

**Coverage End Dates**

Coverage will end when any of the following events occur:

- The property owner takes possession of the building.
- 90 days have elapsed since the construction was completed.
- The building is occupied or put to its intended use.
- The insured's interest in the property ceases.
- The insured abandons the construction with no intention to complete it.
- The policy is canceled or expires as per the policy terms.

**Flexibility and Protection**

- The "reported value basis" offers flexibility as coverage starts based on construction milestones.
- It ensures protection during the critical construction phase until the building is ready for use.

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# AU-I72 Builders' Risk Coverage - Essential Elements

**Building and Foundation**

- Protection for the main building structure and its foundation.

**Temporary Structures**

- Coverage for temporary structures erected on the construction site, such as scaffolding, construction forms, and cribbing.
- Note: This coverage applies only if no other insurance is available for these items.

**Fixtures, Machinery, and Equipment**

- Insured's machinery, equipment, and fixtures used to service the building are covered.

**Building Materials and Supplies**

- Coverage for building materials and supplies owned by the insured, intended to become part of the completed structure, and located within 100 feet of the building.

**Building Materials Belonging to Others**

- This extension provides coverage for building materials owned by others but in the insured's care, custody, or control.
- The coverage applies to these materials if they are located within 100 feet of the insured premises.
- The maximum amount payable under this extension is $5,000.

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# AU-I73 Builders' Risk Coverage - Exclusions

**Land or Water**

- The policy does not cover land or water itself.

**Lawns, Trees, Shrubs, or Plants**

- Plants outside of buildings are not covered, except for a limited amount of $1,000 under additional coverage in specific situations:
  - Loss resulting from fire, lightning, explosion, riot or civil commotion, or aircraft.
  - Up to $250 for any one tree, shrub, or plant can be paid under this additional coverage.

**Radio and Television Antennas**

- Antennas, including lead-in wiring, masts, or towers, located outside of a building are excluded from coverage.

**Signs Not Attached to Buildings**

- Signs situated outside of buildings and not attached to the building are not covered by the policy.
- However, attached signs are covered.

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# AU-I74 Builders' Risk Form - Key Conditions

**Vacancy Provision**

- Unlike the standard coverage form, buildings under construction are not considered "vacant."
- As a result, the vacancy provision does not apply to projects insured under the Builders' Risk form.

**Loss Settlement**

- All losses under this form are settled at the actual cash value of the property at the time of the loss.
- Unlike other forms, this policy does not offer options for selecting replacement cost, agreed value, or inflationary adjustments to the loss settlement.

**No Coinsurance Clause**

- It's essential to highlight that the Builders' Risk form does not include a coinsurance clause.
- This means that there is no requirement for the insured to maintain a specific percentage of insurance in relation to the property's value.

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# AU-I75 Condominium Association Form vs. Condominium Commercial Unit Owners Form

The Condominium Association Form provides coverage for direct physical loss or damage to the following:

- Buildings: Protection for the condominium association's buildings.
- Business Personal Property: Coverage for the association's business-related possessions.
- On-Premises Personal Property of Others: Protection for personal property of others in the care, custody, or control of the association.

The Condominium Commercial Unit Owners Form is designed for commercial condominium unit-owners and provides coverage for the following:

- Business Personal Property: Coverage for the unit-owner's business-related possessions.
- Personal Property of Others: Protection for personal property belonging to others that is under the unit-owner's care, custody, or control.

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# AU-I76 Condominium Association Form vs. Condominium Commercial Unit Owners Form

**Building Coverage Exclusion**

- The Condominium Commercial Unit Owners Form excludes coverage for buildings; however, owned fixtures and structural changes (improvements and betterments) are included in the description of covered property.

**Coordination of Coverage**

- In the event of a loss covered under both the Condominium Association Form and the Condominium Commercial Unit Owners Form, the Unit Owners Form is considered "excess."
- This means that the Unit Owners Form provides secondary coverage, and any applicable claims are primarily addressed by the Condominium Association Form.

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# AU-I77 Leasehold Interest Coverage: Protecting Your Commercial Property Investment

**What is Leasehold Interest Coverage?**

- The Leasehold Interest form is a Commercial Property Coverage designed to safeguard commercial tenants' interests in the event of a loss due to covered perils.

**Coverage Highlights**

- Loss of Favorable Lease: Covers the difference between the actual rent paid by the insured tenant and the true value of the rent for the remaining lease period.
- Loss of Favorable Sublease: Provides protection in case of the tenant's loss of a favorable sublease.
- Loss of Bonus Paid for Lease: Covers the loss of the remaining value of any bonus paid by the tenant to acquire the lease.
- Loss of Improvements and Betterments: Protects the remaining value of tenant-made improvements and betterments, including any increased rental value resulting from these improvements.
- Loss of Prepaid Rents: Covers the remaining value of any prepaid rents from the date of the loss to the end of the lease period.

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# AU-I78 Legal Liability Coverage: Protecting Your Business from Negligence Claims

**What is Legal Liability Coverage?**

- Legal Liability Coverage is a crucial component of the Commercial Property program that protects you in case of negligence resulting in damage to property in your care, custody, and control but owned by others.

**Coverage Highlights**

- The Building & Personal Property coverage form protects your property from damages caused by unforeseen events, but it may not cover damages resulting from your own negligence.
- Legal Liability Coverage form complements the main coverage by providing protection when you are liable for causing the loss.

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# AU-I79 Commercial Property Coverage Forms

**The Basic Cause of Loss Form Insures Against:**

- Fire
- Lightning
- Explosion
- Windstorm or Hail
- Smoke
- Aircraft or Vehicles
- Riot or Civil Commotion
- Vandalism
- Sprinkler Leakage (Accidental)
- Sinkhole Collapse
- Volcanic Action

**Coverage Highlights**

- The Basic Cause of Loss Form provides fundamental protection against a wide range of perils.
- It serves as a foundation for broader coverage options.

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# AU-I80 Commercial Property Coverage: Basic Cause of Loss

**Smoke Exclusions:** Smoke from agricultural smudging or industrial operations is not covered under the Basic cause of loss form.

**Windstorm or Hail:** Damage caused by frost, cold weather, snow, sleet, or ice (other than hail) is not covered. However, if wind or hail creates an opening in the walls or roof, damage to the interior or contents of the building is covered.

**Explosion Coverage:** The Basic form covers explosion, including explosions of gases or fuel within the furnace or flues of any fired vessel.

**Vehicle Damage:** While the form includes coverage for damage caused by vehicles, it excludes damage caused by vehicles owned or operated by the insured in the course of conducting business.

**Volcanic Action:** The Basic form includes coverage for volcanic action, encompassing airborne volcanic blast or shockwaves, ash, dust, particulate matter, and lava flow. However, the removal of ash, dust, and particulate matter is not covered unless it causes direct physical damage to the described premises.

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# AU-I81 Commercial Property Coverage: Basic Form Exclusions

**Fungus, Wet Rot, Dry Rot, and Bacteria:**

- These are excluded, except as provided as an additional coverage.
- Exception: Fungi resulting from fire or lightning are covered.

**Ordinance or Law:**

- Excludes losses arising from the enforcement of ordinances or laws regulating the construction, repair, or use of the property.

**Earth Movement:**

- Losses due to earth movement are excluded.
- Exception: Fire or explosion resulting from earth movement is covered.

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# AU-I82 Commercial Property Coverage: Basic Form Exclusions

**Government Action:**

- Losses caused by government actions, such as seizure or destruction of property, are not covered.

**Nuclear Hazard:**

- Excludes damages caused by nuclear reactions, radiation, or radioactive contamination.

**Failure of Power or Utility Service:**

- Losses resulting from the failure of power or utility services away from the insured premises are not covered.

**War or Military Action:**

- Excludes losses due to war, military action, or related events.

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# AU-I83 Commercial Property Coverage: Basic Form Exclusions

**Water-Related Exclusions:**

- Excludes losses caused by water, including flood, sewer backup, mudslides, or ground water seepage.

**Artificially Generated Current:**

- Losses resulting from artificially generated current are not covered.

**Rupture or Bursting of Water Pipes:**

- Excludes damages caused by rupture or bursting of water pipes, except for automatic sprinklers.

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# AU-I84 Commercial Property Coverage: Basic Form Exclusions

**Leakage or Discharge of Water or Steam:**

- Losses due to leakage or discharge of water or steam from water or steam systems or appliances (excluding automatic sprinklers) are excluded.
- Continuous or repeated seepage or leakage, or presence of humidity, moisture, or vapor over 14 days or more is not covered.

**Explosions of Steam Boilers, Pipes, Engines, or Turbines:**

- Losses resulting from explosions of steam boilers, pipes, engines, or turbines are excluded.

**Mechanical Breakdown:**

- Damages caused by mechanical breakdown are not covered.

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# AU-I85 Commercial Property Coverage: Broad Form

**Insured Perils:**

- The Broad form covers all perils listed in the Basic form, plus additional perils to enhance protection for your business property.

**Additional Covered Perils:**

**Falling Objects:**

- Covers damages caused by falling objects. Interior damages are covered if the exterior of the building is damaged first.

**Weight of Snow, Ice, or Sleet:**

- Provides coverage for damages resulting from the weight of snow, ice, or sleet accumulation.

**Water Damage from Accidental Discharge or Leakage:**

- Covers damages caused by accidental discharge or leakage of water or steam from a cracked or broken water or steam system or appliance.

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# AU-I86 Commercial Property Coverage: Broad Form

**Coverage Details:**

- The policy covers the cost of tearing out and replacing damaged parts of the building due to water or steam escape.
- Repairs for the system that caused the leak are also included.
- However, the policy does not cover the cost to repair the defect responsible for the loss.
- Continuous seepage over 14 days or more is excluded, as well as damage from freezing, unless proper anti-freezing precautions were taken.

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# AU-I87 Commercial Property Coverage: Special Form

**Advantages of Special Form Coverage:**

- The Special form offers the broadest and most comprehensive coverage for your commercial property.
- It provides open-peril coverage, protecting your property against a wide range of risks.

**Exclusions:**

- Despite its extensive coverage, the Special form does have exclusions to be aware of.

**Excluded Perils:**

- Wear and Tear: Excludes damages resulting from the natural deterioration of property over time.
- Rust, Corrosion, Fungus, Decay, and Deterioration: Damages caused by these factors are not covered under the Special form.
- Smog: Excludes damages caused by smog-related incidents.
- Pollutants: Pollution-related damages are covered only if caused by a covered peril.
- Settling, Cracking, Shrinking, and Expansion: Damages resulting from the natural movement or changes in the property are excluded.
- Damage by Insects, Birds, Rodents, or Animals: Excludes damages caused by these creatures.
- Mechanical Breakdown: Damages due to mechanical failures are not covered under this form.
- Explosion of Steam Boilers, Pipes, and Engines: Damages caused by the explosion of steam boilers, pipes, and engines are not included.

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# AU-I88 Commercial Property Coverage: Special Form

**Key Features of Special Form Coverage:**

- The Special form offers open-peril coverage, providing extensive protection for your commercial property.
- It includes a wide range of covered perils, giving you comprehensive insurance.

**Exclusions to Consider:**

- While the Special form offers broad coverage, certain exclusions apply.

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# AU-I89 Commercial Property Coverage: Special Form

**Excluded Perils:**

- Dishonest or Criminal Acts: Damages resulting from dishonest or criminal acts of the insured or their employees are not covered.
- Voluntary Parting Due to Fraud or Trick: Losses arising from voluntary parting with property due to fraud or trickery are excluded.
- Rain, Snow, Ice, or Sleet Damage to Unprotected Personal Property: Personal property that is not inside a building and is damaged by rain, snow, ice, or sleet is not covered.
- Loss Resulting from Acts or Decisions: Damages arising from acts, decisions, or failure to act or decide are excluded.
- Collapse (Except for Additional Coverage): Coverage for collapse is included as an additional coverage; otherwise, it is excluded.
- Faulty Planning, Development, Design, Workmanship, or Repair: Damages resulting from faulty planning, development, design, specifications, workmanship, or repair are not covered.
- Additional Coverages for Fungus, Rot, and Collapse: The Special form includes additional coverages for Fungus, Wet Rot, Dry Rot, and Bacteria. Coverage for Collapse is also included under both the Broad and Special forms.

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# AU-I90 Special Cause of Loss Form: Limitations on Theft Coverage

Coverage Limitations for Specific Property Classes:

- The Special cause of loss form includes coverage limitations for certain types of property, specifically for theft losses.

Theft Coverage Limits:

- Furs, Fur Garments, and Garments Trimmed in Fur:
  - Coverage limit: $2,500
- Jewelry, Watches, Jewels, Pearls, Precious and Semi-Precious Stones, Gold, Silver, and Platinum:
  - Coverage limit: $2,500
  - Exception: Jewelry and watches valued under $100 per item are not covered.
- Patterns, Dies, Molds, and Forms:
  - Coverage limit: $2,500
- Stamps, Tickets, Lottery Tickets Held for Sale, and Letters of Credit:
  - Coverage limit: $250

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# AU-I91 Special Cause of Loss Form: Coverage Limitations for Specific Property

Coverage for the following property types is subject to specific cause-of-loss requirements:

**Valuable Papers and Records, Abstracts, Drawings, and Data Processing, Recording, or Storage Media:**

- Coverage is applicable only if the loss is caused by a specified cause of loss (the broad form perils) or the breakage of building glass.

**Animals**:

- Coverage for animals is limited to cases where they are killed or when it becomes necessary to destroy them due to a specified cause of loss.

**Breakage of Fragile Articles:**

- This coverage applies to fragile articles such as statuary, marble, chinaware, and porcelain, but only in the event of breakage caused by a specified cause of loss.

**Building Machinery, Tools, and Equipment:**

- Coverage for building machinery, tools, and equipment that the insured owns or is entrusted with is provided, but only when the items are away from the premises. The cause of loss must also be a specified peril.

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# AU-I92 Additional Coverage: Limited Coverage for Fungus, Wet Rot, Dry Rot, and Bacteria

**What's Covered:**

- All three cause of loss forms include this additional coverage for specific types of damage caused by fungi and bacteria.
- "Fungus" encompasses any form of fungus, including mold, mildew, and their byproducts, such as mycotoxins, spores, and scents.
- The coverage applies to fungus damage resulting from a covered cause of loss, except for fire or lightning, which is already covered.
- The coverage is limited and subject to specific conditions.

**Coverage Requirements:**

- Policy Period:
  - The loss must occur during the policy period for coverage to apply.
- Preservation Efforts:
  - To qualify for coverage, all reasonable measures must have been taken to save and preserve the property from further damage at the time of the occurrence and afterward.

**Understanding the Limitations:**

- This additional coverage fills the gap for fungus damage caused by specific perils.
- For damages due to fire or lightning, coverage is provided under the primary cause of loss forms.

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# AU-193 Additional Coverage: Limited Coverage for Fungus, Wet Rot, Dry Rot, and Bacteria

The insurer will pay for direct physical loss or damage to covered property caused by the listed perils.

**Coverage Inclusions:**

- Coverage includes the cost to remove fungi and its byproducts, such as mold and mildew.
- The insurer will also cover the costs of tearing out and replacing parts of the building or other property, if necessary, to access and remove the mold.

**Post-Removal Testing:**

- After the removal, repair, replacement, or restoration of the damaged property, the coverage extends to cover the cost of testing if there is a reason to believe that fungi, wet or dry rot, mold, or mildew are still present.

**Coverage Limit and Duration:**

- The coverage is limited to $15,000 for all occurrences within a 12-month period, starting from the inception date of the current policy period.
- It is important to note that even if multiple claims arise within the 12-month period, the coverage limit remains $15,000.
- This additional coverage does not increase the overall limit of insurance under the policy.

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# AU-I94 Additional Coverage: Peril of "Collapse"

**Collapse**:

- Under the broad and special cause of loss forms, "collapse" is an insured peril.
- The policy defines "collapse" as the sudden falling down or caving in of a building or part of a building, rendering it unusable.

**What's Covered:**

- The additional coverage for "collapse" provides protection against the abrupt and unforeseen collapse of the insured building.
- If a collapse occurs due to the listed perils, the policy may cover the resulting damages.

**What's Not Covered:**

- It's important to note that certain situations are excluded from this coverage.
- The policy does not cover buildings that are in danger of collapsing but have not yet collapsed.
- Additionally, if a building or part of a building has separated from the rest of the structure, it will not be considered a covered collapse.
- Instabilities such as bulging, cracking, leaning, or settling, even if indicative of potential collapse, are not covered under this peril.

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# AU-I95 Coverage for Building Collapse

**When is Collapse Covered?**

- Coverage for the collapse of a building, part of a building, or a building containing covered business personal property is contingent on specific perils.
- The collapse must be caused by one of the perils listed in the basic and broad form, or any of the following additional perils:

**Additional Covered Perils:**

- Breakage of Glass
- Hidden Decay
- Hidden Insect or Vermin Damage
- Weight of People or Personal Property
- Weight of Rain Collecting on a Roof
- Use of Defective Materials or Methods during Construction, Remodeling, or Renovation, if the collapse occurs during the construction process.

**Understanding Collapse Coverage:**

- Collapse coverage is subject to the occurrence of the specified perils
- Coverage may vary based on the cause of the collapse

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# AU-I96 Limitations to "Collapse" Coverage

**Hidden Decay or Insect Damage:**

- Collapse resulting from hidden decay or hidden insect or vermin damage is not covered if the insured was aware of the damage before the collapse.
- It is essential to address and rectify any hidden decay or insect damage promptly to avoid potential coverage limitations.

**Completed Construction, Remodeling, or Renovation:**

- If the collapse occurs after the completion of construction, remodeling, or renovation and is caused by a covered peril, the loss or damage is covered.
- Even if the use of defective materials or methods contributed to the collapse, the loss is still eligible for coverage.

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# AU-I97 Additional Coverage for Outdoor Property Collapse

The additional coverage for collapse extends to certain types of outdoor property. It applies only when the outdoor property is directly damaged by the collapse of a covered building, even if it is already covered elsewhere in the policy.

**Types of Covered Outdoor Property:**

- Outdoor Radio or Television Antennas:
  - Including satellite dishes, along with their lead-in wiring, masts, or towers.
- Awnings, Gutters, and Downspouts.
- Yard Fixtures.
- Outdoor Swimming Pools.
- Fences.
- Piers, Wharves, and Docks.
- Beach or Diving Platforms or Appurtenances.
- Retaining Walls.
- Walks, Roadways, and Other Paved Surfaces.

**Coverage Limitation:**

- It's important to note that the additional coverage for collapse does not increase the limits of insurance provided by the coverage part.
- The coverage is subject to the same limit of insurance stated in the policy.

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# AU-I98 Peak Season Endorsement

**What is the Peak Season Endorsement?**

- The Peak Season Endorsement is a valuable add-on for businesses that undergo seasonal fluctuations in inventory and sales.
- It allows businesses to adjust their coverage to account for varying inventory levels during specific periods.

**Who Can Benefit?**

- Businesses with seasonal cycles, such as department stores during the holiday season, can benefit significantly from this endorsement.
- Other industries with peak periods, like resorts during summer or ski lodges during winter, can also utilize this coverage.

**Coverage Flexibility:**

- With the Peak Season Endorsement, businesses can obtain a specified increase in the limit of liability for personal property.
- This increase in coverage applies only during a designated period of time specified in the endorsement.

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# AU-I99 Peak Season Endorsement

**Effective Coverage Period:**

- Coverage under the Peak Season Endorsement starts precisely at 12:01 AM standard time on the first day of the specified period.
- It ends at 12:01 AM standard time on the last day of the designated period.

**Seamless Adaptation:**

- This endorsement ensures that businesses seamlessly adjust their insurance protection to match the demands of peak seasons.
- It provides peace of mind during periods of increased inventory and higher risks.

**Avoid Underinsurance:**

- By increasing the coverage during peak times, businesses can avoid the risk of being underinsured.
- Sufficient coverage ensures they can recover from unexpected losses adequately.

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# AU-I100 Value Reporting Form Endorsement

The Value Reporting Form Endorsement is an optional add-on to your Commercial Property policy. It allows you to include additional covered property beyond your standard policy limits.

With this endorsement, you can add personal property at three types of locations:

- Reported Locations: Properties you explicitly report to the insurer.
- Acquired Locations: Properties acquired during the policy period.
- Incidental Locations: Properties temporarily located away from your primary business premises.

**How it Works:**

- For each type of location, you must specify a separate limit of insurance on the policy declarations.
- Following each reporting period (daily, weekly, monthly, quarterly, or yearly), you are required to file a report of values with the insurer.
- The Value Reporting Form Endorsement offers flexibility to adjust coverage based on changing property needs.

**Exclusions Apply:**

- It is essential to note that this endorsement excludes coverage for property at fairs or exhibitions.
- All other reported, acquired, or incidental locations are eligible for coverage, subject to policy terms.

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# AU-I101 Ordinance or Law Endorsement

The Ordinance or Law Endorsement is an optional add-on to your Commercial Property policy. It provides an additional limit of insurance to cover the costs of compliance with building, zoning, or land use laws.

**Three Distinct Coverages:**

Coverage A:

- Covers loss to the undamaged portion of the building that must be destroyed due to new ordinances or laws.
- Provides compensation for the value of the unaffected part of the building that needs demolition.

Coverage B:

- Offers coverage for the cost to demolish and remove the undamaged portions of the building, if required by the imposed ordinances or laws.
- Ensures you are financially protected from the expenses of demolition.

Coverage C:

- Provides coverage for the increased costs to repair or rebuild in compliance with current building, zoning, or land use ordinances or laws.
- Covers the additional expenses due to new building codes or regulations.

**Why is this Endorsement Essential?**

- Without this endorsement, your standard Commercial Property policy may not cover the increased costs resulting from changes in ordinances or laws.

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# AU-I102 Spoilage Endorsement

The Spoilage Endorsement is an essential addition to your insurance policy. It provides coverage for "perishable stock" owned by you or under your care at the described premises.

**What is Considered Perishable Stock?**

- Perishable stock includes property that is susceptible to loss or damage when kept under specific climate conditions, and those conditions change.
- While commonly associated with food items, the coverage extends to various other items.

**Not Just Food...**

- The covered stock is not limited to food items.
- Textiles, paintings, stamps, and many other items are susceptible to damage from changes in temperature and humidity.

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# AU-I103 Earthquake & Volcanic Eruption Endorsement

When added to your Commercial Property policy, this endorsement provides coverage for "Earthquake" and "Volcanic Eruption" perils. "Earthquake" includes tremors and seismic activity, while "Volcanic Eruption" refers to the eruption, explosion, or effusion of a volcano.

**Extended Coverage Period**

- All earthquake shocks or volcanic eruptions occurring within any 168-hour (7-day) period will be treated as a single event.
- The coverage period does not reduce even if the policy expires during this time.

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# AU-I104 Earthquake & Volcanic Eruption Endorsement

**Exclusions:**

- The endorsement does not provide coverage for damage caused by tidal waves or tsunami resulting from an earthquake or volcanic eruption.
- Masonry veneer damage is excluded unless specified on the declarations page or if less than 10% of the total outside wall area has masonry veneer. Note: Stucco is not considered masonry veneer.

**Percentage Deductible:**

- A percentage deductible applies under the endorsement, and the form clearly outlines how it is calculated.
- The specific percentage deductible will be indicated on the declarations page of the policy.
- However, if the insured opted for coverage of sprinkler leakage caused by earthquake or volcanic eruption, the percentage deductible does not apply to this type of loss.
- The flat dollar deductible for fire coverage applies to sprinkler leakage incidents.

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# AU-I105 Flood Coverage Endorsement

The Flood Coverage Endorsement offers additional protection against flood-related damages. It can act as the primary flood insurance policy for the property or complement an existing NFIP (National Flood Insurance Program) policy.

**Excess Coverage:**

- If the loss is covered by an NFIP policy or the property qualifies for NFIP coverage but is not enrolled, this endorsement provides excess coverage beyond the maximum NFIP payout.

**Loss Settlement Options:**

- Unlike the NFIP policy, this endorsement offers multiple loss settlement options:
  - Actual Cash Value: Settlement based on the property's current value, considering depreciation.
  - Replacement Cost: Coverage for the full cost of replacing damaged property with new equivalents.
  - Functional Replacement Cost: Coverage for the cost of replacing damaged property with similar functioning materials, even if they differ in appearance.

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# AU-I106 Flood Coverage Endorsement

**What's Included:**

- Coverage for newly acquired or constructed property:
  - $250,000 total coverage, limited to $100,000 per premises.
  - This coverage is part of the endorsement's limit of liability and not an additional amount of insurance.
- Debris removal cost:
  - Debris removal of covered property is covered within the endorsement's limit of liability.
  - It is not an extra coverage amount.
- Sewer, drain, or sump pump backup or overflow:
  - Covered if it occurs within 72 hours after the flood recedes and was caused by the flood.
- Additional covered property:
  - The endorsement adds coverage for underground pipes, foundations, flues, and drains.
- Exclusions:
  - Destabilization of land caused by flooding of subsurface land areas is not covered.

**Important Note:**

- No coverage for losses caused by a flood that starts before or within 72 hours after the endorsement's inception date, except for renewals.

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# AU-I107 The Protective Safeguards Endorsement

An addition to the Commercial Property policy. Identifies specific safeguards against loss at the insured's property.

**Insured's Duties:**

- The insured must maintain the listed protective devices or services.
- Failure to maintain them may result in coverage denial or suspension.

**Designated Safeguards:**

- "P-1" Automatic Sprinkler System
- "P-2" Automatic Fire Alarm
- "P-3" Security Service
- "P-4" Service Contract
- "P-5" Automatic Commercial Cooking Exhaust and Extinguishing System
- "P-6" Any system described in the schedule on the declarations page

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# AU-I108 The Protective Safeguards Endorsement Symbols

**P-1: Automatic Sprinkler System**
- Automatic fire protective or extinguishing system with related supervisory services.
- Provides comprehensive fire protection for the premises.

**P-2: Automatic Fire Alarm**
- Protects the entire building.
- Connected to a central station or reports to a public/private fire alarm station.
- Rapidly alerts authorities in case of fire.

**P-3: Security Service**
- Utilizes a recording system or watch clock.
- Conducts hourly rounds covering the entire building during non-operational hours.
- Enhances security and reduces risk of losses.

**P-4: Service Contract**
- Engages a privately-owned fire department for fire protection service at the premises.
- Ensures immediate response to fire emergencies.

**P-5: Automatic Commercial Cooking Exhaust And Extinguishing System**
- Installed on cooking appliances.
- Quickly extinguishes cooking-related fires, preventing extensive damage.

**P-9: Other Protective Safeguards**
- Any additional safeguard scheduled on the endorsement.
- Tailored to specific risk mitigation needs of the insured.

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# AU-I109 Protective Safeguards Endorsement Exclusions

This endorsement enhances coverage by requiring specific protective safeguards. However, the following exclusions apply:

**Fire Loss Knowledge:**

- The endorsement will not cover fire losses if, prior to the fire, the insured was aware of any suspension or impairment in a protective safeguard listed in the endorsement schedule and failed to notify the insurance company.

**Lack of Maintenance:**

- If the insured had control over a listed protective safeguard but failed to maintain it in good working order, coverage will be excluded.

**Temporary System Shutdown:**

- Notification to the insurance company is not required if any part of an automatic sprinkler system or automatic commercial cooking exhaust and extinguishing system is shut off temporarily due to breakage, leakage, freezing conditions, or opening of sprinkler heads. As long as the insured restores the system to full protection within 48 hours, coverage remains intact.

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# AU-I110 Inflation Guard Endorsement

The Inflation Guard Endorsement ensures your building and personal property coverage keep pace with rising property values. An annual percentage increase, stated on the policy, automatically adjusts your coverage amount.

**How the Increase is Calculated**

- Take the Limit of Insurance at the most recent of:
  - Policy inception date
  - Policy anniversary date
  - Any other policy change amending the Limit of Insurance
- Multiply it by the percentage of annual increase shown in the Declarations (e.g., 6% is expressed as 0.06).
- Multiply the result by the number of days since the beginning of the current policy year or the effective date of the most recent policy change amending the Limit of Insurance.
- Divide the final figure by 365.

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# AU-I111 Difference in Conditions (DIC) Policies

Difference in Conditions policies expand coverage beyond standard Commercial Property policies. Additional limits of coverage are provided for specific perils or to include exclusions from standard policies.

**Commonly Covered Perils**

- DIC policies often cover perils such as flood and earthquake, which are not typically included in standard policies.

**Filling the Coverage Gap**

- These policies can be added to a blanket Builders' Risk policy to address coverage gaps.
- When a project owner's policy falls short, the DIC endorsement steps in to provide the needed excess coverage.

**How It Works**

- If the project owner's policy does not cover certain losses, the DIC endorsement steps up to cover those gaps on an excess basis.
- DIC policies ensure the entire project is adequately protected, bridging any potential insurance shortfalls.

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# AU-I112 Equipment Breakdown Insurance

Equipment Breakdown insurance fills coverage gaps left by Commercial Property and Businessowners policies. Key exclusions like the explosion of steam-related machinery under the control of the insured are covered.

**Understanding Equipment Breakdown Coverage**

- Often referred to as "boiler and machinery" coverage.
- Offers protection against losses caused by breakdowns of critical commercial equipment.

**Avoiding Confusion: "Mechanical Breakdown" vs. "Equipment Breakdown"**

- "Mechanical breakdown" insurance pertains to automobile breakdowns, not commercial equipment.
- Pay close attention to exam questions to identify the correct coverage being referred to.

**Coverage Limitations in Commercial Property & Businessowners Policies**

- Mechanical breakdowns are not covered unless they result from a covered cause of loss.
  Artificially Generated Electrical Current:
- Damages to electrical devices, appliances, or wires from electrical current are generally not covered, except in cases where it causes a fire.

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# AU-I113 Equipment Breakdown Coverage

Equipment Breakdown coverage form covers loss to the insured's property and property of others. Emphasis on loss prevention with regular inspections for robust coverage.

**Exclusions: Loss Prevention Focus**

- Coverage does not apply to breakdowns resulting from poor equipment maintenance (not considered an "accident").
- Regular inspections are essential to maintain coverage integrity.

**Red Tagging and Coverage Suspension**

- Covered objects failing inspection or lacking updated maintenance schedules may be red-tagged.
- Coverage is suspended until repair or replacement, up-to-date maintenance, and insurer reinstates protection.

**Flexibility in Policy Structure**

- Equipment Breakdown policies can be standalone (monoline) or part of a commercial package policy.

**Direct Damage Coverage**

- Equipment breakdown coverage form provides compensation for direct damage to covered property due to covered causes of loss.

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# AU-I114 Equipment Breakdown Coverage

**Replacement Cost Basis**

- Unless specified otherwise in the policy, property is covered on a replacement cost basis.
- The insured is entitled to receive the cost of replacing the damaged property with a new one of like kind and quality.
- The insured must repair or replace the damaged property within 24 months from the date of the breakdown.
- If extended in writing by the insurer, the time period for repair or replacement may be extended.

**Recovery Limitations**

- If the insured fails to repair or replace the property within the specified period, recovery of the loss is limited.
- The recovery will be either the cost of repair or the actual cash value of the property at the time of the breakdown, whichever is less.

**Exclusion: Obsolete or Useless Property**

- No payment is made for property that has become obsolete or is useless to the insured.
- The insurer assumes that such property serves no purpose for the insured and will not expend insurance limits on it.

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# AU-I115 Equipment Breakdown Coverage

**Covered Cause of Loss**

- A "Covered Cause of Loss" refers to a "breakdown" that affects "covered equipment."

**Breakdown**

- "Breakdown" is characterized by direct physical loss resulting in damage to covered equipment, necessitating its replacement due to the following reasons:
  - Pressure or vacuum equipment failure.
  - Rupture or bursting caused by centrifugal force and other mechanical failures.
  - Arcing and other types of electrical failure.

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# AU-I116 Exclusions from "Breakdown" Coverage

**"Breakdown" does not encompass:**

- Malfunctions involving adjustment, alignment, calibration, cleaning, or modification.
- The functioning of any safety or protective device, such as one that switches off equipment when it is malfunctioning to prevent further damage.
- Defects, erasures, errors, limitations, or viruses in any computer equipment and programs, including issues related to date or time processing or providing instructions to covered equipment.
- Leakage at any valve, fitting, shaft seal, gland packing, joint, or connection.
- The cracking of any part of an internal combustion gas turbine exposed to the products of combustion.
- Damage to any vacuum tube, glass tube, or brush.
- Damage to any structure or foundation supporting the covered equipment or any of its parts.

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# AU-I117 Equipment Breakdown Coverage

**One Breakdown:**

- Refers to all "breakdowns" at a single premise that occur simultaneously and are directly caused by the same underlying reason. If an initial "breakdown" leads to other "breakdowns," they will be treated as "one breakdown" or "one loss event."

**Covered Equipment: Includes the following:**

- Equipment designed to operate under internal pressure or in a vacuum, excluding the weight of contents.
- Electrical or mechanical equipment used for generating, transmitting, or utilizing energy.
- Communication equipment.
- Computer equipment.
- Utility-owned equipment solely used to supply utility services to the insured.

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# AU-I118 Covered Property

**Covered Property includes:**

- Boilers, pressure valves, and water heaters.
- Electrical distribution systems.
- Heating and cooling systems.
- Refrigeration equipment (including lost refrigerant).
- Production equipment.
- Office equipment.
- Computer technology.
- Computer-controlled machines and robotics.
- Communications systems, including phone and voicemail systems.
- Security and fire detection systems.
- Ovens, stoves, and furnaces.
- Elevators, escalators, cranes, hoists, and lifts.
- Cash registers and inventory control systems.
- Diagnostic equipment.

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# AU-I119 Coverages Included

- Property Damage: Coverage for direct damage to covered property caused by a covered cause of loss.
- Expediting Expenses: Coverage for reasonable and necessary expenses incurred to expedite the repair or replacement of covered equipment after a breakdown.
- Business Income with/without Extra Expense: Coverage for the loss of business income due to the necessary suspension of operations caused by a covered equipment breakdown. Extra expenses incurred to resume business operations may also be covered.
- Spoilage Damage: Coverage for the loss or damage to perishable goods, materials, or products due to a covered equipment breakdown.
- Utility Interruption: Coverage for loss or damage caused by the interruption of utility services (e.g., electricity, gas, water) due to a covered equipment breakdown.
- Brands and Labels: Coverage for the cost to restore or replace brands and labels on damaged goods or products.

Each coverage is applicable only if a specific limit of liability is indicated on the Declarations page or if the word "included" is mentioned next to the coverage. If no limit amount or "included" notation is shown, that particular coverage is not provided by the policy.

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# AU-I120 Property Damage Coverage

**Recap:**

- Under the Equipment Breakdown policy, the insurer provides coverage for direct damage to "covered property" situated at the specified premises mentioned in the Declarations.
- When determining the limit for property damage, it is essential to consider not only the insured's property but also the value of property belonging to others.
- Remember that the limit of the equipment breakdown policy extends beyond the value of the equipment alone.

**Property Coverage:**

- The policy covers "covered property," which encompasses any property owned by the named insured or under their care, custody, or control, for which they hold legal liability.
- This means that non-owned property is treated with equal importance as the named insured's owned property under the property damage coverage.
- It is important to note that the named insured need not explicitly assume the legal liability for the care of others' property.
- Any circumstance that renders the named insured legally liable for the care of another's property will qualify it as "covered property" under the policy.

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# AU-I121 Business Interruption Coverage

**Expediting Expenses:** This coverage addresses the additional costs incurred for making temporary repairs and expediting the permanent repairs after a direct damage loss. The primary aim is to facilitate a swift recovery and ensure the insured can resume business operations promptly.

**Business Income and Extra Expense (or Extra Expense Only):**

- Business Income Coverage: In the event of a loss, the insurance company will cover the actual loss of business income during the restoration period.
- Extra Expense Coverage: The policy covers extra expenses incurred to maintain business operations during the restoration period.

Note: When "Extra Expense Only" coverage applies, the insurance company will reimburse only the extra expenses incurred to continue business operations during the restoration period.

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# AU-I122 Additional Coverages

**Spoilage Damage:**
This coverage protects against spoilage damage to raw materials, property in processing, or finished products. The following conditions apply:

- The covered property must either be in storage or in the process of being manufactured.
- The insured should either own the property or have a written contract that legally obligates them for the described property.
- Damage must result from the lack of power, light, heat, steam, or refrigeration.
- Any expenses incurred by the insured to mitigate the spoilage loss are covered, but only to the extent that they reduce the overall loss payable.

**Brands and Labels:**

- Under this coverage, the insurance company reimburses the insured for costs related to stamping the word "salvage" on damaged merchandise or removing brand labels from covered property damaged by a covered cause of loss.

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# AU-I123 Utility Interruption Coverage

Utility Interruption coverage is an extension available only if any of the following coverages are active:

- Business Income and Extra Expense
- Extra Expense
- Spoilage Damage

This coverage includes loss or damage resulting from interrupted utility services, subject to the following conditions:

- The interruption must directly result from a breakdown of the utility's covered equipment used to supply services to the insured.
- The covered equipment involved provides services such as electric power, communication, air conditioning, heating, gas, sewer, water, or steam to the insured's premises.
- The utility service interruption at the insured's premises must exceed the waiting period specified in the Declarations. Coverage will be effective after this waiting period elapses.

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# AU-I124 Deductibles & Coverage Limits

**Important Notes:**

- Loss or damage resulting from a "one breakdown" is subject to a deductible specified in the Declarations for each applicable coverage.
- The insurer will only pay for covered loss or damage that exceeds the deductible, up to the limit of insurance applicable to that coverage.
- Deductibles are applied separately for each coverage, except when a "combined" deductible is indicated on the Declarations page. In such cases, the insurer will subtract the combined deductible amount from the total loss covered by the combined deductible.
- If multiple objects of "covered equipment" are involved in a single breakdown, only the highest deductible will apply for each applicable coverage.

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# AU-I125 Duty to Defend

**Defense:**

- The policy incorporates standard loss conditions found in typical commercial coverage forms, including abandonment, appraisal condition, other insurance condition, and subrogation.
- The "duty to defend" condition of this policy requires attention. If the insured faces a claim or lawsuit arising from an accident that caused damage to property belonging to someone else and was under the insured's care, custody, or control, the insurer will take action.
- The insurer has two options: either settle the claim on behalf of the insured or provide a legal defense in the event of a lawsuit.
- When the insurer chooses to defend the suit, all related costs are covered by the insurer and do not reduce the limit of insurance for that particular occurrence.
- Additionally, the insurer retains the right to directly settle the claim with the property owner, if deemed appropriate.

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# AU-I126 Exclusions

**The Exclusions Explained:**

- The Equipment Breakdown policy encompasses standard exclusions found in similar insurance contracts, including ordinance or law, earth movement, water damage, nuclear hazard, and war or military action. However, it is crucial to remember the major exclusions:
  - Explosion: Any explosion occurring outside the covered equipment is not covered by this policy. However, such losses are typically covered under Commercial Property forms.
  - Fire or Combustion Explosion: Any fire or explosion that coincides with the breakdown is excluded. Again, these types of losses would generally be covered under Commercial Property forms.
- Indirect Losses Following a Breakdown: This policy covers direct losses but does not include coverage for indirect losses unless specifically added by endorsement.

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# AU-I127 Business Income - Report of Values

This form serves to report the insured's actual and estimated business income when the business income endorsement is added to the policy. The insurer relies on this data to determine the appropriate amount for business income coverage claims.

**Suspension and Reinstatement of Coverage**

- The insurance company has the authority to promptly suspend coverage on any equipment deemed unsafe, commonly referred to as "red tagging." This endorsement is attached to identify suspended equipment and the date the suspension begins. It will be used for reinstating coverage once the issues are resolved.
- When the insurer attaches this endorsement, the equipment's coverage is immediately suspended without advance notice to the insured. However, when coverage is reinstated, the insurer must notify the insured accordingly.

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# AU-I128 Actual Cash Value Endorsement

This endorsement modifies the property damage valuation condition in the equipment breakdown coverage form.

In the event of covered property damage caused by a breakdown, the insurer will either repair or replace the damaged property based on the following criteria:

- Cost to repair or replace the damaged property with items of the same kind, capacity, size, or quality; or
- Actual cash value of the damaged property.

- However, this condition excludes repairs or replacements for obsolete or useless property.

**Spare Parts & Equipment Endorsement**

- With this endorsement, the insured can obtain separate coverage for spare parts and equipment that are either non-functional or currently unavailable for use.
- This allows the insured to protect crucial equipment and parts necessary for its operation, even if they are not actively in use at the moment.

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# AU-J1 Overview of Businessowners Policy (BOP)

The Businessowners policy (BOP) is a comprehensive insurance solution for small businesses, consisting of three sections:

**Section I - Property:**

- This section provides coverage for the insured's business property against various perils, such as fire, theft, and vandalism.

**Section II - Liability:**

- Section II offers liability coverage for bodily injury and property damage claims arising from the insured's business operations.

**Section III - Conditions:**

- Section III contains the general conditions that apply to both the property and liability sections of the policy.

**Evolution of the BOP:**

- In the past, Sections I and II had separate sets of conditions. However, with the introduction of the 2013 Businessowners form, 12 conditions were unified and added as Section III of the policy.

**Important Note:**

- Unlike the Commercial Package Policy, where coverages and forms are selected by the insured, the Businessowners policy is a single policy with required coverages tailored to meet the specific needs of small businesses.

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# AU-J2 Insureds & Eligibility under the Businessowners Policy

The individuals or groups considered as "insureds" under the Businessowners policy are determined based on the designation of the "named insured" on the Declarations. Each designation includes different people or groups:

- Individual: This includes the named insured and their spouse.
- Partnership: This includes the named insured, their business partners, and spouse.
- Limited Liability Company (LLC): This includes the named insured, members, and managers of the LLC.
- Corporation: This includes the named insured, executive officers, and directors of the corporation.

**Eligibility:**
The standard Businessowners policy has specific eligibility rules based on building size and the type of business. State laws may modify these rules, but typically eligible risks must meet the following criteria:

- Total floor area cannot exceed 35,000 square feet.
- Annual gross sales at each location must not exceed $6 million.

The standardized BOP includes a list of eligible occupancies, which we will cover on the next few screens. Please note that meeting these eligibility requirements is essential to qualify for the policy coverage.

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# AU-J3 Eligible Properties for Businessowners Policy

**Apartment Buildings**

- Residential condominium association buildings and apartment buildings of any size are eligible.
- Business personal property owned by the building owner within the eligible apartment building is also covered.

**Incidental Occupancies Eligible:**

- Eligible offices.
- Wholesaler, mercantile, service, or processing occupancies occupying less than 35,000 square feet in total.
- Contractors occupying less than 7,500 square feet or less than 15% of the total floor area. Contractors exceeding this limit are classified separately.

**Commercial Unit-owners Condominiums**

- Eligible for eligible wholesaler, mercantile, service, processing, contractor, or office occupancies.

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# AU-J4 Eligibility for Contractors under Businessowners Policy

Covered "trade" contractors with primarily a single specialty must meet the following requirements:

- Annual payroll must not exceed $300,000.
- Work at a height over three stories is not permitted.
- Total cost of subcontracted work cannot exceed 10% of total annual gross sales.
- Equipment must not be leased or rented to others.
- Sales not related to installation, repair, or service must not exceed 25% of annual gross sales.

**Not Eligible for Businessowners Policy:**

- General contractors or those performing more hazardous work, such as construction work at four or more stories in height, are not eligible for coverage under this policy.

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# AU-J5 Eligible Occupancies under Businessowners Policy

**Mercantile, Service or Processing Risks:**

- Coverage for buildings or individual tenants with up to 25,000 sq. ft. occupied by this type of risk.
- Insureds must not exceed $3 million in sales at any insured location.
- No more than 25% of annual gross sales can be from off-premises operations.

**Wholesale Risks:**

- Eligible if no more than 25% of annual gross sales originate from retail operations.
- No more than 25% of the total floor area should be open to the public.

**Office Buildings:**

- Office buildings, including office condominium associations occupied principally for office purposes, are eligible.
- Buildings must not exceed six stories in height or 100,000 square feet in total floor area.

**Motels:**

- Coverage provided for motels up to three stories in height, without floor area restriction.
- Motels operating seasonally and closed for more than 30 consecutive days are not eligible.
- Motels with bars or cocktail lounges are also not eligible.

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# AU-J6 Eligible Businesses under Businessowners Policy

**Restaurants:**

- Casual dining, fast food, limited cooking, and fine dining restaurants are eligible.
- Total floor area must not exceed 7,500 square feet.
- Seating capacity should not exceed 150 (75 for limited cooking).
- Limited cooking restaurants use equipment without smoke or grease-laden vapors requiring an exhaust system.

**Convenience Food Stores, Gasoline Stores, Grocery Stores, and Supermarkets:**

- Eligible if they do not engage in auto service or repair operations, car wash operations, or propane/kerosene tank filling operations.
- Must have a minimum of 3,000 square feet in total floor area if the store sells gasoline.

**Self-Storage Facilities:**

- Facilities not exceeding two stories in height are eligible.
- Excludes facilities permitting cold storage or storage of industrial materials, pollutants, chemicals, or waste.

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# AU-J7 Ineligible Business Classes

The Businessowners policy (BOP) does not cover certain business classes. The following are listed as specifically ineligible:

- Auto Repair or Service Stations:
  - Unless incidental to another eligible class.
- Auto, Motor Home, Mobile Home, and Motorcycle Dealers:
  - Unless incidental to another eligible business class.
- Financial Institutions:
  - Banks, building and loan associations, savings and loan associations, credit unions, stockbrokers, and similar financial institutions are ineligible.
- Bars and Pubs:
  - Businesses primarily engaged in bars and pubs are not covered under the BOP.
- Manufacturing Facilities:
  - Buildings wholly or partially occupied for manufacturing purposes are ineligible.
- Condominium Associations:
  - Excludes condominium associations, except for office or residential condominiums.

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# AU-J8 Ineligible Business Classes

The Businessowners policy (BOP) excludes coverage for certain business classes. The following are listed as specifically ineligible:

- Household Personal Property:
  - Coverage is not provided for businesses primarily dealing with household personal property.
- Manufacturing Operations:
  - Insureds whose business operations involve one or more locations used for manufacturing are not eligible for the BOP.
- One- or Two-Family Dwellings:
  - One- or two-family dwellings are ineligible unless they are garden apartments, where multiple units are grouped within a single area and are under common ownership, management, and control.
- Parking Lots or Garages:
  - Businesses primarily operating parking lots or garages are excluded unless incidental to an otherwise eligible class.
- Places of Amusement:
  - Coverage does not extend to businesses classified as places of amusement.

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# AU-J9 Section III - Conditions of the Businessowners Policy (BOP)

**Cancellation**:

- The BOP may be canceled with a notice period of 5, 10, or 30 days, depending on the reason for cancellation.
- Immediate 5-day notice applies if the building is vacant or unoccupied for 60 consecutive days, with 65% or more rental units or floor area vacant. (Excluding seasonal unoccupancy or buildings under construction/renovation)
- Cancellation with a 5-day notice is also applicable if repairs aren't initiated within 30 days after the initial claims payment.
- Governmental order for building vacation or demolition, unrelated to a covered cause of loss, leads to cancellation with 5-day notice.
- Cancellation for nonpayment of premium requires a 10-day notice.
- All other approved reasons for cancellation necessitate a 30-day notice.
- Cancellation with 5-day notice is applicable in the following cases:
    - Removal of fixed and salvageable items from the covered building without replacement.
    - Failure to provide essential services like heat, water, sewer, or electricity for 30 consecutive days, except during seasonal unoccupancy.
    - Outstanding property taxes unpaid for over one year from the due date.

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# AU-J10 Section III - Important Policy Conditions

**Changes to the Policy:**

- Only the first named insured has the authority to make changes to the policy. This ensures clarity and prevents unauthorized modifications.

**Concealment, Misrepresentation, or Fraud:**

- Any intentional concealment, misrepresentation, or fraudulent activities related to the policy, covered property, or claims will result in the policy becoming void. Honesty and transparency are essential for maintaining valid coverage.

**Examination of the Insured's Books & Records:**

- The insurer holds the right to examine and audit the insured's books and records regarding the policy, during the policy period and up to three years afterward. This helps to ensure accuracy and appropriateness of coverage.

**Inspections and Surveys:**

- The policy grants the insurer the contractual right to conduct inspections, surveys, and recommendations for insurability and premium determination. However, this doesn't impose an obligation on the insurer to perform these activities.

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# AU-J11 Additional Policy Conditions

**Insurance Under Two or More Coverages:**

- If a loss is covered by multiple coverages within the policy, the insurer will only pay up to the actual amount of the loss. This ensures that the insured cannot receive duplicate benefits for the same loss.

**Liberalization:**

- Any policy revision that broadens coverage without an additional premium, made 45 days before or during the policy period, will immediately apply to the policy. This grants the insured the advantage of enhanced coverage if the policy is updated during the coverage term.

**Other Insurance:**

- When there is other insurance covering the same loss, the BOP policy acts as excess insurance. Even if the insured is unable to collect under the other policy, the BOP will still respond as excess. There is no pro rata sharing of losses in such cases, and the BOP does not have a duty to defend if it pays as "excess."

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# AU-J12 Understanding Premiums & Premium Audit

**Premiums:**

- The first named insured holds the responsibility to pay the premiums and will be eligible to receive any return of premium if applicable. The premium amount mentioned in the Declarations is calculated based on rates in effect during policy issuance. Upon renewal, the insurer will calculate the premium using the current rates. The insured can continue the coverage by paying the "continuation premium" based on the new rates for each subsequent one-year period.

**Premium Audit:**

- If the premium listed on the Declarations is designated as a "premium deposit," the insurance company will conduct a premium audit. This audit helps determine the earned premium for that specific period. Subsequently, the first named insured will receive a bill or a return of unearned premium, depending on the audit findings.

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# AU-J13 Subrogation & Transfer of Rights and Duties

**Transfer of Rights of Recovery Against Others to the Insurer:**

- This condition addresses subrogation, a standard practice in insurance. It grants the insurer the right of recovery in situations where they compensate the insured for a loss caused by a third party. Subrogation enables the insurer to pursue the responsible party to recover the amount paid to the insured.

**Transfer of the Insured's Rights and Duties Under the Policy:**

- This condition specifies that the insured's rights and duties under the policy cannot be transferred to anyone else. However, an exception is made in the event of the death of an individual named insured. In such cases, the rights and duties can be transferred to the rightful heir or representative.

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# AU-J14 Section I - Property Coverage

**Coverage A - Buildings:**

- This coverage safeguards the physical structures owned by your business. It includes buildings on the premises specified in the policy. In the event of covered perils causing damage or destruction, this coverage helps repair or replace the buildings.

**Coverage B - Business Personal Property:**

- Business Personal Property coverage protects your business's movable assets, such as equipment, inventory, and furniture. It applies to items located within the premises listed on the policy.

**Limit of Insurance:**

- Each coverage within Section I has a specific limit of insurance, which is indicated on the Declarations page of the policy. This limit represents the maximum amount the insurer will pay for covered losses.

**Open Peril vs. Named Peril:**

- By default, property coverage under the Businessowners policy is provided on an open peril basis. This means it protects your property against all risks unless specifically excluded. However, you have the option to endorse the policy to provide coverage on a named peril basis if you prefer to limit the covered risks.

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# AU-J15 Property Coverage: Buildings & Other Structures

- The Businessowners policy provides replacement cost coverage for buildings and other covered structures, as long as the limit of insurance shown in the Declarations is 80% of the replacement cost value. If the limit is less than 80% of the replacement cost value, claims will be paid based on Actual Cash Value (ACV).
- Covered structures include not only the buildings on the insured premises but also other important elements, such as:
  - Completed Additions
  - Permanently Installed Machinery and Equipment
  - Fixtures, including outdoor fixtures like lawnmowers, garden hoses, and snow removal equipment.
  - Personal Property used to maintain or service the buildings, structures, or the premises, including fire extinguishing equipment, outdoor furniture, floor coverings, and appliances.
  - Personal Property furnished by the insured in areas of the premises rented to others.
- Additionally, if no other coverage applies, additions under construction, alterations, or repairs are also covered. The materials, equipment, and supplies being used in this construction are covered as well if they are within 100 feet of the premises.

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# AU-J16 Business Personal Property Coverage

- Business personal property is protected on a replacement cost basis, ensuring that the insured can recover the full cost of replacing damaged or lost items unless they choose to endorse the policy for Actual Cash Value (ACV) coverage.
- The policy covers various types of business personal property, including:
  - Property owned and used by the insured in the business.
  - Property of others that is in the insured's care, custody, or control.
  - Tenants' improvements and betterments, which refer to alterations or enhancements made by tenants to the property they occupy.
  - Leased personal property that the insured has a contractual responsibility to insure.
- Furthermore, the coverage extends to exterior building glass for tenants when no limit of insurance is specified for "building property" in the Declarations. For this coverage to apply, the glass must be owned by the insured or be in their care, custody, or control.

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# AU-J17 Property Not Covered under Coverage B

**The following property is not covered under Coverage B:**

- Aircraft, Autos, and Registered Motor Vehicles: Coverage for vehicles is typically addressed under specialized insurance policies.
- Bullion, Money, and Securities: These high-value items often require separate coverage due to their unique nature.
- Contraband or Illegal Property: Property involved in illegal transportation or trade is excluded from coverage.
- Exterior Signs (unless scheduled): Exterior signs may require additional coverage as specified in the policy.
- Land, Water, Ground Crops, or Lawns: Real property elements such as land and crops fall outside the scope of this coverage, except as provided by policy extensions.
- Outdoor Fences, Radio, and TV Antennas: Coverage for outdoor fixtures and antennas is addressed by policy extensions, if applicable.

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# AU-J18 Exclusions under Coverage B

**Property not covered under Coverage B includes:**

- Trees, Shrubs, and Plants: Except those integrated into a vegetated roof, coverage for these items is limited and subject to policy extensions.
- Boats (including motors, equipment, and accessories) while afloat: Separate coverage may be required for boats and related items while in water.
- Accounts, Bills, Food Stamps, or other Evidences of Debt: Coverage for these financial instruments and documents is typically not provided, except as otherwise specified in the policy.
- Computers Permanently Installed in Vehicles: Computers permanently installed in registered vehicles are excluded, except if held as stock.
- Electronic Data: Coverage for electronic data is subject to Additional Coverages, with specific limitations and exceptions for certain systems.
- Animals: With exceptions for owned animals for sale as stock or boarded animals owned by others.

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# AU-J19 Coverage Limitations under the BOP

**The BOP does not cover:**

- Steam Boilers and Similar Objects: Damage caused by internal conditions within the equipment is generally not covered. However, an optional coverage can be selected to provide protection for boiler or machinery accidents.
- Hot Water Boilers/Heaters: Damage resulting from conditions other than internal explosions is excluded.
- Missing Property without Physical Evidence: If there is no concrete evidence to demonstrate what happened to the missing property, such as a shortage in inventory, coverage may not apply.
- Property Transferred Based on Unauthorized Instructions: If property is transferred outside the described premises due to unauthorized instructions, it may not be covered.
- Interior Damage Caused by Weather Elements: Loss or damage to the interior of the building or business personal property due to rain, snow, sleet, ice, sand, or dust is generally not covered unless the building or structure has previously sustained damage from a covered cause of loss. However, this limitation does not apply to damage caused by the thawing of snow, sleet, or ice that was already on the building.
- Vegetated Roof Elements: Damage to lawns, trees, shrubs, or plants that form part of a vegetated roof is not covered if it results from:
    - Dampness or dryness of the atmosphere or soil supporting the vegetation
    - Changes or extremes of temperature
    - Disease
    - Frost or hail
    - Rain, snow, ice, or sleet.

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# AU-J20 Limitations on Coverage under the BOP

**The specified causes of loss in the BOP include:**

- Fire or lightning
- Explosion
- Windstorm or hail
- Smoke
- Aircraft or vehicles
- Riot or civil commotion
- Vandalism
- Leakage from fire extinguishing equipment
- Sinkhole collapse
- Volcanic action
- Falling objects
- Weight of snow, ice, or sleet
- Water damage

**Covered losses that require the above causes of loss or building glass breakage include:**

- Injured Animals: The policy will provide compensation for animals that are injured to the extent that they need to be put down.
- Loss of Fragile Articles: Fragile items like glassware, marbles, porcelains, statuary, and chinaware are covered for loss, subject to the specified causes of loss or building glass breakage. Note that this exclusion doesn't apply to glass integrated into buildings, containers of property held for sale, or photographic/scientific instrument lenses.

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# AU-J21 Special Limitations for Theft Coverage

Under the Businessowners Policy (BOP), specific property types have special limitations for theft coverage, unless the insured chooses a higher limit and schedules it in the Declarations. These limitations are as follows:

- Furs and Fur Garments: Coverage for furs, fur garments, and garments trimmed in fur is limited to $2,500 unless a higher limit is selected and specified in the policy.
- Jewelry and Watches: The policy places a $2,500 limitation on coverage for jewelry, watches, watch movements, jewels, pearls, precious and semi-precious stones, bullion, gold, silver, platinum, and other precious alloys or metals. However, this limit does not apply to jewelry and watches valued at $100 or less per item.
- Patterns, Dies, Molds, and Forms: Coverage for patterns, dies, molds, and forms is limited to $2,500, unless the insured chooses a higher limit and schedules it in the policy Declarations.

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# AU-J22 Businessowners Policy (BOP) Coverage & Exclusions

In our discussion of the Businessowners Policy (BOP), we learned that both building and personal property are typically covered on an open peril basis, unless the insured chooses to purchase the named peril endorsement. However, it's important to note that the open peril form has certain exclusions to be aware of. These exclusions include:

- Enforcement of Law or Ordinance: Loss resulting from the enforcement of any law or ordinance regulating the construction, repair, or use of any property.
- Power Failure: Loss caused by a power failure unless it directly damages covered property, such as electrical appliances.
- War and Military Action: Loss caused by war, including undeclared war, and military actions.
- Dishonest or Criminal Acts: Loss caused by dishonest or criminal acts committed by the insured, employees, or any person entrusted with or having an interest in the property.
- Continuous or Repeated Seepage or Leakage of Water: Loss caused by continuous or repeated seepage or leakage of water over a period of 14 days or more.
- Wear, Tear, and Deterioration: Loss caused by wear, tear, deterioration, rust, mold, decay, hidden or latent defects, or any quality in the property that causes it to damage or destroy itself.

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# AU-J23 Businessowners Policy Coverage & Exclusions

- Settling, Shrinking, and Cracking: Loss caused by the settling, shrinking, cracking, bulging, or expansion of driveways, sidewalks, swimming pools, pavements, foundations, walls, floors, roofs, or ceilings.
- Explosion of Steam Equipment: Loss caused by the explosion of steam boilers, steam pipes, or steam turbines.
- Weather-Related Damage to Property in the Open: Loss caused by rain, snow, ice, or sleet to property that is located in the open, such as outdoor equipment or inventory.
- Earth Movement: This includes events such as earthquakes, landslides, mudflows, earth sinking (excluding sinkhole collapse), earth rising or shifting, tremors, or aftershocks, regardless of the cause.
- Water-related Events: The policy excludes loss caused by floods, surface water, waves, tidal water or tidal waves, overflow of streams, or any bodies of water, whether driven by wind or not.
- Water Back-Up: Loss resulting from water that backs up through sewers or drains is not covered under the BOP.
- Water Below the Surface: This includes water below the ground's surface, including water that exerts pressure on or flows, seeps, or leaks through doors, windows, or any other openings in sidewalks, driveways, foundations, walls, or floors.

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# AU-J24 Businessowners Policy Coverage & Exclusions

- False Pretense: This refers to the voluntary parting with title or possession of any property by the insured or others, induced by fraudulent schemes or false pretenses.
- Mysterious Disappearance or Shortage: Loss due to mysterious disappearance of property or shortage revealed during inventory is not covered.
- Consequential Losses: This includes delays, loss of use, or loss of market, which are not covered under the policy.
- Property Sold under Deferred Payment Plans: Any loss related to property sold by the insured using conditional sale, trust agreement, installment payment, or deferred payment plans after delivery to customers is excluded.
- Governmental Action: Loss resulting from the seizure or destruction of property by a governmental authority (except to prevent fire spread) is not covered.
- Nuclear Hazard: Losses caused by nuclear hazards are excluded from the policy.
- Electrical Apparatus Disturbance: Artificially generated electrical current, including electric arcing that disturbs electrical devices, appliances, or wires, is excluded, unless fire ensues and then only for the ensuing fire loss.

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# AU-J25 Businessowners Policy Coverage & Exclusions

- Utility Services: Coverage does not apply for loss or damage caused by the failure of power, communication, water, or other utility service to the described premises if the failure originates away from the premises. It also excludes loss or damage due to failure of "on-premises equipment" of "off-premises" utility services. This includes instances of reduced supply and insufficient capacity. However, if a power surge results from a covered cause of loss due to power failure, coverage applies only to the resulting loss or damage.
- Smoke, Vapor, Gas from Agricultural Smudging or Industrial Operations: Loss caused by smoke, vapor, or gas arising from agricultural smudging or industrial activities is excluded.
- Certain Computer Related Losses: This refers to failures, malfunctions, or inadequacies of computer systems and equipment.
- Frozen Plumbing: Losses due to frozen plumbing are excluded, unless the insured has taken preventive measures such as leaving the heat on or draining the water from the equipment.

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# AU-J26 Businessowners Policy Coverage & Exclusions

- Virus or Bacteria: Loss or damage caused by any microorganism capable of causing physical illness, distress, or disease is excluded from coverage.
- Collapse: Unless covered by the "additional coverage collapse," losses resulting from collapse are excluded.
- Pollution: The policy does not cover losses arising from the discharge or release of pollution, except when caused by specified covered causes of loss.
- Neglect: If the insured fails to take reasonable measures to prevent further property loss after the initial loss, coverage may be excluded.
- Loss or Damage to Product: There is no coverage for merchandise, goods, or products damaged due to any party's error or omission. This exclusion applies from planning and testing through repair and maintenance, even at outsourced locations. It also encompasses any compromise to the product's form, substance, or quality.

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# AU-J27 Additional Coverages in Businessowners Policy

**Debris Removal Coverage:** The policy reimburses the insured for expenses related to the removal of debris from "covered property" and "other debris" at the "described premises." This coverage applies when the debris results from a covered cause of loss during the policy period. To receive reimbursement, the insured must report the debris removal expenses to the insurance company within 180 days of the direct physical loss or damage.

**Amount Covered:**

- The policy pays the lesser of two amounts: the limit of insurance applicable to the covered property that suffered the direct physical loss or damage, and the amount paid for debris removal expense.
- However, the maximum the insurer will pay for debris removal is 25% of the loss amount, plus the deductible.

**Additional Coverage:**

- For each business location in a single occurrence, an extra $25,000 of debris removal coverage is available under the following circumstances:
  - When the direct physical loss and debris removal expenses combined exhaust the limit of insurance, or
  - When the maximum amount collectible for debris removal (25% of the loss plus the deductible) is insufficient to cover the actual debris removal expenses.
- In such cases, the total payment for debris removal may not exceed 25% of the policy limit for the loss (including the deductible) and an additional $25,000.

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# AU-J28 Additional Coverage: Collapse

Coverage for "collapse" is applicable when a building or part of a building experiences an abrupt falling down or caving in, rendering it unfit for its intended purpose.

**Conditions for Coverage:**

- Hidden Decay: Collapse caused by hidden decay of the building is covered.
- Hidden Insect or Vermin Damage: Collapse resulting from hidden insect or vermin damage is covered.
- Defective Materials or Methods - Construction, Remodeling, or Renovation: Coverage applies for collapse due to defective materials or methods used during construction, remodeling, or renovation.
- Defective Materials or Methods - After Construction, Remodeling, or Renovation: If collapse occurs after completion, coverage is provided if it involves hidden decay, hidden insect or vermin damage, specified causes of loss, building glass breakage, weight of people or personal property, or weight of collected rain on the roof.

**Important Note:**

- The coverage for "collapse" reduces the policy's limit of liability; it is not an additional amount of insurance.

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# AU-J29 Business Income Coverage

- Trigger: Business income coverage is activated when a direct physical loss or damage occurs at the described premises, leading to a temporary cessation of business activities and resulting in a loss of business income.
- Scope of Coverage: The policy also covers business personal property within 100 feet of the premises or in a vehicle.
- Loss Reimbursement: The policy provides reimbursement for the actual "business income" loss during the "period of restoration," which spans 12 months after the direct physical loss or damage. The "period of restoration" starts 72 hours after the loss, considered as the time deductible.
- Ordinary Payroll Expenses: The policy includes coverage for "ordinary payroll expenses" for 60 days post the loss. However, the insured can extend this period by scheduling it in the policy.

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# AU-J30 Business Income Coverage: Key Components

Definition: "Business income" covered by the policy comprises two elements:

- Net Profit or Loss: Refers to the income (before taxes) that the business would have earned or incurred if the loss had not occurred.
- Continuing Normal Operating Expenses: Includes regular operating expenses, such as employee payroll, benefits, FICA (Social Security) payments, union dues, and workers' compensation premiums.

Ordinary Payroll Expenses: Ordinary payroll expenses pertain to:

- Employee Payroll
- Employee Benefits directly related to payroll
- FICA Payments (Social Security) typically paid by the insured business
- Union Dues paid by the insured business
- Workers' Compensation Premiums

Exclusions: "Ordinary payroll expenses" do not cover officers, executives, department managers, contract employees, or other exempt employees listed in the Declarations. Coverage for such employees must be chosen separately as "nonordinary payroll expenses," which are not subject to the 60-day limit.

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# AU-J31 Extended Business Income & Extra Expense

**Extended Business Income:**

- Provides additional coverage to support business income during the period when the business has been restored but has not yet reached its previous income level.
- Coverage continues until the business regains its former income or for 60 days from the date of full restoration, whichever comes first.

**Extra Expense Coverage:**

- Offers additional protection for expenses incurred by the insured to minimize business operation suspension after a covered loss.
- For 12 consecutive months, the policy covers various expenses, such as:
  - Relocation costs to a temporary location for uninterrupted business operations.
  - Rental payments at the temporary location.

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# AU-J32 Additional Coverages

**Civil Authority:**

- Protects the insured from loss of business income and extra expenses when access to the insured's business is restricted due to damage to another property (not the described premises).
- Coverage becomes effective 72 hours after the civil authority action and lasts for up to four consecutive weeks.
- Extra expense coverage is not subject to the 72-hour waiting period and ends either after four consecutive weeks or when the business income coverage ends, whichever comes first.

**Increased Cost of Construction:**

- Provides $10,000 of coverage to comply with any ordinance or law necessitating repairs, rebuilding, or replacing a covered building insured on a replacement cost basis.
- Coverage applies when the loss is caused by a covered peril.

**Forgery & Alterations:**

- Safeguard against financial loss caused by the forging or altering of checks, drafts, promissory notes, or similar items by impersonators.
- If sued for refusing to pay fraudulent items, the insurance company covers the defense expenses.
- Standard coverage amount is $2,500, but the insured can opt for a higher coverage limit by scheduling it in the policy.

**Money Orders and Counterfeit Money:**

- Protects against losses resulting from accepting counterfeit money or money orders in good faith during regular business transactions. Coverage limit is set at $1,000 to mitigate potential financial impacts.

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# AU-J33 Enhanced Coverage for Business Resilience

**Business Income From Dependent Properties:**

- Safeguard against financial loss resulting from direct physical damage to dependent properties.
- Dependent properties can include crucial suppliers or major customers that significantly impact the insured's business income.
- Standard coverage provides up to $5,000, with the option to schedule a higher limit on the policy.
- A 72-hour time deductible applies to this coverage.

**Electronic Data Protection:**

- Coverage for data loss or corruption caused by covered perils.
- "Electronic data" refers to information, facts, or computer programs stored, used, or transmitted through software or hardware.
- Replacement or restoration of electronic data is covered, and if not possible, the medium storing the data is included.
- The policy offers $10,000 coverage for any loss or damage incurred within a single policy year.

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# AU-J34 Enhanced Property Protection

**Pollutant Clean-Up and Removal:**

- Coverage for costs incurred to remove pollutants from land or water at the insured premises, resulting from a covered cause of loss.
- Policy offers $10,000 limit per separate 12-month period for pollutant clean-up.
- The insured must promptly report the loss within 180 days for coverage to apply.

**Preservation of Property:**

- Provides coverage for direct physical loss or damage from ANY cause, if the insured's property is moved to another location for protection against covered perils.
- Coverage applies while the property is in transit or temporarily stored at an alternate location.
- 30-day coverage period after the property is first moved.

**Fire Department Service Charge:**

- Covers expenses, up to $2,500, incurred when a fire department is called to save or protect covered property from a covered cause of loss.
- Policy limits may vary based on state statute or the insured's selected amount.

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# AU-J35 Enhanced Property Protection

**Water Damage, Other Liquids, Powder, or Molten Material Damage:**

- This coverage reimburses the cost of tearing down and replacing any part of the building damaged while accessing the system from which water, liquids, powder, or molten material escaped, leading to the loss.
- Ensures a comprehensive solution to address the damage caused by these substances.

**Glass Expense:**

- Provides coverage for temporary plate or board installation in case of delayed repair or replacement of glass.
- Guarantees timely protection and security during the glass restoration process.

**Fire Extinguisher Systems Recharge Expense:**

- Covers the recharge or replacement costs of fire extinguishers and systems discharged on or within 100 feet of the premises.
- Also provides coverage for damage to covered property due to accidental discharge of chemicals from a fire extinguisher system.
- Limited to $5,000 per occurrence, and does not apply during installation or testing discharges.

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# AU-J36 Protection for Computer Operations

**Interruption of Computer Operations:**

- This essential coverage offers protection for business income and extra expenses resulting from a suspension of operations due to an interruption in computer systems.
- Coverage applies specifically to interruptions caused by corruption or destruction of electronic data.
- Note: The coverage does not apply if the interruption resulted from employee manipulation or actions by a business hired by the insured.

**Annual Aggregate Limit:**

- The policy includes an annual aggregate limit of $10,000 for this coverage.
- The insured has the option to purchase and schedule a higher limit on the policy for enhanced protection.

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# AU-J37 Expanded Property Coverage

Under Section I of the Businessowners policy, the insured can extend coverage beyond the limit of liability for property. This extension includes the following coverage options:

**Newly Acquired or Constructed Property:**

- Provides $250,000 of coverage under Coverage A for each location.
- This extension applies when the insured acquires a building at a different location or constructs a new structure on the described premises.

**Newly Acquired Business Personal Property:**

- Offers coverage of $100,000 at each location.
- This extension applies to newly acquired business personal property.

**Coverage Period:**

- The coverage for newly acquired or constructed property and newly acquired business personal property is active for 30 days.
- Alternatively, coverage ceases when the insured reports the property to the insurance company, whichever comes first.

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# AU-J38 Enhanced Property Coverage

**Personal Property Off-Premises:**

- Protects business personal property up to $10,000 while it is "in transit" or located at a non-owned, non-leased, or non-operated premises within the coverage territory.
- Please note that this extension does not cover money and securities, valuable papers and records, or accounts receivable.

**Personal Effects:**

- Extends coverage to include personal effects owned by the insured businesses' officers, partners, or employees.
- Coverage limit: $2,500 at each insured location (Theft is not covered).

**Outdoor Property:**

- Expands coverage to outdoor property, such as outdoor fences, signs not attached to buildings, trees, shrubs, plants, and radio/TV antennas, including satellite dishes.
- The coverage is limited to $2,500, with a maximum of $1,000 for any single tree, shrub, or plant.

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# AU-J39 Enhanced Business Coverages

**Valuable Papers and Records:**

- This extension offers coverage for valuable papers, records, and electronic/magnetic data when the insured is covered for business personal property.
- It covers the costs of researching, replacing, or restoring lost or damaged valuable papers and records without duplicates.
- Maximum coverage of $10,000 is available at each location specified in the policy.

**Accounts Receivable:**

- Activated when a covered peril destroys the insured's accounts receivable records.
- The insurer will pay for uncollectible amounts resulting from the destruction of these records.
- If the records were destroyed on the insured premises, the limit is $10,000; if off-premises, the limit is $5,000.

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# AU-J40 Business Personal Property in Portable Storage Units

**Coverage Details:**

- $10,000 limit of coverage for business personal property stored in portable storage units (including detached trailers) for up to 90 consecutive days.
- Permanent coverage is required if the storage unit has been in use at the described location for more than 90 consecutive days.
- Detached storage units or trailers located within 100 feet of covered buildings or premises described in the policy are covered.

**Important Considerations:**

- Coverage applies only when the storage unit or detached trailer containing the business personal property is within 100 feet of the covered building(s) or structure(s) specified in the Declarations.

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# AU-J41 Optional Coverages for Businessowners Policy

**Outdoor Signs Coverage:**

- Protects against direct physical loss or damage to outdoor signs owned by or in the care of the insured on the premises.
- Coverage limit is specified in the Declarations page of the policy.

**Equipment Breakdown Coverage:**

- Safeguards covered equipment, including heating and air conditioning units, from direct damage caused by sudden and accidental breakdowns.
- Coverage applies to equipment located at the described premises.

**Key Points:**

- Optional coverages must be specifically designated in the Declarations page of the policy.
- These additional coverages may require an extra premium to be added to your policy.

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# AU-J42 Protecting Business Assets

**Money and Securities Coverage:**

- Provides protection against loss of money and securities used in your business due to theft, disappearance, or destruction.
- Coverage applies while money and securities are at a bank or savings institution, at your described premises, or in transit between these locations.

**Employee Dishonesty Coverage:**

- Covers the loss of business personal property, money, and securities caused by dishonest acts of employees.
- Coverage for an employee is immediately canceled upon discovery of any dishonest act committed by that employee before or after being hired.
- You have the flexibility to select the coverage amount for any one occurrence and decide whether coverage applies if multiple people are involved.
- The "discovery period" allows you one year from the end of the policy period to discover the act for coverage to apply.

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# AU-J43 Ensuring Continuous Business Operations

**Direct Damage Coverage:**

- Protects insured property from loss or damage caused by interruptions in utility services like water, power, or communications.
- For coverage to apply, the damaged property must be scheduled on the endorsement, and the utility service interruption must result from a covered cause of loss.

**Time Element Coverage:**

- Safeguards your business income and covers extra expenses when utility services located away from your premises are damaged, leading to a shutdown of your business.
- The damage to the utility service must have resulted from a covered peril.

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# AU-J44 Protective Safeguards

- Maintain Protective Devices: This endorsement mandates the insured to keep the listed protective devices or services in operational condition.
- Premium Benefits: Having fire or burglar alarms installed on the insured premises can lead to more favorable premium rates.
- Prompt Notification: If the protective system malfunctions, the insured must promptly notify the insurance company within 48 hours to maintain coverage for fire or burglary losses.
- Timely Repairs: No need to inform the insurance company if the system will be repaired before the 48-hour limit expires.

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# AU-K1 Custom Coverage for Farms

**Challenges of Farm Insurance**

- Farms have both personal and commercial property on the same premises.
- Comprehensive coverage required for diverse exposures.

**Farm Property Policy Options**

- Monoline Policy: Standalone farm property coverage.
- Package Policy: Combine farm property with liability coverage for complete protection.

**The Four Sections of Farm Property Policy**

- Section I: Coverages (Insuring Agreements A - G)
  - Provides primary coverage for farm property.
- Section II: Coverage Extensions
  - Extends coverage beyond the basic policy.
- Section III: Additional Coverages
  - Offers additional protection for specific risks.
- Section IV: Other Provisions
  - Contains essential policy details and conditions.

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# AU-K2 Coverage A Specifications

**Coverage A: Dwellings**

- Insures buildings primarily used for family residential purposes.
- Includes mobile, modular, and prefabricated homes.
- Coverage for materials and supplies on-site for building, altering, or repairing the dwelling.
- Equipment servicing the insured dwelling and grounds, if not covered elsewhere.

**Exclusions**

- Land and water are not covered.
- Trees, shrubs, plants, and lawns are generally excluded.
- Coverage Extensions will address specific exceptions.

**Valuation Rule**

- If the insurance limit on the damaged structure is 80% or more of its full replacement cost at the time of loss:
- Loss settlement based on repair or replacement cost.
- The lesser of the following amounts will be considered:
  - Cost to replace the damaged part with equivalent construction on the same premises.
  - Actual and necessary expenses for repair or replacement.
  - The applicable insurance limit.

Exclusions

- Costs due to ordinance or law enforcement on property construction, use, or repair not covered.

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# AU-K3 Loss Conditions - Coverage A: Dwellings

**Coinsurance Illustration**

- For example, a farm dwelling with a replacement cost of $200,000 needs $160,000 coverage (80% requirement).
- If insured carries only $120,000 (75% of $160,000), they will receive 75% of the partial loss replacement cost or 100% of the actual cash value, whichever is greater.

**Valuation Rule for Replacement Cost Basis**

- If the cost of repair or replacement exceeds $5,000 or 5% of the applicable insurance limit:
  - Insurer settles initially on actual cash value of the damaged part at the time of loss.
  - Insured can later make a supplementary claim for replacement cost payment.
  - To choose supplementary claim: Notify insurer of intent within 180 days of the loss occurrence.

**Important Note**

- Full replacement cost coverage will be paid once repairs are completed.
- Otherwise, the claim will be settled based on actual cash value.

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# AU-K4 Farm Dwellings Coverage B: Other Private Structures

**Covered Property:**

- Private structures owned by the insured, related to the dwelling.
- Separated from the dwelling by clear space or attached by fence/utility lines.
- Detached outdoor radios, TV antennas, and satellite dishes covered up to Coverage B limit.
- Attached ones are considered part of the dwelling, covered under Coverage A limit.

**Limits of Insurance Under Coverage B:**

- 10% of Coverage A limit for each occurrence.
- Additional insurance, won't reduce Coverage A limit.

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# AU-K5 Farm Dwellings Coverage C: Household Personal Property

**Covered Property:**

- Household Personal Property owned or used by the insured or family member residing in the household.
- Located inside the insured's dwelling or on the grounds of the insured dwelling.

**Loss Settlement/Valuation:**

- Household Personal Property valued at actual cash value.
- Not for more than the amount necessary to repair or replace it.

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# AU-K6 Farm Dwellings Coverage D: Loss of Use

**Covered Losses:**

- The following losses covered up to the "Loss of Use" limit on the Declarations.
- The time period for loss of use is not limited by the policy expiration as long as the loss began during the policy period and limits remain available.

**Additional Living Expense:**

- Applies if a covered cause of loss damages the principal living quarters (owned or rented) and renders it uninhabitable.
- Pays for any necessary increase in living expenses incurred by the insured to maintain their normal standard of living.
- Coverage duration: Either the time it takes to repair or replace the existing building or the time required to relocate elsewhere.

**Fair Rental Value:**

- Applies to the fair rental value of a tenant-occupied dwelling that becomes uninhabitable due to a covered cause of loss.
- Covers lost rental income and is based on the fair rental value of the structure minus any non-continuing expenses.
- Payment period: The shortest time period required to repair or replace the damaged property.

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# AU-K7 Farm Dwellings Coverage D: Loss of Use

**Covered Losses:**

- The following coverages are covered up to the "Loss of Use" limit on the Declarations. The total amount available for the coverages listed below.
- The time period for loss of use is not limited by the expiration of the policy as long as the loss began during the policy period, and limits remain available.

**Loss and Expense Due to Emergency Prohibition Against Occupancy:**

- This situation arises when the dwelling or appurtenant structure is not physically damaged but cannot be occupied due to damage to the surrounding areas.
- Civil authority prevents its use because of direct damage to neighboring premises caused by a covered cause of loss.
- Coverage includes:
  - Additional Living Expenses: Pays for the insured's necessary increase in living expenses for maintaining a normal standard of living.
  - Fair Rental Value: Covers lost rental income for tenant-occupied dwellings.
- Coverage duration: Up to two weeks, excluding any loss due to lease cancellations.

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# AU-K8 Coverage for Trees, Shrubs, Plants, & Lawns

- Inclusions: The coverage extensions provide "additional insurance" for trees, shrubs, plants, and lawns located within 250 feet of a covered dwelling.
- Covered Perils: Loss caused by fire or lightning; explosion; riot or civil commotion; aircraft; non-owned vehicles; vandalism; or theft.
- Coverage Limits:
  - 5% of the Coverage A - Dwelling limit or
  - 10% of Coverage C - Household Personal Property limit (if the insured does not own the dwelling).
- Individual Limit: $500 for any one tree, shrub, plant, or lawn.
- Exclusions: Coverage does not apply to trees, shrubs, plants, or lawns grown for business or farming purposes or used for "agritainment" activities.
- Note: "Agritainment" refers to farm-based entertainment activities such as hayrides, pony rides, wine tastings, cornfield mazes, pumpkin festivals, and harvest events.

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# AU-K9 Household Personal Property Coverage

**Coverage Away from Insured Location:**

- Coverage applies worldwide for household personal property of the insured.
- If the property is located at another location owned by the insured, coverage is limited to:
  - 10% of the limit of insurance on the Declarations page, or
  - $1,000, whichever is greater.

**Coverage Exceptions:**

- Household Personal Property is fully covered while off-premises without the 10% limitation in the following situations:
  - When property is moved due to repairs, renovation, or rebuilding of the insured dwelling, making it unfit to live in.
  - When the insured is moving to a newly acquired dwelling, and there is pro rata coverage between the two locations for up to 30 days.

**Refrigerated Products Coverage:**

- Not applicable to Farm Personal Property or property not owned by the insured.
- Coverage of up to $1,000 for loss or damage to contents of a freezer or refrigerated unit on the insured premises or appurtenant structure.
- Covered scenarios: Change in temperature due to interruption of electrical service to refrigeration equipment caused by damage to generating or transmission equipment, or mechanical/electrical breakdown of a refrigeration system.
  - No deductible applies, and this is not an additional amount of insurance.

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# AU-K10 Building Additions & Alterations Coverage

**Applicability:**

- This extension applies to Coverage C but only when the named insured is a tenant.

**Covered Items:**

- Any additions, alterations, fixtures, improvements, or installations made or acquired at the insured's expense to the part of the dwelling occupied by the insured are covered.

**Coverage Limit:**

- The limit of insurance is 10% of the Household Personal Property limit, unless a higher limit is specified on the Declarations. This extension provides an additional amount of insurance.

**Settlement Terms:**

- If the insured pays for the repair or replacement within 12 months after the loss, the loss is settled on an actual cash value basis.
- If any damage is not repaired within 12 months after the date of loss, the loss is settled based on a proportion of the actual cost of repair or replacement, considering the time remaining on the lease.
- This extension does not apply if anyone other than the insured pays for the repair or replacement.

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# AU-K11 Coverage for Removal of Fallen Trees

This coverage provides additional insurance and applies when a tree falls and damages covered property under Coverages A, B, or C.

Coverage includes the cost of removing the fallen tree, subject to the following conditions:

- Distance from Dwelling:
  - The tree must be located more than 250 feet from the insured dwelling, and the fall should be due to a covered cause of loss (insured peril).
  - If the tree is less than 250 feet from the insured dwelling, coverage for tree removal applies only if the fall is due to a covered cause of loss OTHER THAN fire or lightning; explosion; riot or civil commotion; aircraft; non-owned/operated vehicles; vandalism; or theft.

**Blocked Access:**

- If a covered cause of loss causes a tree to fall without damaging covered property but blocks access to the insured dwelling, coverage is available only if the access is blocked on a driveway or by the tree obstructing a ramp or other fixture designed for handicapped access.

**Coverage Limit:**

- The maximum payout for any one loss, regardless of the number of fallen trees, is $1,000.
- The coverage is limited to $500 for the removal of any single tree.

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# AU-K12 Coverage for Credit Card & Electronic Fund Transfer Fraud

This coverage provides an additional $500 of insurance, unless a higher limit is indicated on the Declarations. The coverage is not subject to a deductible.

Specifically, this coverage pays for:

**Credit Card and Electronic Fund Transfer Fraud:**

- Any credit card obligations resulting from theft or unauthorized use of the card, provided the insured has complied with all credit card terms and conditions.
- Any loss due to theft or unauthorized use of an electronic fund transfer card or debit card, provided the insured has complied with all credit card terms and conditions.

**Forgery and Alteration:**

- Any loss resulting from forgery or alteration of any check or negotiable instrument.

**Counterfeit Currency:**

- Any loss involving counterfeit U.S. or Canadian paper currency when accepted in good faith.

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# AU-K13 Exclusions for Credit Card & Electronic Fund Transfer Fraud

**Losses Specifically Not Covered:**

- Losses Arising from Business Pursuits or Dishonesty:
  - Any loss arising from business pursuits or dishonesty of any insured.
- Credit Card or Debit Card Losses by Household Residents:
  - Any credit card or debit card losses when used by a resident of the household or by a person entrusted with a card.

**Note:** It's important for the insured to be aware of these specific exclusions in the coverage for credit card and electronic fund transfer fraud. Losses related to credit cards or debit cards when used by household residents or entrusted individuals, as well as losses arising from business pursuits or dishonesty, are not covered under this policy. Proper understanding of these exclusions helps ensure clarity and appropriate protection against fraudulent activities.

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# AU-K14 Additional Coverages

**Water Damage Coverage:**

- Coverage for water damage claims resulting from plumbing, heating, air conditioning, or automatic fire protective sprinkler systems, and household appliances.
- Pays for the tear-out and replacement of any part of the insured building or structure that blocks access to the damaged pipe or equipment causing the water damage.
- Does not cover the cost to repair any defect that caused the water to escape.
- Excludes sumps, sump pumps, or related equipment from the plumbing system definition.

**Grave Markers Coverage:**

- Provides coverage up to $5,000 for grave markers, including mausoleums, located on or away from the residence premises if the damage or destruction was caused by an insured peril.

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# AU-K15 Farm Personal Property Coverage E

**Coverage E - Scheduled Farm Personal Property:**

- The insured can choose specific items to be covered, and their corresponding limits will be scheduled on the form.

**Covered Items include:**

- Grain
- Farm products
- Poultry
- Livestock
- Machinery
- Vehicles
- Tools, Equipment & Supplies incidental to farm use

**Note:** "Growing crops" are not considered "personal property" under Coverage E.

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# AU-K16 Farm Personal Property Coverage F & G

**Coverage F - Unscheduled Farm Personal Property:**

- Offers blanket coverage for farm personal property both on and away from the premises.
- No need to individually list items; coverage applies to all eligible farm personal property.

**Coverage G - Farm Other Structures:**

- Provides coverage for farm buildings and structures, excluding the farm dwelling.
- Includes barns, silos, fences, outdoor radio and equipment, and other essential farm structures.

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# AU-K17 Specialized Farm Coverage Forms

**Mobile Agricultural Machinery & Equipment Coverage Form:**

- Designed for farmers needing coverage for specific mobile agricultural machinery and equipment.
- Coverage is provided on an open peril basis with minimal exclusions.
- Ideal for farmers who require coverage solely for their movable agricultural assets.

**Livestock Coverage Form:**

- Offers scheduled or blanket coverage for livestock.
- "Named perils" coverage for various types of livestock, including cattle, sheep, swine, goats, horses, mules, and donkeys.
- Poultry is not covered under this form.
- The form requires insuring livestock for 80% of its value, with a "co-insurance" provision.

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# AU-K18 Selecting Perils for Coverage

The insured has the option to choose the perils covered by the policy: basic, broad, or special causes of loss.

- Basic Perils (if selected) include coverage for:
  - Fire, lightning, and internal explosion.
  - Extended coverage perils:
    - Wind
    - Civil commotion
    - Smoke
    - Hail
    - Aircraft
    - Vehicles
    - Volcanic eruption
    - Explosion
    - Riot
    - Vandalism & Malicious Mischief.

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# AU-K19 Broad Perils Coverage

If the insured chooses broad causes of loss, the coverage includes all basic perils and the following broad perils:

- Burglary damage
- Ice, sleet, and the weight of snow
- Glass breakage
- Accidental discharge of water or steam from household appliances, heating, air conditioning units, automatic sprinkler systems, or plumbing
- Freezing of objects (same objects as covered for accidental discharge)
- Falling objects
- Electrical current - sudden and accidental discharge of artificially generated electrical current
- Collapse
- Tearing - Sudden and accidental tearing apart, cracking, or burning of steam or hot-water heater, air-conditioning, or automatic fire protective sprinkler system.

Additional Coverage: "Collision" coverage is provided for Coverage E and F but only during transit by common or contract carriers.

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# AU-K20 Farm Property - Additional Broad Perils

In addition to the broad perils covered by the Commercial Property policy, the Farm Property causes of loss form includes some specific additional broad perils unique to the Farm risk.

**These additional broad perils are:**

- Electrocution of covered livestock
- Drowning and accidental shooting of covered livestock
- Attacks on covered livestock by dogs or wild animals
- Loading and unloading accidents

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# AU-K21 Farm Property Coverage - Special Causes of Loss

If the insured chooses the special causes of loss on the Declarations form, the policy will provide open perils coverage. However, it's important to note that open peril policies do have specific exclusions.

**Exclusions under the Farm Property form include:**

- Dishonest or criminal acts
- Pollutants or contaminants
- Transfer of property due to unauthorized instructions
- Voluntary parting with property
- Failure to save and preserve property from loss

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# AU-K22 Crop Insurance Overview

**Definition of Crop Insurance:**

- Specific coverage protecting farmers against crop-related losses.
- Safeguards against yield reduction, income loss, and crop failure.
- Vital tool in managing farming risks and ensuring financial stability.

**Importance of Crop Insurance:**

- Mitigates Financial Losses: Shields farmers from unpredictable events.
- Supports Rural Economy: Ensures livelihoods of farmers and related industries.
- Encourages Investment: Provides confidence for adopting advanced farming practices.

**Types of Crops Covered:**

- Major Crops: Wheat, corn, soybeans, rice, cotton, etc.
- Specialty Crops: Fruits, vegetables, nuts, and other specialized products.
- Coverage tailored to the unique risks of each crop.

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# AU-K23 Types of Crop Insurance Policies

**Multi-Peril Crop Insurance (MPCI):**

- Comprehensive coverage against various perils.
- Protects against yield loss, revenue reduction, and more.
- Federal program administered by USDA's Risk Management Agency.

**Crop-Hail Insurance:**

- Protection against damage caused by hail.
- Provides coverage specifically for hail-related losses.
- Private insurance offered by various companies.

**Named Peril Insurance:**

- Covers specific perils named in the policy.
- Protection against predetermined risks (e.g., drought, frost).
- Offers flexibility for tailored coverage.

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# AU-K24 Crop Insurance Coverage Areas

**Yield Protection: Covering Yield Losses**

- Insures against yield reduction due to various perils.
- Compensation based on the difference between expected and actual yield.
- Focuses on production-related losses.

**Revenue Protection: Safeguarding Income**

- Shields against both yield and price fluctuations.
- Compensation based on yield and commodity price.
- Ensures income stability despite market variations.

**Prevented Planting Coverage:**

- Provides compensation when planting is prevented by specific perils.
- Ensures financial relief when circumstances prevent planting.
- Important for managing risks in adverse planting conditions.

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# AU-K25 Determining Crop Insurance Premiums

**Factors Influencing Premiums:**

- Crop Type and History
- Coverage Level
- Location and Risk Zone

**Crop Type and History:**

- Different crops have varying risk profiles.
- Historical performance impacts premium calculation.
- Past losses influence premium rates.

**Coverage Level:**

- Higher coverage leads to higher premiums.
- Farmers can choose coverage levels based on risk tolerance.
- Balancing coverage and affordability is crucial.

**Location and Risk Zone:**

- Areas prone to certain perils may have higher premiums.
- Risk zones (flood, drought) impact rates.
- Geographic risk assessment influences premium calculation.

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# AU-K26 Government Support in Crop Insurance

**Federal Crop Insurance Corporation (FCIC):**

- Federal agency overseeing crop insurance programs.
- Establishes terms, conditions, and standards.
- Provides reinsurance to private insurance companies.

**Risk Management Agency (RMA):**

- Subsidiary of USDA overseeing crop insurance.
- Develops and manages federal crop insurance policies.
- Ensures program integrity and farmer protection.

**Importance of Government Support:**

- Enhances Affordability: Government backing helps keep premiums reasonable.
- Encourages Participation: Makes insurance accessible to farmers.
- Ensures Sustainability: Government involvement maintains program stability.

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# AU-K27 Crop Insurance & Farm Risk Management

**Protecting Against Unpredictable Weather:**

- Crop insurance mitigates losses from adverse weather events.
- Shields against unpredictable factors like droughts, floods, and storms.
- Essential for maintaining income stability.

**Managing Price Volatility:**

- Crop insurance addresses price fluctuations.
- Safeguards farmers from market uncertainties.
- Reduces financial risks due to price variations.

**Ensuring Farm Sustainability:**

- Crop insurance contributes to farm viability.
- Enables farmers to recover from losses and invest in future seasons.
- Supports long-term agricultural sustainability.

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# AU-K28 Crop Insurance Case Studies

**Case Study 1: Drought and Yield Losses**

- Situation: Crop yield reduced due to prolonged drought.
- Coverage: Multi-Peril Crop Insurance (MPCI).
- Outcome: Farmer compensated for yield losses.
- Lesson: Demonstrates MPCI's role in protecting against yield reduction due to adverse conditions.

**Case Study 2: Crop-Hail Insurance Payout**

- Situation: Crop damaged by a severe hailstorm.
- Coverage: Crop-Hail Insurance.
- Outcome: Quick payout for hail-related losses.
- Lesson: Highlights the specific coverage of Crop-Hail Insurance against a specific peril.

**Case Study 3: Complex Crop Revenue Protection**

- Situation: Crop revenue affected by price volatility and yield loss.
- Coverage: Revenue Protection Insurance.
- Outcome: Comprehensive compensation for income losses.
- Lesson: Shows how Revenue Protection Insurance addresses multi-faceted risks.

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# AU-L1 Personal Inland Marine Policies

**Personal Inland Marine Policies ("Floaters"):**

- Also known as "floaters," these policies offer open-peril coverage for portable property on a worldwide basis.

**Origin of "Inland Marine" and "Floater":**

- Historically, these policies were developed to provide coverage for property being transported inland from ocean liners to its final destination.

**Homeowners Policies Limitations:**

- While Homeowners policies cover various personal property exposures, there are limits to the coverage amounts.
- For higher limits, insurers may recommend a "scheduled personal property endorsement" attached to the Homeowners policy.

**Specialty Items Coverage:**

- Rare or expensive specialty items can have broader coverage under separate, stand-alone personal inland marine forms.

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# AU-L2 Key Features of Personal Articles Floater

- The Personal Articles Floater (PAF) offers specialized and flexible coverage for high-value and rare items.
- It provides open-peril coverage, meaning it protects against a wide range of risks wherever you are in the world.
- PAF covers unique possessions such as fine jewelry, luxury watches, cameras, and other high-value items.
- With PAF, you can have higher limits and broader protection beyond what your standard homeowners policy offers.

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# AU-L3 Personal Articles Floater: Scheduled & Unscheduled Coverage

**Scheduled Coverage:**

- Most property covered by the Personal Articles Floater is scheduled, meaning each item is listed individually on the policy.
- Scheduled items include:
  - Jewelry
  - Furs and garments with fur trim
  - Cameras
  - Musical instruments
  - Silverware
  - Golfer's equipment
  - Fine Arts
  - Postage stamps
  - Rare and current coins

Scheduling these items allows for coverage based on their full value, supported by relevant documentation like appraisals or sales receipts.

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# AU-L4 Personal Articles Floater: Scheduled & Unscheduled Coverage

**Unscheduled Coverage:**

- Some types of property can be covered under the Personal Articles Floater on an unscheduled, blanket basis.
- Property that can be covered on an unscheduled basis includes:
  - Cameras
  - Musical instruments
  - Silverware
  - Golfer's equipment
  - Fine Arts
  - Postage stamps
  - Rare and current coins

However, it's important to note that jewelry and furs must be scheduled individually for full coverage.

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# AU-L5 Personal Articles Floater: Loss Settlement Provisions

**Loss Settlement Provisions:**

**Agreed Value Basis:**

- If the property is insured on an agreed value basis, the settlement amount is predetermined and agreed upon by the insured and the insurer.
- In the event of a covered loss, the insurer will pay the agreed-upon value without considering depreciation or market fluctuations.

**Not Insured on Agreed Value Basis:**

- If the property is not insured on an agreed value basis, the following criteria are used to determine the loss settlement:
- Actual Cash Value: The insurer will pay the actual cash value of the property at the time of the loss, considering depreciation and wear.
- Repair Cost: The insurer will pay the cost of reasonable repairs to restore the property to its pre-loss condition.
- Replacement Cost: The insurer will pay the cost of replacing the lost or damaged property with a "substantially identical" item.
- Applicable Limit: The amount of coverage listed in the policy is the maximum the insurer will pay for the loss.

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# AU-L6 Personal Articles Floater: Loss Settlement Provisions

The Personal Articles Floater (PAF) provides essential loss settlement provisions based on the property's coverage basis. Let's explore the different settlement approaches under this comprehensive floater.

**Agreed Value Basis:**

- For "pair or set" property covered at the "agreed value," the insurer will take possession of any remaining parts of the property after a loss.
  Unscheduled Blanket Basis:
- When property is covered on an unscheduled blanket basis, covered losses are paid based on a percentage of the actual cash value, relative to the total blanket limit stated on the policy.

Limits apply to certain items:

- Unscheduled coin collection: Up to $1,000.
- Individual stamp or coin, or a single stamp pair, sheet, cover, frame, or card: Up to $250.
- Cameras, fine arts, golfer's equipment, musical instruments, and silverware: Proportional payment limited to $500 for any individual item.

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# AU-L7 Personal Articles Floater: Loss Settlement Provisions

Key **Considerations**:

- Agreed value coverage ensures a predetermined payout in the event of a loss, regardless of depreciation or market fluctuations.
- Unscheduled blanket basis settlement is calculated as a percentage of the actual cash value, subject to specific limits for certain items.
- The agreed value basis provides a clear and predetermined settlement amount.
- For non-agreed value coverage, the settlement will be based on the most reasonable and cost-effective option among actual cash value, repair cost, or replacement cost.
- The applicable limit of insurance sets the maximum coverage available for the covered property.

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# AU-L8 Personal Articles Floater: Additional Conditions

**Newly Acquired Property Coverage:**

- The Personal Articles Floater automatically extends coverage for newly acquired property within the same category as the currently covered items.
- This coverage applies for a period of 30 days from the date of acquisition.
- The automatic limit is set at 25% of the amount of insurance for the specific class of property or $10,000, whichever is less.

**Deductible Options:**

- Unlike some other insurance policies, the Personal Articles Floater does not include standard deductibles.
- The insured has the flexibility to select a deductible amount suitable for their needs and preferences.

**Key Considerations:**

- Be aware of the automatic coverage extension for newly acquired property within the same category as one's currently insured items.
- The deductible on the Personal Articles Floater can be tailored to align with one's financial comfort level.

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# AU-L9 Personal Effects Floater: Exclusions & Coverage Scope

**Exclusions:**
Certain items are excluded from coverage under the Personal Effects Floater, including:

- Valuable papers
- Passports
- Tickets
- Money
- Bicycles
- Contact lenses and artificial limbs

**Coverage Scope:**

- Coverage applies only when the insured is traveling and does not extend to storage or the insured's home.
- Breakage of items is generally excluded, except when caused by specific incidents such as an accident to a conveyance (e.g., a taxi or bus), fire, or theft.

**Benefits and Usage:**

- The Personal Effects Floater is particularly useful when the insured has a high deductible on their Homeowners policy but requires "open perils" coverage for personal property during travel.

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# AU-L10 Watercraft Coverage Eligibility

**Eligibility Criteria:**

- Eligibility may vary depending on the insurance carrier, but standardized policies typically cover watercraft designed for use on bodies of water.
- The watercraft must be owned or leased on a long-term basis, with a minimum period of six continuous months or longer.

**Covered Items:**

- In addition to the watercraft itself, coverage extends to outboard motors, including starters and related equipment attached to the outboard motor.
- Trailers and accessories related to the use of the covered watercraft are also included in the coverage.

**Exclusions:**

- Coverage does not extend to watercraft used for any business purposes, such as the collection of goods or materials.
- Watercraft rented to others or those with a captain or crew are also excluded from coverage.
- Air-propelled craft, experimental craft, flarecraft, hovercraft, modified craft, or submarines are not eligible for coverage.

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# AU-L11 Coverage for Watercraft Damage

**Salvage Expense Coverage:**

- This coverage pays for "salvage liability" imposed by maritime law, requiring watercraft owners to recover items that have gone overboard.
- It ensures you have the necessary financial support for salvaging items lost during unexpected incidents.

**Towing and Assistance Expense Coverage:**

- This coverage responds to various expenses incurred when a covered watercraft becomes disabled due to a loss.
- Covered expenses include transporting the craft for repairs, delivering fuel, oil, or repair parts, labor costs for repairs, and roadside repairs for watercraft trailers listed on the policy.
- The coverage provides up to $500 for expenses related to a single event and an aggregate limit of $1,000 for all losses during the policy period.
- No deductible applies to this coverage, and it does not reduce the policy's limit of liability.

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# AU-L12 Coverage for Watercraft Damage: Additional Coverages

**Personal Effects Coverage:**

- This coverage provides $500 to cover losses to personal effects in a single event.
- There is no aggregate limit, ensuring comprehensive protection for your belongings.
- No deductible applies, and it does not reduce the policy's limit of liability.

**Eligibility:**

- Personal effects must belong to the insured unless coverage for property belonging to others is requested on the policy.
- Coverage applies to personal effects located on or in the covered watercraft during the time of loss or while being loaded or unloaded.
- The following items qualify as "personal effects" covered by the policy:
  - Cameras
  - Clothing
  - Cell phones
  - Coolers
  - Fishing equipment
  - Portable radios
  - Water skiing equipment
  - Sporting equipment

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# AU-L13 Watercraft Damage Coverage: Additional Exclusions

**Excluded Items:**

- Animals: Coverage does not extend to animals transported on the watercraft.
- Boating Equipment: Equipment essential for operating the watercraft is not considered personal effects.
- Fuel: Coverage excludes fuel and any related expenses.
- Jewelry: Precious jewelry is not part of the personal effects covered under this policy.
- Money: Cash and currency are not eligible for coverage.
- Watches: Expensive timepieces are excluded from the personal effects category.
- Permanently Attached Equipment: Coverage does not apply to equipment permanently fixed to the watercraft.

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# AU-L14 The Lay-Up Period in Boatowners Policy

**Lay-Up Period Definition:**

- The lay-up period provision defines a specific time frame during which the covered watercraft is stored and not in use. This period is outlined within the policy and varies based on individual agreements. Breach of Provision:
- Coverage will not be provided if the covered watercraft is operated during the lay-up period specified in the policy.
- It is crucial to store the watercraft at the location listed on the Declarations page to comply with this provision.

**Exceptions for Coverage during Lay-Up:**

**Written Consent:**

- Coverage may apply during the lay-up period if the insurer grants written consent for the watercraft's use.

**Emergency Use:**

- Coverage may be extended if the watercraft is operated during an emergency. However, it is mandatory to notify the insurance company within 10 days of the emergency use.

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# AU-L15 Personal Yacht Insurance Coverage

**Hull Coverage:**

- Provides replacement cost coverage for partial losses to the yacht.
- In the event of a total loss, the coverage is provided on a valued basis, ensuring fair compensation.

**Trailer Coverage:**

- Offers actual cash value coverage for the trailer that transports the yacht.

**Protection & Indemnity (P&I):**

- Extensive liability coverage that protects against bodily injury and property damage liabilities.

**Medical Payments:**

- Covers all necessary medical expenses for the insured, family members, invitees, or guests up to one year following a covered accident.

**Federal Longshore and Harbor Workers' Compensation Insurance:**

- Provides essential workers' compensation coverage for the Yacht crew.

**Open Peril Coverage:**

- The coverage under a Yacht policy is most commonly provided on an open peril basis, offering broad protection against various risks.

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# AU-L16 Introduction to Commercial Inland Marine Insurance

Commercial Inland Marine Insurance emerged as an extension of Ocean Marine coverage, primarily designed to protect cargo during overland transportation instead of sea voyages.

In marine insurance, the term "floating" refers to the property's travel, signifying its mobility or transportation.

For a property to qualify for marine coverage, it typically requires an element of "portability," meaning it must be in transit or related to transportation and communication.

While there are exceptions, marine forms usually exclude coverage for stationary property. However, Commercial Inland Marine policies cover property that:

- Is in transit
- Is held by a bailee (property transported to and from the bailee
- Resides at a stationary location serving as an instrument of transportation or communication
- Is a movable type of property traveling between different locations

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# AU-L17 Nationwide Definitions of Marine Insurance Coverage

In our country's insurance industry, the Nationwide Definitions of Coverage were established to determine which risks fall under Inland Marine or Ocean Marine policies. These definitions categorize eligible risks as follows:

- Imports (Ocean Marine): This category covers risks associated with goods or cargo brought into the country via sea transportation.
- Exports (Ocean Marine): Risks under this category pertain to goods or cargo shipped out of the country using sea transportation.
- Domestic Shipments (Commercial Inland Marine): This category includes risks related to goods or cargo transported within the country's borders using inland transportation methods.
- Instrumentalities of Transportation or Communications (Commercial Inland Marine): Risks under this category involve property that plays a role in transportation or communication, even if it remains stationary.
- Commercial Property Floater Risks (Commercial Inland Marine): This category covers risks associated with movable property used for commercial purposes, such as tools and equipment.
- Personal Property Floater Risks (Personal Inland Marine): Risks falling under this category pertain to movable personal property, like jewelry, cameras, or musical instruments, that may require additional coverage beyond standard homeowners' policies.

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# AU-L18 Controlled vs. Non-Controlled

In the realm of Commercial Inland Marine insurance, we encounter two distinct categories: "controlled" and "non-controlled" forms. These designations help differentiate between standardized policies and those tailored by insurers for their policyholders.

**Controlled Line:**

- Utilizes a standardized form filed for universal application.
- Follows a uniform structure, language, and coverage rules.

**Non-Controlled Line:**

- Allows individual insurers to use their unique forms for specific risks.
- Results in varying policy language, coverage rules, and rates among insurance companies.

In essence, the distinction between controlled and non-controlled forms impacts the level of standardization and flexibility within Commercial Inland Marine policies. Each category serves its purpose in meeting diverse insurance needs, contributing to the dynamic landscape of Inland Marine coverage.

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# AU-L19 Commercial Inland Marine Coverage Categories

**Commercial Inland Marine insurance encompasses three primary categories of coverage:**

- Domestic Shipments:
  - Protects property during transportation using various transportation forms.
- Instrumentalities of Transportation & Communication:
  - Covers vital assets like bridges, pipelines, television & cell towers.
- Commercial Property Coverages:
  - Provides coverage for essential business property and equipment.

**Controlled vs. Stand-Alone Policy:**

- Certain classes of Inland Marine insurance can be part of a Commercial Package Policy (CPP).
- However, due to unique risks, Commercial Inland Marine insurance is typically written as a separate, stand-alone policy.

**Requirements for CPP Inclusion:**

- Common Policy Declarations.
- Common Policy Conditions.
- Commercial Inland Marine Declarations form.
- Commercial Inland Marine General Conditions form.
- One or more controlled Inland Marine coverage forms.

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# AU-L20 Key Features of Inland Marine Policies

Inland Marine policies offer distinct characteristics that differentiate them from other property insurance. When comparing coverages for your state licensing exam, remember these essential points:

- Open Peril Coverage:
  - Inland Marine policies are typically written as "open peril" coverage.
  - This means they protect against a wide range of risks unless specifically excluded.
- Flexible Location Coverage:
  - Unlike other property insurance, Inland Marine coverage is not tied to a specific "premises."
  - It provides protection for property wherever it may be located, whether in transit or at various locations.
- Property Mobility:
  - The hallmark of Inland Marine insurance is that the coverage "moves" or "floats" with the insured property.
  - This makes it ideal for protecting property that is frequently transported or temporarily located away from the primary premises.

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# AU-L21 Insured's Responsibilities After a Loss

In the event of a loss, the insured must fulfill several important duties, akin to those required in any other property policy. These responsibilities include:

- Notify Law Enforcement:
  - If a law has been violated in connection with the loss, the insured must promptly report it to the appropriate law enforcement authorities.
- Prompt Loss Notice:
  - The insured must inform the insurer about the loss and provide a detailed description of the affected property without delay.
- Description of Loss:
  - A clear account of how, when, and where the loss occurred must be submitted to the insurer as soon as possible.
- Take Protective Measures:
  - The insured is required to take reasonable steps to protect the property from further damage.
  - If feasible, set aside the damaged property and maintain records of all expenses related to the loss.
- Inventory and Records:
  - An accurate inventory of the damaged property should be prepared and kept by the insured.
- No Assumptions or Admissions:
  - The insured should refrain from making any statements that assume obligations or admit liability without obtaining the insurer's consent.

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# AU-L22 Insured's Responsibilities After a Loss

The insured bears certain duties after experiencing a loss, which are akin to those found in other property policies. These responsibilities include:

**Inspection and Records:**

- Permit the insurer to inspect the property and review records substantiating the loss.

**Examination Under Oath:**

- If requested, the insured must cooperate with an examination under oath conducted by the insurer. All answers should be signed by the insured.

**Sworn Statement of Loss:**

- Respond to the insurer's request for a signed, sworn statement of loss within 60 days of receipt. The statement should contain the requested information, and the necessary forms will be provided by the insurer.

**Legal Papers and Notices:**

- Promptly forward any legal papers or notices related to the loss received by the insured to the insurer.

**Cooperation:**

- Collaborate with the insurer throughout the investigation and settlement process of the claim.

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# AU-L23 Coordination of Other Insurance & Loss Valuation

**Other Insurance:**

- In case the insured holds other insurance policies that follow the same basis as the Commercial Inland Marine policy, both policies will proportionately contribute to covering the loss.
- However, if the other insurance is not structured similarly, the Commercial Inland Marine policy will act as excess coverage over the other insurance.

**Valuation & Settlement:**

- Commercial Inland Marine policies use two methods for loss valuation: Actual Cash Value (ACV) basis or the cost to restore/replace the property, whichever is lower.
- The property's value is determined at the time of the loss, taking into account depreciation or repair/replacement costs.
- The insurer is obligated to settle the claim within 30 days after reaching an agreement with the insured or the date of the final judgment or appraisal award. Timely claim resolution is essential for both parties' satisfaction.

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# AU-L24 Ocean Marine Insurance Essentials

**Ocean Marine Insurance:**

- A specialized branch of insurance covering risks associated with marine activities.
- Provides financial protection against losses related to vessels, cargo, and liabilities during sea transportation.

**Importance of Ocean Marine Insurance:**

- Vital for global trade: Facilitates secure movement of goods across oceans.
- Risk mitigation: Minimizes financial impact of unforeseen events like accidents, piracy, and natural disasters.
- Business continuity: Safeguards investments in ships, cargo, and trade operations.

**Key Terminologies:**

- Hull: Refers to the physical structure of the ship or vessel.
- Cargo: The goods and merchandise being transported via sea.
- Freight: The revenue earned by shipping companies for transporting cargo.
- General Average: A principle where all parties share losses after intentional sacrifices to save the voyage.

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# AU-L25 Types of Ocean Marine Policies

**Voyage Policy:**

- Coverage for a specific voyage or journey.
- Duration: Single voyage.
- Ideal for: One-time shipments or short-term risks.
- Benefits: Tailored coverage for a particular journey.

**Time Policy:**

- Coverage for a fixed time period, often a year.
- Duration: Annual basis.
- Ideal for: Continuous shipping operations.
- Benefits: Comprehensive protection for ongoing activities.

**Mixed Policy:**

- Combines aspects of both voyage and time policies.
- Duration: Varied (voyage and time components).
- Ideal for: Irregular shipping schedules.
- Benefits: Flexible coverage for diverse needs.

**Open Policy:**

- Provides coverage for multiple shipments within a specified time.
- Duration: Open-ended, renewed periodically.
- Ideal for: Frequent shipments by a company.
- Benefits: Streamlined process for regular shipments

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# AU-L26 Coverage Areas in Ocean Marine Insurance

**Hull Insurance:**

- Protects the ship or vessel against physical damage.
- Includes liabilities arising from collisions, accidents, and more.
- Ensures vessel's value and operability are safeguarded.

**Cargo Insurance:**

- Safeguards goods during sea transportation.
- Covers damage, theft, and loss of cargo.
- Ensures smooth supply chain operations.

**Freight Insurance:**

- Covers loss of revenue due to cargo damage.
- Protects shipping company's earnings from disrupted shipments.
- Ensures financial stability for carriers.

**Liability Insurance:**

- Covers legal liabilities to third parties.
- Includes collision damages to other vessels, property, or people.
- Protects against legal expenses arising from maritime incidents.

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# AU-L27 Named Perils vs. All Risks Policies:

**Named Perils vs. All Risks Policies:**

- Named Perils Policies: Covers only specific perils listed in the policy.
- All Risks Policies: Provides broader coverage, except for exclusions explicitly mentioned.

**Common Perils Covered:**

- Storms: Protection against damage caused by severe weather conditions.
- Collisions: Coverage for damages due to collisions with other vessels or objects.
- Piracy: Protection against losses resulting from piracy and theft.
- Fire: Covers damages caused by fire on the ship or to cargo.
- Jettison: Compensation for intentional cargo jettison to save the vessel.
- Barratry: Coverage for illegal acts committed by ship's crew affecting the voyage.

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# AU-L28 General Average & Particular Average

**General Average: Shared Losses in Emergency Situations**

- Definition: Principle of shared loss in emergencies to save the voyage.
- Scenario: Sacrifices made intentionally (jettison) to avert danger.
- Contribution: All parties share losses based on their interests.
- Importance: Encourages cooperation and risk-sharing among stakeholders.

**Particular Average: Partial Losses to Insured's Property**

- Definition: Partial loss or damage to insured property.
- Scenario: Damage due to specific perils (storms, collisions).
- Compensation: Insured party reimbursed for individual loss.
- Importance: Fair compensation for partial losses, maintaining equity.

**Calculation Methods and Importance**

- Calculation: Assessing value of sacrificed goods (General Average) or damaged property (Particular Average).
- Adjustments: Complex calculations to distribute losses fairly.
- Importance: Accurate assessment ensures equitable distribution of losses.

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# AU-L29 Factors Affecting Ocean Marine Premiums

**Vessel Type and Age:**

- Vessel's type (cargo, tanker, passenger) influences risk exposure.
- Older vessels may have higher maintenance and repair costs.
- Impact: Older ships might face higher premiums due to increased risks.

**Voyage Route and Destination:**

- Geographical areas and navigation routes impact risks.
- High-risk zones (piracy, adverse weather) may lead to higher premiums.
- Impact: Longer and riskier routes can raise insurance costs.

**Cargo Type and Value:**

- Nature and value of cargo determine potential losses.
- Hazardous materials or high-value goods carry greater risks.
- Impact: High-value or hazardous cargo may lead to elevated premiums.

**Risk Management Measures:**

- Safety measures, training, and security protocols reduce risks.
- Adequate safety practices can lower the likelihood of incidents.
- Impact: Robust risk management can lead to lower insurance costs.

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# AU-L30 Ocean Marine Insurance Case Studies

**Case Study 1: Cargo Damage Due to Storm**

- Situation: Cargo sustained damage during a severe storm.
- Coverage: Cargo insurance.
- Outcome: Compensation provided to cover damaged goods.
- Lesson: Highlighting the importance of cargo insurance for protecting against unpredictable weather events.

**Case Study 2: Collision Liability and Legal Expenses**

- Situation: Vessel collision resulting in damage and legal disputes.
- Coverage: Liability insurance.
- Outcome: Legal expenses covered, and collision liabilities settled.
- Lesson: Demonstrating the value of liability coverage in complex maritime incidents.

**Case Study 3: Total Loss of Vessel and Subrogation Process**

- Situation: Vessel declared a total loss due to a maritime accident.
- Coverage: Hull insurance.
- Outcome: Insurer reimburses vessel owner, then seeks recovery from liable parties through subrogation.
- Lesson: Showcasing the subrogation process as an essential aspect of claims handling.

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# AU-M1 Aviation Hull Coverage Insurance Overview

**Definition of Aviation Hull Coverage Insurance:**

- Insurance protecting against physical damage to aircraft.
- Covers aircraft hull, engines, avionics, and equipment.
- Essential for safeguarding aviation assets from losses.

**Importance of Aviation Hull Coverage:**

- Mitigates Financial Losses: Covers repair/replacement costs.
- Ensures Aircraft Investment Protection: Safeguards valuable assets.
- Regulatory Compliance: Often required for aircraft operations.

**Types of Aircraft Covered:**

- Fixed-Wing Aircraft: Airplanes and private jets.
- Rotary-Wing Aircraft: Helicopters and gyroplanes.
- Experimental and Vintage Aircraft: Unique aircraft types.

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# AU-M2 Types of Aviation Hull Coverage Policies

**All Risk Hull Coverage:**

- Comprehensive coverage against various perils.
- Protects against a wide range of risks.
- Offers broad and flexible protection.

**Named Perils Hull Coverage:**

- Covers specific perils named in the policy.
- Protection for predetermined risks (e.g., fire, theft).
- More focused coverage for specific threats.

**Agreed Value Hull Coverage:**

- Agreed-upon value determined at policy inception.
- Compensation based on agreed value, regardless of depreciation.
- Ensures predictable claim settlements.

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# AU-M3 Coverage Areas in Aviation Hull Insurance

**Hull Damage: Protecting Aircraft Structure**

- Covers physical damage to aircraft's body and structure.
- Includes repairs after accidents, collisions, and ground incidents.
- Ensures structural integrity and airworthiness.

**Engine Damage: Safeguarding Propulsion Systems**

- Insures aircraft engines against damage or failure.
- Engine repairs and replacements covered.
- Vital for maintaining flight safety and performance.

**Avionics and Equipment Coverage:**

- Protects onboard avionics and equipment.
- Covers navigation systems, communication devices, etc.
- Ensures functionality and safety of aircraft systems.

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# AU-M4 Factors Influencing Aviation Hull Premiums

**Aircraft Type and Model:**

- Different aircraft types have varying risk profiles.
- Complex and high-performance aircraft may have higher premiums.
- Insurance rates adjusted based on the aircraft's characteristics.

**Age and Condition of the Aircraft:**

- Older aircraft might face higher premiums due to wear and tear.
- Aircraft maintenance history impacts premiums.
- Condition influences the likelihood of potential damages.

**Pilot Experience and Qualifications:**

- Experienced and qualified pilots may result in lower premiums.
- Pilot training, flight hours, and safety records considered.
- Skilled pilots reduce the risk of accidents.

**Flight Operations and Routes:**

- High-risk flight operations (e.g., commercial vs. private) impact premiums.
- Routes through risk-prone areas might increase premiums.
- Operations and routes influence exposure to potential hazards.

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# AU-M5 FAA Regulations & Aviation Hull Insurance

**Federal Aviation Administration (FAA) Regulations:**

- Governing body overseeing aviation safety in the U.S.
- Establishes rules and standards for aircraft operations.
- Regulations impact insurance requirements and coverage.

**Ensuring Compliance for Coverage Validity:**

- Adhering to FAA regulations ensures coverage validity.
- Compliance with maintenance, inspection, and safety rules.
- Ensures insurance remains effective in case of claims.

**Implications for Claim Handling:**

- Non-compliance might lead to claim denials.
- FAA violations affecting safety may impact coverage.
- Compliance helps streamline claims processing.

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# AU-M6 Aviation Hull Insurance Case Studies

**Case Study 1: Aircraft Collision and Hull Damage**

- Situation: Aircraft collision resulting in significant hull damage.
- Coverage: All Risk Hull Coverage.
- Outcome: Comprehensive coverage for repair costs.
- Lesson: Illustrates the importance of comprehensive coverage in complex scenarios.

**Case Study 2: Engine Failure and Total Loss**

- Situation: Engine failure leading to aircraft total loss.
- Coverage: Named Perils Hull Coverage.
- Outcome: Compensation for engine failure-related total loss.
- Lesson: Highlights the role of named perils coverage for specific risks.

**Case Study 3: Agreed Value Dispute Resolution**

- Situation: Disagreement over aircraft's agreed value.
- Coverage: Agreed Value Hull Coverage.
- Outcome: Successful resolution based on agreed value terms.
- Lesson: Demonstrates how agreed value coverage ensures predictable settlements.

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# AU-N1 Understanding Claims Adjusting

**Definition of Claims Adjusting:**

- Process of investigating, evaluating, and settling insurance claims.
- Aimed at determining coverage, assessing damages, and providing fair compensation.
- Essential for ensuring policyholder satisfaction and insurer accountability.

**Importance of Claims Adjusting:**

- Ensures Fair Compensation: Balances policyholder and insurer interests.
- Maintains Customer Trust: Efficient handling builds credibility.
- Supports Risk Management: Minimizes financial losses for both parties.

**Role of Claims Adjusters in the Insurance Industry:**

- Bridge Between Policyholder and Insurer: Mediates claims process.
- Expertise in Policy Interpretation: Ensures accurate coverage assessment.
- Ensures Compliance: Adheres to legal, ethical, and regulatory standards.

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# AU-N2 Claims Adjustment Process

**Initial Contact and Reporting:**

- Policyholder reports the claim to the insurer.
- First step to initiate the claims process.
- Establishes communication and sets expectations.

**Investigation and Documentation:**

- Adjuster gathers information, statements, and evidence.
- Documents the incident, damages, and circumstances.
- Essential for accurate claim assessment.

**Evaluation of Damages:**

- Assessing the extent of losses and damages.
- Comparing damages against policy coverage.
- Determines the fair compensation amount.

**Negotiation and Settlement:**

- Communicating with policyholders and insurers.
- Negotiating to reach a mutually agreeable settlement.
- Achieves resolution and concludes the claims process.

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# AU-N3 Role of Public Adjusters in Claims

**Defining Public Adjusters:**

- Licensed professionals representing policyholders.
- Independent experts in insurance claims.
- Work on behalf of policyholders, not insurers.

**Their Role in the Claims Process:**

- Assessing and documenting damages.
- Negotiating with insurers for fair settlements.
- Focusing on policyholder's best interests.

**Advocacy for Policyholders:**

- Ensuring policyholders receive proper compensation.
- Navigating complex insurance policies and terms.
- Providing expertise and guidance during claims.

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# AU-N4 Claims Documentation & Evidence

**Gathering Essential Information:**

- Collecting details about the incident or loss.
- Includes dates, locations, parties involved, and more.
- Foundation for the claims assessment process.

**Importance of Accurate Documentation:**

- Ensures comprehensive and factual records.
- Facilitates accurate claims evaluation.
- Supports transparency and credibility.

**Supporting Evidence for Claims:**

- Photographs, videos, and witness statements.
- Documents substantiating losses, repairs, and expenses.
- Reinforces the validity and credibility of claims.

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# AU-N5 Claims Evaluation & Collaboration

**Assessing Property Damage:**

- Evaluating extent and nature of property damage.
- Inspecting affected items, structures, and belongings.
- Essential for accurate claims estimation.

**Determining Liability and Compensation:**

- Identifying responsible parties and liability.
- Evaluating policy coverage to determine compensation.
- Ensuring fair compensation for damages.

**Collaborating with Experts (if needed):**

- Involving specialists for specific aspects (e.g., forensic experts, engineers).
- Enhancing claim assessment with expert insights.
- Ensures thorough evaluation and credible findings.

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# AU-N6 Negotiation & Settlement

**Communication Skills in Negotiation:**

- Effective communication fosters understanding.
- Clear presentation of claims and supporting evidence.
- Collaborative approach to reach consensus.

**Achieving Fair and Equitable Settlements:**

- Striving for balanced outcomes.
- Ensuring policyholders receive rightful compensation.
- Achieving resolution that satisfies both parties.

**Balancing Policyholder Interests with Insurer's Assessment:**

- Advocating for policyholders' best interests.
- Considering insurer's assessment within policy terms.
- Achieving compromise while ensuring fair outcomes.

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# AU-N7 Challenges in Claims Adjusting

**Handling Complex Claims:**

- Addressing intricate scenarios and multi-faceted damages.
- Navigating technicalities and interconnected issues.
- Requires thorough assessment and expertise.

**Dealing with Emotional Situations:**

- Interacting with distressed policyholders.
- Showing empathy and professionalism.
- Balancing sensitivity with efficient claims handling.

**Adhering to Legal and Ethical Standards:**

- Ensuring compliance with industry regulations.
- Upholding ethical conduct in all interactions.
- Maintaining transparency and integrity.

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# AU-N8 Technology in Claims Adjusting

**Utilizing Digital Tools for Documentation:**

- Leveraging digital platforms for efficient record-keeping.
- Electronic documentation of claims details and evidence.
- Enhances accuracy and accessibility.

**Enhancing Claims Assessment with Data Analytics:**

- Using data to identify trends and patterns.
- Improves risk assessment and claims evaluation.
- Data-driven insights for better decision-making.

**Streamlining Communication and Reporting:**

- Digital platforms for seamless communication.
- Real-time updates and status tracking.
- Enhances transparency and collaboration.

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# AU-N9 Professional Development in Claims Adjusting

**Evolving Insurance Industry Trends:**

- Adaptation to changing market dynamics.
- Embracing emerging technologies and practices.
- Staying relevant in a dynamic industry.

**Staying Updated with Legal and Regulatory Changes:**

- Keeping abreast of evolving laws and regulations.
- Adhering to compliance standards.
- Ensuring accuracy and legality in claims handling.

**Professional Development Opportunities for Claims Adjusters:**

- Continuous learning through workshops, seminars, and courses.
- Enhancing technical skills and industry knowledge.
- Enriching expertise for improved claims handling.

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# AU-N10 Effective Claims Adjusting Recap

**Recap of Key Points:**

- Claims adjustment process overview.
- Role of public adjusters in advocating for policyholders.
- Importance of accurate documentation, damage assessment, and negotiation skills.

**Significance of Effective Claims Adjusting:**

- Ensures fair and timely compensation.
- Builds trust between policyholders and insurers.
- Crucial for maintaining a positive industry reputation.

**Commitment to Providing Quality Service in Claims Handling:**

- Upholding ethical standards and professionalism.
- Continuously adapting to industry changes.
- Delivering efficient and equitable outcomes.

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